Chapter 1

The Companies Act, 1994

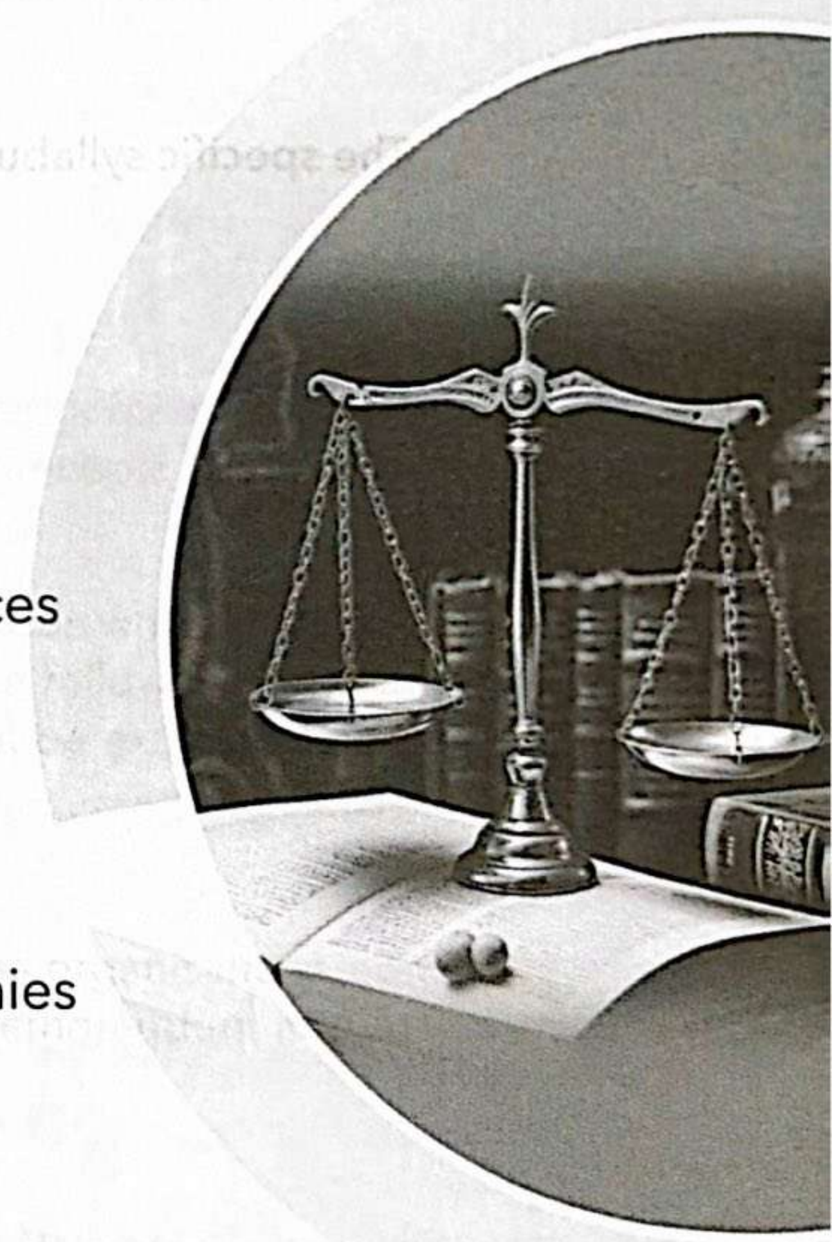
Contents

Introduction

Examination context

Topic List

1 Nature and formation of companies
2 Types of companies
3 Privileges of a private company
4 Private vs Public Company
5 Differences between partnerships and companies
6 Conversion of private company into public company
7 Conversion of a public company into private company
8 Formation of companies and administrative consequences
9 Memorandum
10 Articles of Association
11 Memorandum vs Articles of Association
12 Forms and contents of memorandum of various companies
13 Alteration of memorandum
14 Prospectus
15 Share capital – capital maintenance
16 Directors



Practical significance

Practically whenever people want to start a business and gather capital from different sources, the most attractive forms of business is Company. In order to start business using this very form, the procedures on formation, registration, share capital, memorandum of association and articles of association are some important matters guided by the Companies Act. The provisions of Companies Act shall be useful to start and run a company complying with the rules and regulations of the Govt.

Stop and think

What things can you think of that are essential for the formation and running of a Company? Think of any company you might be involved with to see what the important factors are. How does the formation procedure start?

Working context

You might need to understand the implications of the requirement of Companies Act to carry out accounting or auditing work. For example, a company has share capital of a certain amount with some of the shareholders. You may need to check the required documents in order to make sure the accuracy of the amount of share capital and the shareholders.

Syllabus links

As seen above, the issues covered in Companies Act could be relevant in many different areas of the syllabus, for example accounting and auditing, employment, business and financial management.

Examination context

Exam requirements

Companies Act is an important part of the syllabus. Typically, twenty percent of the questions come from the part of Companies Act. Understanding the basic precepts relating to this act is vital.

You are likely to be presented with scenarios and may have to conclude whether the formation of companies is valid, the procedures of share transfers have been followed effectively, how the prospectus was issued and what was the content. They will not be examined directly but illustrate points of law that could be.

The candidates will able to :

- understand the nature and formation different type of business organisations, convert of companies into other different forms of business, prepare Memorandum and Article of association,
- do registration of company, prepare Prospectus,
- hold meeting, change capital, understand the responsibilities of Directors of the company

1. Nature and formation of companies

1 About the Companies Act

The Companies Act 1994 is the law which governs incorporated domestic entities in Bangladesh. It is the main statute governing the creation, functioning and dissolution of companies, the relationship of shareholders to a company, periodic disclosure and audit requirements, the functions of the Registrar of Joint Stock Companies & Firms, and the jurisdiction of the courts in relation to companies.

1.1 Different forms of business organisations

1.1.1. Company

The trace of origin of the term "company" will reveal the Latin word cum - meaning with, and pains- meaning bread; which jointly means taking bread together, a characteristic of the early company where business matters were used to be discussed during festive gatherings. But today "company" is widely and commonly used for: a) joint stock companies - designed for profit, and b) statutory companies - for undertaking works of public utility. A company in ordinary non-technical sense however, means an association for attaining some common objectives which may be with or without profit.

1.1.2. Corporation

Such a company when incorporated according to the law and is clothed to meet legalities, it becomes a corporation with legal and distinct entity. A corporation as such, is an artificial being, invisible, intangible but existing only in terms of law. It is then a corporate personality known by a name, seal, office and acting through its human agents. However, in Bangladesh we have sector corporations, city corporations, trading corporations and so on, which have different administrative frameworks. The state-owned industrial units in Bangladesh function under the control and supervision of a few statutory bodies which are known as sector corporations created by separate acts or ordinances. They are autonomous in that these have their own rules and regulations. The municipalities in metropolitan city areas are styled as city corporations. The Trading Corporation of Bangladesh is also a different administrative body to handle state trading activities.

1.1.3. Industrial undertaking

Undertaking is to take up a venture to do something, some deal or some kind of a task for performance. Industrial undertaking refers to any establishment, organization or manufacturing unit engaged in the production or processing of any goods, or in the development and extraction of any mineral resources or products or in the providing of such services as may be specified in this behalf by the government.

2. Types of companies

Primarily there are two types of companies: Public company and Private company.

a **Private company:** According to section 2 (q), "private company" means a company which by its articles-

i. restricts the right to transfer its shares, if any;

ii. prohibits any invitation to the public to subscribe for its shares or debenture, if any;

iii. limits the number of its members to fifty not including persons who are in its employment.

Where two or more persons hold one or more shares in a company jointly, they shall be treated as a single member. Private companies may be limited by shares or limited by guarantee. There cannot be a private company with unlimited liability.

b **Public company:** Section 2(r) states that "public company" means a company incorporated under this Act or under any law at any time in force before the commencement of this Act and which is not a private company.

c **Public companies may be classified into three types:** (i) companies limited by shares, (ii) companies limited by guarantee, and (iii) unlimited companies.

2.1 Company limited by shares

In these companies there is a share-capital, and each share has a fixed nominal value which the share-holder pays at a time or by installments. The member is not liable to pay anything more than the fixed value of the share, whatever may be the liabilities of the company.

2.2 Company limited by guarantee

In these companies, each member promises to pay a fixed sum of money in the event of liquidation of the company. This amount is called the Guarantee. Sometimes the members are required to buy a share of a fixed value and also give a guarantee for a further sum in the event of liquidation. There is no liability to pay anything more than the value of the share (where there is a share) and the guarantee.

2.3 Unlimited company

In these companies the liability of the shareholder is unlimited, as in partnership firms. Past members who ceased to be members within the previous year may be liable in respect of debts incurred before they ceased to be members. However, there is no such liability of members until the company is wound up. An unlimited company may be with or without a share capital. They must register their articles of association.

2.4 Statutory company

A statutory company is a company incorporated by a special act of the legislature and not under the Companies Act. Public utility companies such as companies in relation to railways, gas, electricity etc. which granted compulsory powers to take land and power to carry on a business which might cause a nuisance, were often incorporated by a special Act of Parliament.

2.5 Chartered company

A chartered company is a company which is incorporated by a Royal Charter for specific purpose, e.g., East India Company. A Chartered Company is regulated by the terms of its Charter. It has an unregistered corporate capacity as an ordinary person and its members are not liable for the debts of the corporation, though the charter may impose a liability on the members limited to their shares.

2.6 Registered company

A company must be registered under the Companies Act. After registration, the Registrar of the Companies issues a Certificate of Incorporation. Following the incorporation, the company becomes a Registered Company.

2.7 Holding company

When a company acquires controlling interest in the affairs of another company or companies, it is known as the holding company. The Companies Act in its definition clause at section 2 clarifies, interalia, that the holding of such controlling interest should take all or one of the following forms:

1. Its assets may consist in whole or in part of shares in another company.
2. Such shares or other interests may be held either directly or through a nominee.
3. Such interest should be in the form of holding more than fifty percent of shares or voting rights in that other company.
4. Such voting right gives power directly or indirectly to appoint the majority of the directors in that other company otherwise than by virtue of the provision of a trust deed.

The sub-section (5) of section 2 which actually deals with holding company gives emphasis more on the position and prerequisite of becoming a subsidiary of that holding company.

2.8 Subsidiary company

The situation of a subsidiary company can be located form sub-section 2, 3 & 4 of section 2. To sum up, it is a company more than fifty percent of whose issued share capital or voting power is held by another company or the majority of whose directors can be appointed by another company. A subsidiary company may be a public or private company or not even be a company at all within the meaning of the Companies Act. Where the shares of such a company are held as security by a company the ordinary business of which is lending of money or where the majority of directors can be appointed by a company by virtue of powers contained in a debenture trust-deed, the former company will not be deemed to be a subsidiary company of the latter.

2.9 Group companies

The term group means a set of individuals, associations, firms or bodies corporate, together in plural number which can exercise control over any other body corporate, firm or trust. Group of companies is comprised of holding of a few companies together with its subsidiaries and sub- subsidiaries.

Group of companies is not defined or used by the Companies Act 1994. But it is very much in vogue in the circle of trade and commerce. The Indian Companies Act 1956 has defined the same in the following term: two or more bodies corporate shall constitute a group of companies:

a) If the Managing Director or manager of one occupies the same position in another body.; or

b) If a majority of the directors of one body constitute a majority of directors of the body; or

c) If not less than one third of the total voting power on any matter relating to each of the two bodies corporate is exercised or controlled by the same individual or body corporate; or

d) If the holding company of the one body corporate is under the same management or body corporate; or

e) If one or more directors of one body corporate hold, whether by themselves or together with their relatives, the majority of shares in both the bodies corporate.

3. Privileges of a private company

There are a number of privileges and exemptions allowed to a private limited company by the Companies Act in different sections. Of these, the most important ones are listed below:

1. It may consist of two person /one person (OPC) only (section 5).
2. Statutory meeting and the connected statutory report are not applicable [section 83(2)].
3. One / Two directors will suffice [section 90(2)].
4. Retirement provisions not applicable [section 91(2)].
5. No obligation to file a statement in lieu of prospectus [section 141(3)].
6. No restriction on allotment of shares or debentures [section 148 (13)].
7. No restriction to obtain a certificate of commencement [section 150 (6)].
8. Submission of annual accounts and report to members are not required [section 191(5)].
9. Regulations 79 to 87 of Schedule – I on retirement and rotation of directors are not compulsory for inclusion in the articles of association of a private limited company.

4. Private vs Public Company

The main points of difference between the two types of companies are enumerated below:

1. **Number of members:** The number of persons in a private company cannot be less than one/ two and cannot be more than fifty. In a public company, the number of persons cannot be less than seven but no maximum has been fixed. It may have any number of members.
2. **Restrictions on transfer of shares:** In a private company there must be regulations restricting the transfer of shares. In a public company there need not be any. By restricting transfer, a private company can prevent the membership of persons or classes of persons who are considered to be undesirable.
3. **Restriction on invitation to public:** A private company cannot invite the public to purchase its shares or debentures. A public company can do so.
4. **Restriction on name:** A private company must add the words, "Private Limited" at the end of its name.
5. **Prospectus:** A private company need not file a prospectus or a statement in lieu of prospectus. A public limited company must file it.
6. **No of Directors:** A public company must have at least three Directors whereas, a private company must have one / two Directors.
7. **Qualification shares and consent of directors:** In the case of a private company, if there be a director, his consent in writing to act as such and his contract to take up qualification shares need not be filed with the Registrar. But in case of a public company, it is an obligation to file these documents.
8. **Issue of right shares:** When a public company proposes to increase its subscribed capital by the issue of new shares, it must be offered first to the existing equity shareholders on a

pro rata basis, unless the members in a general meeting decide otherwise. This provision does not apply to private companies.

9. **Commencement of business:** A private company can commence business immediately after incorporation, whereas a public company has to wait until it obtains a certificate for the Commencement of Business.

10. **Statutory Meeting and Statutory Report:** A private company need not hold the Statutory Meeting or file the Statutory Report, while it is mandatory for the public limited company.

5. Differences between partnerships and companies

A company is regulated in accordance with the Companies Act, 1994 and its subsequent amendments, while a partnership is regulated by the Partnership Act, 1932. The points of differences between a Partnership and a Company can be summed up as follows:

i. **Registration:** A company comes into existence only after registration under the Companies Act. In the case of a partnership, registration is not compulsory.

ii. **Minimum number of members:** The minimum number of persons required to form a company is 1 / 2 in the case of private companies and 7 in the case of public companies. The minimum number of persons required to form a partnership is 2.

iii. **Maximum number of members:** A public company may have any number of members. A private company cannot have more than 50 members. A partnership carrying on banking business cannot have more than 10 members and partnership carrying on other types of business cannot have more than 20 members.

iv. **Legal status:** A company is regarded by law as a single person. It has a legal personality. A partnership is a collection of individuals. It is not considered to be a single person.

v. **Authority of members:** The property of a partnership is the joint property of the partners. Each partner has authority to bind the firm by his acts. The property of the company belongs to the company. A shareholder in his individual capacity cannot bind the company in any way.

vi. **Contractual capacity:** The shareholder of a company can enter into contracts with the company and can be an employee of the company. Partners can contract with other partners but not with the firm as a whole.

vii. **Management:** A partnership firm is managed by the partners themselves. The work of management can be distributed among them in any manner they like. A company is managed by the Board of Directors or Whole Time Directors or Managing Directors or Manager who are selected in the manner provided by the Act. A shareholder, as such, cannot participate in the management.

viii. **Length of existence:** A company has perpetual succession. The death or insolvency of a member does not affect its existence. It comes to an end only when liquidated according to the provisions of the Companies Act. A partnership, in the absence of a contract to the contrary, comes to an end when a partner dies or becomes insolvent.

ix. **Liability of members:** The liability of the members of a partnership for the debts of the firm is unlimited. The liability of the members of a company is limited.

x. **Liability of firm and company:** The creditors of a firm are creditors of the individual partners, and a decree obtained against a firm can be executed against the individual partners. The creditors of a company are not creditors of the individual shareholders and a decree obtained against a company cannot be executed against any shareholder. It can only be executed against the assets of the company.

xi. **Transferability:** A partner of a firm cannot transfer his interest in the firm to an outsider and make the transferee a partner without the consent of all the other partners. The shareholder of a company can ordinarily transfer his share and the transferee becomes a member of the company.

xii. **Statutory obligations:** A company is required to comply with various statutory obligations regarding management, e.g., filing balance sheets, maintaining proper books and registers. In the case of partnership there are no such statutory obligations.

6. Conversion of private company into public company

A private company having at least seven members can be converted into a public company by altering its articles in such manner that they no longer include the provisions which, under clause of sub-section (1) of section 2 of the Companies Act, are required to be included in the articles of a company in order to constitute it a private company. From the date of such alteration the company ceases to be a private company and is required within a period of thirty days after the said date file with the Registrar either a prospectus or a statement in lieu of prospectus (Section – 231).

7. Conversion of a public company into private company

According to section 232-

1. A public company, having not more than fifty members at the time of conversion, may be converted into a private one by passing a special resolution altering its articles so as to exclude provisions if any, in the articles of association applicable to public company and include therein provisions applicable to a private company.
2. If the company has secured creditors, their written consent shall have to be obtained before passing a resolution as per provision of sub section (1) and the shares enlisted with the Stock Exchange shall have to be de-listed.

8. Formation of companies and administrative consequences

8.1 Company formation

The formation of a company is a three-stage process entailing i) promotion; ii) registration; and iii) commencement of business.

The process by which a company is incorporated or put into shape as a corporate body or floated by issuing shares is the promotion part of the job.

When a company is formed, the promoters need to get that registered with the Registrar of Joint Stock Companies and Firms. The minimum and maximum number of members fixed for them in the case of a private limited company is two and fifty respectively, while for a public limited company it is seven as the minimum with no maximum set. The Act provides punitive measures for any violation of this under section 222 and is liable to be wound up by the court under section

241(iv). For registration they have to select a name for the company and have it checked at the end of the Registrar so that no other company exists by that name is assured. The company must have a permanent head office known as its Registered Office. After the company is

registered, the Registrar issues a certificate called the "Certificate of Incorporation" which is a vital document for the company. From the date of registration, the company is a corporate personality and will have its existence, continuous and perpetual unless liquidated.

8.2 Formation expenses

Dispute may also arise between an honest promoter and the company he has formed over the recovery of his expenses. Some fees are payable to form a company; if there is a large operation

involving transfer of property on flotation of the company on the Stock Exchange, expenses can be very large indeed. The promoter has no automatic·right to recover his expenses from the company even if the company has benefited. The articles of association will usually authorize the directors, to repay the expenses. Even such a clause in the articles, however is not a contract which the promoter can enforce because the articles only apply as a contract to dealings between the company and a shareholder as such.

There is no objection in law to the promoter becoming one of the first directors, he may also be a substantial shareholder. From that vantage point he should in practice be able to recover from the company his actual preliminary expenses.

8.3 Pre-incorporation contracts

A company cannot be bound by a contract which was made on its behalf by any person (including a promoter) before the company itself had been formed. At the time when the contract is made, the company is non-existent, it cannot after its formation ratify a contract to which it could not have been a party when the contract was made [Kenner v Baxter (1866)].

In Kenner's case goods had been ordered for the company's business before the company was formed. But the company is not bound by a contract merely because it later performs it, e. g. by accepting the goods or services. The company will, of course be liable if it makes a fresh contract after the company is formed; but there must be clear evidence that it intended to do so.

In the circumstances, the simplest and safest course for a promoter is to bring the negotiations to the point of agreement but to postpone any binding contract until the company is formed and can enter into the contract for itself. However, if it is essential to some formula of assignment or notation (by which the company is to take over his obligations as a new contract) to be made after incorporation and when it does so, or if it does not do so within a specified time, he is then to be released.

8.4 Certificate of incorporation

The certificate issued by the registrar after a company is registered is called the Certificate of Incorporation. Section 25 of the Act states that the Certificate of Incorporation is conclusive evidence about the following matters:

1. All the requirements of the Act have been complied with respect of registration and matters precedent and incident thereto.
2. The association is a company authorized to be registered and duly registered under the Act.
3. The legal existence of the company begins from the date of issue of the certificate.

Once the certificate is issued, the incorporation cannot be challenged even though there were irregularities prior to registration.

9. Memorandum

i Meaning of memorandum

The Memorandum of Association is a document which contains the fundamental rules regarding the constitution and activities of a company. It is the basic document which lays down how the company is to be constituted and what work it shall undertake. The purpose of the memorandum

is to enable the members of the company, its creditors, and th e public to know what its powers are and what is the range of its activities. The memorandum contains rules regarding the capital structure, the liability of the members, the objects of the company, and all other important matters relating to the company. The memorandum is altered only after certain formalities are observed.

ii Importance of memorandum

The Memorandum shows the range of the enterprise. The memorandum is the foundation on which the superstructure of the company has been built up. It enables the shareholders, creditors and outsiders to know the permitted activities of the company (Egyptian Salt and Soda Co. Ltd. vs. Port Said Salt Association Ltd).

10. Articles of Association

i Meaning of Articles of Association

The Articles of Association is a document which contains rules, regulations and bye-laws regarding the internal management of the company. Articles must not violate any provision of the memorandum or any provision of the Companies Act. The rules laid down in the articles must always be read subject to the rules contained in the memorandum.

ii Contents of Articles of Association

Articles of Association usually contain provisions in respect of the following matters:

a. Share capital, rights of shareholders, payment of commissions, share certificates.
b. Lien on shares.
c. Calls on shares.
d. Transfer of shares.
e. Transmission of shares.
f. Forfeiture of shares.
g. Conversion of shares into stock.
h. Share warrants.
i. Alteration of capital.
j. General meetings and voting rights of members.
k. Appointment and remuneration of directors, board of directors, managers and secretary.
l. Dividends and reserves.
m. Accounts and audits.

n. Capitalization of profits.

o. Winding up

11. Memorandum vs Articles of Association

The distinction between the memorandum and the articles of association can be summed up as follows:

1. The memorandum is the fundamental charter of the company determining its constitution and objectives; the articles are rules regarding internal management.

2. Any rule in the articles contrary to the memorandum is invalid.

3. Articles can be altered easily; the memorandum can be altered only after the adoption of certain formalities.

4. Certain clauses of memorandum cannot be altered without the sanction of the Government and of the Court e.g., the object clause and the liability clause. Other clauses can be altered easily e.g., the name clause. Articles can be altered by passing a special resolution. The approval of the Government is required in special cases e.g., the remuneration of directors of public companies. For change of articles, Court sanction is generally not required.

5. The memorandum defines the powers of the company and the relationship between the company and the members and also non-members. Articles define and regulate the relationship between the company and the members and the relationship between the members.

6. Acts beyond the powers of memorandum are void. Such an act cannot be ratified by the members even by a unanimous resolution. But acts done by a company beyond the articles can be ratified by the shareholders provided they are within the powers of Memorandum.

7. If an act is within the powers given by the memorandum but contrary to some provision of the articles, the members can change the articles and ratify the act.

12. Forms and contents of memorandum of various companies

A Form and contents of memorandum of a company limited by shares

According to section 6 of the Companies Act, the memorandum of a company limited by shares shall state the following:

1. The name of the company, with "limited" as the last word in its name.
2. The address of the registered office.
3. The objects of the company, and, except in the case of trading companies, the territories to which they extend.
4. That the liability of the members is limited.
5. The amount of share capital with which the company proposes to be registered, and the divisions thereof into shares of a fixed amount.

B Specimen of Memorandum of Association of a company limited by shares (Schedule- VI)

1. The name of the company: such as The Eastern Steam Packet Company Limited.
2. The registered office of the company shall be situated in Bangladesh.
3. The objects for which the company is established are as follows: passengers and goods in ships or boats between such places as the company may from time to time determine and doing all such other things as is incidental or conducive to the attainment of the above objective.
4. The liability of the members is limited.
5. The share capital of the company is two hundred thousand Taka divided into one thousand shares of two hundred taka each.

We the several persons, whose names and addresses are subscribed, are desirous on being formed into a company in pursuance of this memorandum of association and we respectively agree to take the number of shares in the capital of the company set opposite our respective names:

Names, Addresses, nationality description of subscribers	Number of shares taken by each subscriber	Signature of the subscribers
1.		
2.		
3.		
4.		
5.		

C Contents of memorandum of company limited by guarantee

Contents of the memorandum of a company limited by guarantee have been laid down on section 7. According to this section, in the case of a company limited by guarantee, the memorandum shall state:

1. The name of the company, with "limited" as the last word in its name;

2. The address of the registered office;

3. The objects of the company, and, except in the case of trading companies, the territories to which they extend;

4. That the liability of the members is limited;

5. That each member undertakes to contribute to the assets of the company in the event of its being wound up while he is a member or within one year afterwards, for payment of the debts and liabilities of the" company contracted before he ceases to be a member, and of the charges and expenses of winding up, and for adjustment of the rights of the contributories among themselves, such amount as may be required, not exceeding a specified amount.

If the company "has a share capital", the memorandum shall also state the amount of share capital with which the company proposes to be registered and the division thereof into shares of a fixed amount; Each subscriber of the memorandum shall take at least one share; and each subscriber shall write opposite to his name the number of shares he takes.

D Form and contents of memorandum of unlimited company

Section 8 states that in the case of an unlimited company, the memorandum shall state-

1. The name of the company;

2. The address of the registered office of the company;

3. The objects of the company and, except in the ease of trading companies, the territories to which they extend.

If the company has a share capital, then each subscriber of the memorandum shall take at least one share; and each subscriber shall write opposite to his name the number of shares he takes. Specimen of Memorandum of Association of a company limited by Guarantee and not having a share capital (Schedule- VII):

1 The name of the company is: such as "The mutual (Dhaka) Marine Association Limited".

2 The registered office of the company shall be situated in Bangladesh.

3 The objects for which the company is established are as follows: "The mutual insurance of ships to belonging to members of the company and doing all such other things as is incidental or conducive to the attainment of the above objective.

4 The liability of the members is limited.

5 Every member of the company undertakes to contribute to the assets of the company in the event of its being wound up while he is member or within one year afterwards, for payment of the debts and liabilities of the company contracted before he ceases to be a member, and the costs, charges and expenses of winding up and for the adjustment of the right of the contributories among themselves, such amount as may be required not exceeding one hundred Taka.

We the several persons, whose names and addresses are subscribed, are desirous on being formed into a company in pursuance of this memorandum of association:

Names, Addresses, nationality description of subscribers	Signature of the subscribers
1.	
2.	
3.	
4.	
Name, address and signature of the witnesses:	

13. Alteration of memorandum

The memorandum of Association of a company can be altered for different purposes according to the procedure laid down in the companies Act. The procedure is different for different clauses of the memo. Section 12 states that the object clause of a company can be altered by special resolution for the purpose of enabling the company:

a) to carry on its business more economically or more efficiently; or

b) to attain its main purpose by new or improved means; or

c) to enlarge or change the local area of its operations; or

d) to carry on some business which, under the existing circumstances, may conveniently or advantageously be combined with the business of the company; or

e) to restrict or abandon any of the objects specified in the memorandum; or

f) to sell or dispose of the whole or any part of the undertaking of the company; or

g) to amalgamate with any other company or body of persons.

14. Prospectus

A prospectus is an invitation to the public to purchase shares or debenture of a company. In other words, a prospectus may be defined as any document that includes any notice, circular, advertisement or other document inviting deposits from the public or inviting offers from the public for the subscription or purchase of any share in, or debentures of a body corporate. Prospectus has the following characteristics:

1. It is a document described or issued as a prospectus.
2. It includes any notice, circular, advertisement inviting deposits from the public.
3. It is an invitation to the public.
4. The public is invited to subscribe the shares or debentures of a company.

1 Contents of prospectus

Every prospectus issued by or on behalf of a company shall state the matters specified in Part-I of schedule III of the Companies Act 1994. According to Part I of Schedule III, following items are to be included in the prospectus:

1. The names, addresses, descriptions and occupations of the signatories to the memorandum and the number of shares subscribed for them.

2. The number and classes of shares and the nature and extent of interest of holders in the property and profits of the company.
3. The number of redeemable preference shares intended to be issued with the date of redemption.
4. The rights in respect of capital and dividend attached to different classes of shares.
5. The number of shares fixed by the articles as the qualification of director.
6. Particulars regarding directors, managing agents, manager, secretaries and treasures etc.
7. Remuneration of the directors.
8. The minimum amount of subscription and amount payable on application.
9. Time of opening of subscription list.
10. Preliminary expenses incurred.
11. Particulars regarding purchase of property.
12. Details of any premium or under-writing commissions paid.
13. Particulars of reserves including reserve capital.
14. Nature and extent of interest of every director and promoter.
15. Names and addresses of the auditors of the company.
16. The nature and extent of restrictions upon members at company meetings.
17. Restrictions upon powers of the directors.
18. Voting rights, capitalization of reserves and surplus of revaluation.

2 Registration of prospectus

Before publication of prospectus inviting people to subscribe shares or debentures of a company, a copy of the prospectus must be delivered to the Registrar for registration on or before the date of publication. It should be signed by the directors or proposed directors of the company or by their agent. On the face of the prospectus delivered to the Registrar for registration, it should be stated that a copy has been delivered for registration; and must contain a list of statements included in the prospectus. The registrar shall not register a prospectus unless the prospectus contains all the elements mentioned earlier and the prospectus is accompanied by the consent in writing of the person if any, named therein as the auditor, legal adviser, attorney, solicitor, banker or broker of the company or intended company, to act in that capacity. No prospectus shall be issued more than ninety days after the date on which a copy thereof is delivered for registration, and if a prospectus is so issued, it shall be deemed to be a prospectus a copy of which has not been delivered under this section to the Registrar. If a prospectus is issued without delivering a copy thereof to the Registrar, the company and every person from those who have knowing been a party to the issue of the prospectus shall be punishable with the fine which may extend to five thousand Taka (Section 138).

3 Penalty for untrue statement in prospectus

The criminal liabilities that arise out of faulty statement in the prospectus as lay laid down in section 145 of the Act. Additionally, section 146 spells down that when a prospectus includes any untrue statement every person who authorized the issue of the prospectus shall be punishable with imprisonment for a term which may extend to two years, or with fine which may extend to five thousand taka or with both, unless he proves either that the statement was immaterial or that he had reasonable ground, to believe that the statement was true (section 146).

4 Documents used in incorporation of companies

The papers and documents to be submitted to the Registrar along with the Memorandum of Association and the Articles of Association (if any) are as follows:

In case of Private Company –

i. Declaration of Compliance (Form 1)
ii. Notice of situation of Registered Office (Form VI)
iii. Particulars of Directors, Manager and Managing Agents (Form XII)
iv. Consent of Directors to act (Form IX)
v. Lists of persons consenting to be Directors (Form X)

Illustrative: Declaration of compliance:

FORM 1

Declaration on Registration of Company
The Companies Act, 1994
(Section - 25)

Filing fee Tk. 20/-

Name of the Company ..... Declaration of compliance with the requirements of the Companies Act 1994, made pursuant to Section 25

(2) on behalf of a company to be Registered as the..... Presented for filing by..... .....I.....

of ..... do solemnly and sincerely declare that I am an Advocate / Attorney/a Pleader entitled to appear before a High Court who in engaged the formation of the company/a person named in the Articles as a Director/Manager/Secretary of the..... and that all the requirements of the Companies Act, 1994, in respect of matters precedent to the registration of the said company and incidental there to have been complied with, save only the payment to the fees and sums payable on registration and I make this solemn declaration conscientiously believing the same to be true.

Signature:

NOTE: The declaration need not to be either -

(a) Signed before a Magistrate or an Officer competent to administer oaths or
(b) Stamped as an Affidavit.

Illustrative: Notice of situation of registered office:

Regd. No. of the Company..... Filing Fee Tk. 20.00

FORM VI

Notice of situation of Registered office or of any change therein.
THE COMPANIES ACT, 1994

(Section 77)

Name of Company.....

Presented for filing by.....

To

The Registrar of Joint Stock Companies .....

..... Limited, hereby gives you notice, in accordance with Section 77 of the Companies Act, 1994 that the Registered Office of the Company is situated at .....

.....

...../was removed

from.....

..... to .....

on the ..... 19.....

Signature

Designation

(State whether Director or Manager or Secretary)

Dated ..... day of .....19.....

N. B.: This notice must be filed with the Registrar within 28 days of incorporation or of the change, as the case may be.

Illustrative: Particulars of directors, managers etc.

FORM XII

Particulars of the Directors, manager and Managing Agents and of any changes therein

COMPANIES Act 1994 (. Section 115)

Filling fee Tk. 20

Name of the Company.....

Presented for filling by .....

The present Name or Names and Surname (a) (b)	The present Name or Names and Surnam e (a) (b)	National ity	Nationality of origin (other than the present nationality)	Usual Reside ntial Address	Other business occupation and directorship if any, if none, sate of (b)	Date of appointm ent or change	Chan ges (c)

(Signature) Designation

Dated the ..... day of 20

(a) In the case of corporation its corporate name and registered or principal office should be shown. (b)In the case of an individual who has no business occupation but any other

directorship or directorships particular of that directorship or some of those directorships must be entered. A complete list of the Directors Manager Managing Agents shown as existing in the last particulars delivered should always be given. (c) A none of the changes since the "last list should be made in this column, by placing against a new director name the words" in place of by writing against a new director's name the words "dead" resigned or as the case may be. (d) In case of a firm the full address and nationality of each partner, and the date on which became a partner.

Illustrative: Consent of Director to Act

FORM IX

Consent of Director to Act

THE COMPANIES ACT, 1994 (Sec. 92)

Filing Fee Tk. 20

Name of Company.....
Consent to act as Director / Directors of the ..... to be signed and filed pursuant to section 92 (1) (a)

Presented for filling by ..... To the Registrar of Joint Stock Companies .....

I/We, undersigned, hereby testify my/our consent to act as Director/Directors of the. ....pursuant to Section 92 (1) (a) the Companies Act, 1994.

SIGNATURE ADDRESS DESCRIPTION

Dated this .....day of..... 20.....

NOTE: If a Director Signs by his agent authorized in writing the authority must produce and a copy attached.

Illustrative: LISTS OF PERSONS CONSENTING TO BE DIRECTORS:

FORM X

List of Persons consenting to be Directors

Companies Act 1994 (Section 92)

Filing Fee Tk. 20

Name of Company .....

List of persons who have consented to be Directors of the.....

..... to be filed with the Registrar pursuant to Section 92 (2)

Presented for filing by..... To the Registrar of Joint of Companies.....

I / We, the undersigned, hereby give you notice, pursuant to Section 92 (2) of the Companies Act, 1994, that the following persons have consented to be Directors of the

.....

.....

Name Address Description

.....

..... Signature, Address and description of applicant for registration

Dated this.....day of..... 20.....

5 Commencement of business

company, having a share capital and issuing a prospectus, cannot commence business until the Registrar issues a certificate known as the "Certificate of Commencement of Business". This certificate is issued after the following formalities have been complied with:

i. The minimum subscription has been raised.

ii. Every director has paid the money payable on application and an allotment for the shares taken up by him.

iii. No money is repayable for failure to obtain stock exchange recognition for the shares, where such recognition was promised.

iv. A duly verified declaration by a director or the secretary has been filed with the Registrar that the above requirements have been complied with.

However, a public company having share capital but not issuing a prospectus, will get the commencement certificate if the following conditions are fulfilled:

i. A statement in lieu of prospectus has been filed with the Registrar.

ii. The directors have paid the money due from them on account of shares.

iii. A declaration by a director or the secretary has been filed with the registrar stating that condition (b) has been satisfied.

15. Share capital – capital maintenance

1 Capital

The capital of a company means the amount of money which it is authorized by its Memorandum to raise, generally by the issue of shares. Hence, a company's capital is also called share capital. Sometimes the phrase debenture capital is used to denote the amount borrowed by the company and secured by debentures. In company law, the word capital is used to mean the following:

1. Nominal or authorized share capital: Nominal capital or authorized capital is the total face value of the shares which the company is authorized to issue by its memorandum of association. The total share capital of the company is also called its registered capital.
2. Issued share capital: Issued capital is that part of authorized capital which is actually offered to the public for sale.
3. Subscribed share capital: Subscribed capital is that part of the issued capital which is taken up and accepted by the public.
4. Paid up capital: Paid up capital is the amount of money actually paid by the subscribers or credited as so paid.
5. Reserve capital: A company by a special resolution may declare that the „uncalled capital of the company shall not be capable of being called up except when the company is wound up. This uncalled capital becomes the reserve capital of the company (sec. 74).

2 Shares

The shareholders are the owners of a company. Therefore, a share may be defined as an interest in the company entitling the owner of a proportionate part of the profits, if any, and of a proportionate part of assets of the company upon liquidation. In Borland's Trustee V. Steel Brothers & Co (1901), the Justice Farewell defined that "a share is the interest of a shareholder in the company measured by a sum of money for the purpose of liability in the first place and of interest in the second, but also consisting of a series of mutual covenants entered into by all the shareholder's interest. A share is not sum of money and made up of various rights contained in the contracts."

3 Classification of shares

The share capital of a company is generally divided dived into the following classes of shares:

1. Preference shares: Preference shares are those shares whose holders are entitled to a fixed rate of dividend, before any dividend is paid to the ordinary shares. Preference shares might be cumulative or non-cumulative. In the case of cumulative preference shares, if the profit made by a company in a particular year is not sufficient to pay dividend at the prescribed rate, the shortage must be made up of the profits of succeeding year. In non-cumulative preference shares, such shortages are not required to be made up. Dividends which are not paid, do not accumulate but lapses.

2. Ordinary shares: Ordinary shares are those whose holders are entitled to dividend out of the net profits of the company after the fixed dividend on preference shares has been paid up.

3. Deferred shares or Founders' shares: Deferred shares or Founder's shares are usually allotted to the promoters in consideration of the services rendered by them; and to the underwriters in consideration of the commission due to them. In either case, the particulars of contact must be filed with Registrar and the number of such shares must be stated in the prospectus or in the statement in lieu of prospectus (Sec. 135). The deferred shareholders are usually entitled to a certain proportion of the profits which remain after paying the dividend on the capital paid up on all the other shares for the time being issued at a particular rate.

4 Distinction between shares and stock

Shares and stock are two methods of denoting the interest of a member of a company. The difference between share and stock are stated below:

1. The shares of the same company are of equal nominal value. But stock may be divided into unequal amounts. Thus Tk. 100 worth of stock can be divided into two parts of Tk. 50 each.
2. Shares cannot be issued or transferred in fragments. Thus, a member cannot hold half of a share. But a stock can be transferred in fragments.
3. Shares may be partly paid. Shares can be converted into stock only when fully paid.
4. Stock cannot be issued when a company is initially formed. Shares are issued when a company is formed.
5. Shares are numbered consecutively. Stocks are not numbered. But the names of the stock- holder are recorded in the Books of the Company.
6. Shares can be directly issued to the public whereas stock cannot be issued directly.

5 Minimum subscription

Where shares are offered to the public for subscription, the prospectus must mention the minimum amount which must be raised by the issue of shares before the company can commence business. The minimum subscription is to be fixed by the directors or by the persons who have signed the memorandum. Section 148(2) states that no allotment shall be made of any capital of a company offered to the public for subscription, unless the amount stated in the prospectus as the minimum amount is raised by the issue of these shares and at least 5% of that amount have been paid in cash to the company. This amount is to be determined by taking into account the flowing expenses:

1. The purchase price of any necessary property.
2. The preliminary expenses, including commissions payable for the sale of shares.
3. Repayment of any money borrowed by the company for the above two purposes.
4. Working capital.

The amount of minimum subscription stated in the prospectus shall be reckoned exclusively of any amount payable otherwise than in cash. All moneys received from applicants for shares shall be deposited and kept in a scheduled bank until the certificate to commence business is obtained.

6 Alteration of capital

A company can alter its share capital in a manner mentioned in its articles. However, if no such power is provided in the article, they may alter the article by a special resolution so as to

provide for such power. The capital may be altered, so as to increase, consolidate, cancel or convert the shares (sec. 53).

1. Increase of capital: The share capital of a company whether converted into stock or not, may be increased in a general meeting by issuing new shares (sec. 53). Where the capital is increased beyond the registered capital, the notice of increase, including the particulars of the classes of shares affected, must be filled with the Registrar within 15 days of the passing of the resolution.

   Increasing share by issuing new shares: According to section 155, where the directors decide to increase the subscribed capital of the company by issue of further shares within the limit of the authorized capital, the following procedure are to be followed:

   a. Such further shares shall be offered to the existing equity shareholders in proportion as nearly as circumstances admit.

   b. such offer shall be made by notice specifying the number of shares offered and specifying the time limit, not being less than fifteen days from the date of the offer, within which the offer if not accepted, will be deemed to have been declined;

   c. after the expiry of the time specified in the notice aforesaid, or on receipt of earlier intimation from the members to whom such notice is given that he declines to accept the shares offered, the directors may dispose of the same in such manner as they may think most beneficial to the company.

2. Consolidation: If the articles provide, the company may in a general meeting, consolidate and divide all or any of its share capital into shares of a larger amount than the existing shares or convert all or any of the paid-up shares into stock and reconvert into paid up shares of any denomination [sec.53 (1) (b)]. Notice of consolidation, conversion or reconversion is to be filed within 15 days thereof with the Registrar. In default, the company and its officers are liable to a fine not exceeding Tk. 200 for every day during which default continuous [(sec. 54(1)(2)].

3. Subdivision: A company, if authorized by its articles, may sub-divide in general meeting the capital into shares of a smaller amount than is specified in the memorandum. The effect of such sub-division will be that the remaining unpaid amount on each new share shall be proportionate to that unpaid on the shares from which the division made [(sec. 53(1)(d)]

4. Cancellation: A company may cancel any share which at the date of exercising the power in that behalf have not been subscribed for or agreed to be subscribed for by any person and diminish the amount of its share capital by the amount of the shares so cancelled [(sec. 53(1)(e)].

5. Reduction of share capital: The power to reduce capital must be given by the articles. If no such power, the articles may be changed by a special resolution. According to section 59, the share capital may be reduced by: a) reducing or extinguishing the liability of members for uncalled share capita; or b) writing off lost share capital; or c) paying off share capital which is in excess of the wants of the company; or d) All these are to be done only by way approve by the court.

7 Procedure for reduction of share capital

Reduction of capital is possible only by passing a special resolution and confirmation by the court. The court would inquire into the objections, if any, raised by the creditors. In this respect the court settles the list of creditors entitled to object and issues public notices (sec. 62). On hearing the objections, the court may confirm the reduction on such terms and conditions as it may dam fit (sec. 64).

8 Reserve share capital of limited company

A limited company may by special resolution, determine that any portion of its share capital

which has not been already called up shall not be called up, except in the event and for the purposes of the company being wound up, and thereupon that portion of its share capital shall not be capable of being called up except in the event and for the purposes aforesaid; and such- portion shall be called reserved share capital (section-74).

9 Unlimited company to provide for reserve share capital on registration

When an unlimited company having a share, capital adopts a resolution for registration as a limited company, can increase the nominal amount of its share capital by increasing the nominal amount of each of its shares, but subject to the condition that no part of the amount by which its capital is so increased shall be called up except in the event of the company being wound, up. The portion of the share capital increased shall be called the reserved share capital (section 73).

10 Calls on shares

The directors may from time to time make calls upon the members in respect of any moneys unpaid on their shares, provided that no call shall exceed one-fourth of the nominal amount of the share, or be payable at less than one month from the last call; and each member shall (subject to receiving at least fourteen days" notice specifying the time or times of payments) pay

to the company at the time or times so specified the amount called on his shares. (Para 12, Schedule 1)

The joint-holders of a share shall be jointly and severally liable to pay all calls in respect thereof. (Para 13, Schedule 1)

If a sum called in respect of a share is not paid before or on the day appointed for payment thereof, the person from whom the sum is due shall pay interest upon the sum at the rate of five per cent, per annum from the day appointed for the payment thereof to the time of the actual payment, but the directors shall be at liberty to waive payment of that interest wholly or in part. (Para 14, Schedule 1)

The provisions of these regulations as to payment of interest shall apply in the case of non-payment of any sum which, by the terms of issue of a share, becomes payable, at a fixed time, whether on account of the amount of the share, or by way of premium. (Para 15, Schedule 1)

The directors may make arrangements on the issue of shares for a difference between the holders in the amount of calls to be paid and in the times of payment. (Para 16, Schedule 1)

The directors may, if they think fit, receive from any member willing to advance the same all or any part of the moneys uncalled and unpaid upon any shares held by him; and upon all or any of the moneys so advanced may (until the same would, but for such advance, become presently payable) pay interest at such rate (not exceeding, without the sanction of the company in general meeting, six per cent) as may be agreed upon between the member paying the sum in advance and the directors. (Para 17, Schedule 1)

11 Transfer and Transmission of Shares

The instrument of transfer of any share in the company shall be executed both by the transferor and transferee, and the transferor shall be deemed to remain holder of the share until the name of the transferee is entered in the register of members in respect thereof. (Para 18, Schedule 1) Shares in the company shall be transferred in the following form, or in any usual or common form which the directors shall approve. (Para 19, Schedule 1)

I, A B of , in consideration of the sum of (taka) paid to me by C D of (hereinafter called "the said transferee"), do hereby transfer to the said transferee the share (or shares) numbered in

the undertaking called the Company, Limited, to hold unto the said transferee, his executors, administrators and assigns, subject to the several conditions on which I held the same at the time of the execution thereof, and I, the said transferee, do hereby agree to take the said share (or shares) subject to the conditions, aforesaid. As witness our hands the day of Witness to the signatures of etc.

The directors may decline to register any transfer of shares, not being fully-paid shares, to a person of whom they do not approve, and may also decline to register any transfer of shares on which the company has a lien. The directors may also suspend the registration of transfers during the fourteen days immediately preceding the ordinary general meeting in each year. The directors may decline to recognize any instrument of transfer unless-

(a) A fee not exceeding taka ten is paid to the company in respect thereof; and

(b) The instrument of transfer is accompanied by the certificate of the shares to which it relates, and such other evidence as the directors may reasonably require to show the right of the transferor to make the transfer. (Para 20, Schedule 1)

(If the directors refuse to register a transfer of any shares, they shall within two months after the date on which the transfer was lodged with the company send to the transferee and the transferor notice of the refusal.)

The executors or administrators of a deceased sole holder of a share shall be the only person recognized by the company as having any title to the share. In the case of a share registered in the names of two or more holders, the survivors or survivor or the executors or administrators or the deceased survivor, shall be the only person recognized by the company as having any title to the share. (Para 21, Schedule 1)

Any person becoming entitled to a share in consequence of the death or insolvency of a member shall, upon such evidence being produced as may from time to time be required by the directors, have the right, either to be registered as a member in respect of the share or, instead of being registered himself, to make such transfer of the share as the deceased or insolvent person could have made; but the directors shall, in either case, have the same right to decline or suspend registration as they would have had in the case of a transfer of the share by the deceased or insolvent person before the death or insolvency. (Para 22, Schedule 1)

A person becoming entitled to a share by reason of the death or insolvency of the holder shall be entitled to the same dividends and other advantages to which he would be entitled if he were the registered holder of the share, except that he shall not, before being registered as a member in respect of the share, be entitled in respect of it to exercise any right conferred by membership in relation to meetings of the company. (Para 23, Schedule 1).

12 Forfeiture of Shares

If a member fails to pay any call or instalment of a call on the day appointed for payment thereof, the directors may, at any time thereafter during such time as any part of such call or instalment remain unpaid, serve a notice on him requiring payment of so much of the call or instalment as is unpaid, together with any interest which may have accrued. (Para 24, Schedule1)

The notice shall name a further day (not earlier than the expiration of fourteen days, from the date of the notice) on or before which the payment required by the notice is to be made, and shall state that, in the event of non-payment at or before the time appointed, the shares in respect of which the call was made will be liable to be forfeited. (Para 25, Schedule 1)

If the requirements of any such notice as aforesaid are not complied with, any share in respect of which the notice has been given may at any time thereafter, before the payment required by the notice has been made, be forfeited by a resolution of the directors to that effect. (Para 26, Schedule 1)

A forfeited share may be sold or otherwise disposed of on such terms and in such manner as the directors think fit, and at any time before a sale or disposition the forfeiture may be cancelled on such terms as the directors think fit. (Para 27, Schedule 1)

A person whose share have been forfeited shall cease to be a member in respect of the forfeited shares, but shall, notwithstanding, remain liable to pay to the company all moneys which, at the date of forfeiture, were presently payable by him to the company in respect of the shares, but his liability shall cease if and when the company received payment in full of the nominal amount of the shares. (Para 28, Schedule 1)

A duly verified declaration in writing that the declarant is a director of the company has been duly forfeited on a date stated in the declaration, shall be conclusive evidence of the facts therein stated as against all persons claiming to be entitled to the share, and that declaration, and the receipt of the company for the consideration, if any, given for the share on the sale or disposition thereof, shall constitute a good title to the share, and the person to whom the share is sold or disposed of shall be registered as the holder of the share and shall not be bound to see to the application of the purchase money (if any), nor shall his title to the share be affected by any irregularity or invalidity in the proceedings in reference to the forfeiture, sale or disposal of the share. (Para 29, Schedule 1)

The provisions of these regulations as to forfeiture shall apply in the case of non-payment of any sum which, by the terms of issue of a share, becomes payable at a fixed time, whether on account of the amount of the share, or by way of premium, as if the same had been payable by virtue of a call duly made and notified. (Para 30, Schedule 1)

13 Conversion of Shares into Stock

The directors may, with the sanction of the company previously given in general meeting, convert any paid-up shares into stock, and may with the like sanction re-convert any stock into paid-up shares of any denomination. (Para 31, Schedule 1)

The holders of stock may transfer the same, or part thereof, in the same manner, and subject to the same regulations, as and subject to which, the shares from which the stock arose might previously to conversion have been transferred, or as near thereto as circumstances admit, but the directors may from time to time fix the minimum amount of stock transferable, and restrict or forbid the transfer of fractions of that minimum, but the minimum shall not exceed the nominal amount of the shares from which the stock arose, and may also prohibit or restrict the transfer of such stock. (Para 32, Schedule 1)

The holders of stock shall, according to the amount of the stock held by them, have the same rights, privileges and advantages as regards dividends, voting at meetings of the company, and other matter, as if they held the shares from which the stock arose, but no such privilege or advantage (except participation in the dividends and profits of the company) shall be conferred by any such aliquot part of stock as would not, if existing in shares, have conferred that privilege or advantage. (Para 33, Schedule 1)

Such of the regulations of the company (other than those relating to share-warrants), as are applicable to paid-up shares shall apply to stock, and the words, „share" and "share-holder" therein shall include "stock" and "stock-holder". (Para 34, Schedule 1).

14 Share-warrants

The company may issue share-warrants, and accordingly the directors may in their discretion, with respect to any share which is fully paid up, on application in writing signed by the person registered as holder of the share, and authenticated by such evidence (if any) as the directors may from time to time require as to the identity of the person signing the request, and on receiving the certificate (if any) of the share, and the amount of the stamp-duty on the warrant and such fee as the directors may from time to time require, issue under the company's seal a

warrant, duly stamped, stating that the bearer of the warrant is entitled to the shares therein specified and may provide by coupons or otherwise for the payment of dividends, or other moneys, on the shares included in the warrant. (Para 35, Schedule 1)

A share-warrant shall entitle the bearer to the shares included in it, and the share shall be transferred by the delivery of the share-warrant, and the provisions of the regulations of the company with respect of transfer and transmission of shares shall not apply thereto. (Para 36, Schedule 1)

The bearer of a share-warrant shall, on surrender of the warrant to the company for cancellation, and on payment of such sum as the directors may from time to time prescribe, be entitled to have his name entered as a member in the register of members in respect of the shares included in the warrant. (Para 37, Schedule 1)

The bearer of a share-warrant may at any time deposit the warrant at the office of the company, and so long as the warrant remains so deposited, the depositor shall have the same right of signing a requisition for calling a meeting of the company, and of attending and voting and exercising the other privileges of a member at any meeting held after the expiration of two clear days from the time of deposit, as if his name were inserted in the register of members as the holder of the shares included in the deposited warrant. Not more than one person shall be recognized as depositor of the share-warrant. The company shall, on two days written notice, return the deposited share-warrant to the depositor. (Para 38, Schedule 1)

Subject as herein otherwise expressly provided, no person shall, as bearer of a share-warrant, sign a requisition for calling a meeting of the company, or attend, or vote or exercise any other privilege of a member at a meeting of the company, or be entitled to receive any notices from the company; but the bearer of a share-warrant shall be entitled in all other respects to the same privileges and advantages as if he were named in the register of members as the holder of the shares included in the warrant, and he shall be a member of the company. (Para 39, Schedule 1)

The directors may, from time to time, make rules as to the terms on which (if they shall think fit) a new share-warrant or coupon may be issued by way of renewal in case of defacement, loss or destruction. (Para 40, Schedule 1)

15 Alteration of Capital

The directors may, with the sanction of the company in general meeting, increase the share capital by such sum, to be divided into shares of such amount, as the resolution shall prescribe. (Para 41, Schedule 1)

Subject to any direction to the contrary that may be given by the resolution sanctioning the increase of share capital, all new shares shall, before issue, be offered to such persons as at the date of the offer are entitled to receive notices from the company of general meetings in proportion, as nearly as the circumstances admit, to the amount of the existing shares to which they are entitled. The offer shall be made by notice specifying the number or shares, offered, and limiting a time within which the offer, if not accepted, will be deemed to be declined, and after the expiration of that time, or on the receipt of an intimation from the person to whom the offer is made that he declines to accept the shares offered, the directors may dispose of the

same in such manner as they think most beneficial to the company. The directors may likewise so dispose of any new shares which (by reason of the ratio which the new shares bear to shares held by persons entitled to an offer of new shares) cannot, in the opinion of the directors, be conveniently offered under this article. (Para 42, Schedule 1)

The new shares shall be subject to the same provisions with reference to the payment of calls, lien, transfer, transmission, forfeiture and otherwise as the shares in the original share capital. (Para 43, Schedule 1)

The company may, by [ordinary resolution], -

a) consolidates and divide its share capital into shares of larger amount than its existing shares;

b) by sub-division of its existing shares or any of them, divide the whole or any part of its share capital into shares of smaller amount than is fixed by the memorandum of association, subject, nevertheless, to the provisions of paragraph (d) of sub-section (1) of Section 53 of the Companies Act 1994;

c) cancels any shares which, at the date of the passing of the resolution, have not been taken or agreed to be taken by any person. (Para 44, Schedule 1)

The company may, by special resolution, reduce its share capital in any manner and with, and subject to any incident authorized and consent required, by law]. (Para 44A, Schedule 1)

16. Directors

1 Meaning and number of directors

Directors are persons elected by the shareholders from among themselves for the purpose of managing the business of the company. In a public company, there is a separation of ownership from control. To protect the interest of the company and of the shareholders, there must be directors. Section 90 (1) states that every public company and a private company which a subsidiary of a public company is shall have at least three directors. Every private company other than a private company mentioned in sub-section (1) shall have at least two directors.

2 Appointment of Directors

There are certain mandatory provisions which must be observed while appointing directors in the case of public limited companies. For private companies, it is usual that the articles provide the mode of appointment of the directors. But they have to look for the provisions applicable both for the public as well as private companies. The provisions for appointment of directors in public limited companies are:

1. Every company shall have at least three directors [(sec. 90(1)].
2. Only natural persons can be appointed directors [sec.90 (3)].
3. The directors shall be appointed by the members in general meeting [91(1)c].
4. Causal vacancy may, however, be filled up by the directors [91(1)c].
5. The duration of office of a director shall be liable to determination at any time by retirement in rotation [91(2)].
6. A consent in writing by persons to act as directors must be filed with the registrar [92(1)(a)].

7. A consent of directors to take qualification shares must be filed with the registrar or sign the memorandum of association by taking qualification shares [92(1)(b)].
8. A signed consent to act as director should accompany the proposal for directorship to the company (93).
9. A director away from Bangladesh for a consecutive period of at least three months may appoint his alternate director if so, authorized by the article or by a resolution of the general meeting? (sec. 101).

3 Restrictions on appointment

Section 92 of the Companies Act lays down that a person shall not be capable of being appointed director of a company by the articles and shall not be named as a director or proposed director of a company or in relation to any intent company in any prospectus issued by the company or in any statement in lieu of prospectus filed by or on behalf of a company unless before the registration of the articles of the publication of the prospectus or the filing of the statement in lieu of prospectus, as the case may be, he has by himself or by his agent authorized in writing:

a. Signed and filed with the registrar to consent in writing to act as such director; and
b. In the case of companies having a share capital either signed the memorandum for a number of shares not less than his qualification shares; or taken from the company and paid or agreed to pay for his qualification shares; or signed and filed with the registrar a contract in writing to take from the company and pay for his qualification shares or made and filed with the registrar and affidavit to the effect that a number of shares not less than his qualifications shares are registered in his name.

On the application for registration of the memorandum and articles if any, of a company, the applicant shall file with the registrar a list of the persons who have consented to be directors of the company, and, if this list contains the name of any person who has not so consented, the applicant shall be liable to a fine not exceeding two thousand Taka.

The above provisions shall not apply to the appointment of the chief executive, by whatever name called, of any insurance company or a banking company as a director of that company if the articles; thereof provides for such appointment.

4 Qualification shares

The articles of a company usually fix a minimum number of shares which every director must subscribe in order to become a director. This minimum number is known as the qualification shares. It is the duty of every director who is required by the articles to hold a specified share qualification and who has not already qualified himself accordingly, to obtain his qualification within two months after his appointment or such shorter time as may be fixed by the articles [sec 97(1)]. If, after the expiration of the period mentioned in sub-section (1) any such

unqualified person acts as a director of the company, he shall be liable to a fine not exceeding two hundred Taka for every day between the expiration of the said period and the last day on which it is proved that he acted as a director (both days inclusive) [sec. 97 (2)]

5 Removal of directors

A company may remove any shareholder director before the expiration of his period of office by extraordinary resolution and may by ordinary resolution appoint another person in his stead and the person so appointed shall be subject to retirement at the same time as if he had become a director on the day on which the director in whose place he is appointed was last elected director. A director so removed shall not be re-appointed a director by the Board of Directors (Section – 106).

6 Provisions relating to meeting of Companies

Annual general meeting (Sec 81)

(1) Every company shall in each year of the Grogorian calendar hold in addition to any other meetings a general meeting as its annual general meeting and shall specify the meeting as such in the notices calling it; and not more than fifteen months shall elapse between the date of one annual general meeting of a company and that of the next:

Provided that a company may hold its first annual general meeting within a period of not more than eighteen months from the date of its incorporation; and if such general meeting is held within that period, it shall not be necessary for the company to hold any annual general meeting in the year of its incorporation or in the following year;

Provided further that the Registrar may, on an application made by a company within thirty days from the date of expiry of the period specified for holding the annual general meeting as aforesaid, extend the time within which any annual general meeting, not being the first annual general meeting shall be held, by a period not exceeding ninety days or not exceeding the 31st December of the calendar year in relation to which the annual general meeting is required to be held, whichever is earlier.

(2) If a company defaults in complying with the provisions of sub-section (1), the Court may, on the application of any member of the company, call or direct the calling of a general meeting of the company and give such ancillary or consequential direction as the Court thinks expedient in relation to the calling holding and conducting of the meeting.

Penalty for default in complying with section 81 (Sec 82)

default is made in holding a meeting of the company in accordance with sub- section (1) of section 81, or in complying with any directions of the Court under sub-section (2) thereof, the company and every officer of the company who is in default, shall be punishable with fine which may extend to ten thousand taka and in case of a continuing default, with a further fine which may extend to two hundred fifty taka for every day after the first day during which such default continues.

Statutory meeting and statutory report of company (Sec 83)

(1) Every company limited by shares and every company limited by guarantee and having a share capital shall, within a period of not less than one month and not more than six months from the date at which the company is entitled to commence business, hold a general meeting of the members of the company; in this Act such meeting is referred to as "the statuary meeting".

(2) The Board of Directors shall, in accordance with the other provision of this Act, prepare a report, in this Act referred to as 'statutory report" and shall at least 21 days before the day on which the statutory meeting is not be held, forward the report to very member of the company: Provided that if the report is forwarded later than the time as is required above, it shall notwithstanding that fact, be deemed to have been duly forwarded if any member entitled to attend and vote at the meeting does not object to such forwarding.

(3) The statutory report shall be certified as correct by not less than two directors of the company, one of whom shall be the managing director where there is one.

(4) If default is made in complying with the provisions of this section, every director or other officer of the company who is in default shall be punishable with fine which may extend to five thousand taka.

(5) Nothing in this section shall apply to a private company.

Calling of extraordinary general meeting on requisitions (Sec 84)

(1) Notwithstanding anything contained in the articles, the directors of a company which has a share capital, shall on the requisition of the holders of not less than one tenth on the issued share capital of the company upon which all calls or other sums then due have been paid, forthwith proceed to call an extraordinary general meeting of the company, and in the case of a company not having a share capital the directors thereof shall call such meeting on the requisition of such members as have, on the date of submitting the requisition, not less than one tenth of the total voting power in relation to the issues on which the meeting is called.

(2) The requisition must state the objects of the meeting and must be signed by the requisitioned and deposited at the registered office of the company, and may consist of several documents in like form, each signed by one or more requisitioned.

(3) If the directors do not, within twenty-one days from the date of deposit of the requisition, proceed duly to call a meeting on a day not later than forty-five days from the date of the deposit of the requisition, then the requisitioned, or a majority of them in value, may themselves call the meeting, but any meeting so called shall be held before the expiration of three months from the date of the deposit of the requisition.

(4) Any meeting called under this section by the requisitionnists shall be called in the same manner, as nearly as possible, as that in which meetings are to be called by directors.

(5) Any reasonable expenses incurred by the requisitioned by reason of the failure of the directors dụly to call a meeting shall be repaid to the requisitionists by the company, and any sum so repaid shall be retained by the company, out of any sums due or to become due from the company by way of fees or other remuneration for their services to such of the directors as were in default.

7 Explain the powers and duties of directors

The business of the company shall be managed by the directors, who may pay all expenses incurred in getting up and registering the company, and may exercise all such powers of the company as are not, by the Companies Act, 1994, or any statutory modification thereof for the time being in force, or by these articles, required to be exercised by the company in general meeting subject nevertheless to any regulation of these articles, to the provisions of the said Act, and to such regulations being not inconsistent with the aforesaid regulations or provisions, as may be prescribed by the company in general meeting; but no regulation made by the company in general meeting shall invalidate any prior act of the directors which would have been valid if that regulation had not been made. (Para 71, Schedule 1)

The directors may from time to time appoint one or more of their body to the office of managing director or manager for such term, and at such remuneration (whether by way of salary, or commission, or participation in profits, or partly in one way and partly in another) as they may think fit, and a director so appointed shall not, while holding that office, be subject to retirement by rotation, or taken into account in determining the rotation of retirement of directors, but his appointment shall be subject to determination „ipso facto□ if he ceases from any cause to be a director, or if the company in general meeting resolve that his tenure of the office of managing director or manager be determined. (Para 72, Schedule 1)

The amount for the time being remaining undischarged of moneys borrowed or raised by the directors for the purposes of the company (otherwise than by the issue of share capital) shall not at any time exceed the issued share capital of the company without the sanction of the company in general meeting. (Para 73, Schedule 1)

The directors shall duly comply with the provisions of the Companies Act, 1994, or any statutory modification thereof for the time being in force, and in particular with the provisions

in regard to the registration of the particulars of mortgages and charges affecting the property of the company or created by it, and to keeping a register of the director and to sending to the Registrar an annual list of members, and a summary of particulars relating thereto and notice of any consolidation or increase of share capital, or conversion of shares into stock, and copies of special resolutions and a copy of the register of directors and notifications of any changes therein. (Para 74, Schedule 1)

The directors shall cause minutes to be made in books provided for the purpose:

a. of all appointments of officers made by the directors;

b. of the names of the directors; present at each meeting of directors and of any committee of the directors;

c. of all resolutions and proceedings at all meeting of the company, and, of the directors, and of committees of directors. (Para 75, Schedule 1)

And every director present at any meeting of directors or committee of directors shall sign his name in a book to be kept for that purpose.

8 Disqualification of directors

The office of director shall be vacated if the director-

a) fails to obtain qualification number of shares within the time specified in sub-section (1) of Section 97 of the Companies Act, 1994, or at any time thereafter ceases to hold, the share qualification, if any, necessary for his appointment, or

b) is found to be of unsound mind by a Court of competent jurisdiction, or

c) is adjudged insolvent, or

d) fails to pay calls made on him in respect of shares held by him within six months from the date of such calls being made, or

e) without the sanction of company in general meeting accepts or holds any office of profit of under the company other than that of a managing director or manager or a legal or technical adviser or a banker, or

f) absents himself from three consecutive meetings of the directors or from all meetings of the directors for a continuous period of three months, whichever is longer, without leave of absence from the board of directors; or

g) accepts a loan from the company; or

h) is concerned or participates in the profits of any contract with the company; or

i) is punished with imprisonment for a term exceeding six months:

Provided however, that no directors shall vacate his office by reason of his being member of any company which has entered into contracts with or done any work for the company of which he is director, but a director shall not vote in respect of any such contract or work, and if he does so vote his vote shall not be counted (Para 78, Schedule 1).

According to section 94, a person shall not be capable of being appointed as director of a company, if-

a. he has been found to be of unsound mind by a competent court and the finding is in force; or

b. he is an undercharged insolvent; or

c. he has applied to be adjudicated as an insolvent and his application is pending; or

d. he has not paid any call-in respect of shares of the company held by him, whether alone

or jointly with others, and six months have elapsed from the last day fixed for the payment of the call; or

e. he is a minor.

A company may in its articles provide additional grounds for disqualification of a director.

9 Vacation of office of director

Under section 108 of the Companies Act, the office of a director shall become vacant under the following circumstances:

1. if he fails to obtain qualification number of shares within the due time or at any time thereafter ceases to hold, the qualifications shares, if any, necessary for his appointment; or
2. if he is found to be of unsound mind by a competent court; or
3. if he is adjudged an insolvent; or
4. if he fails to pay calls made on him in respect of shares held by him within six months from the date of such calls being made; or
5. if he or any firm of which he is a partner or any private company of which he is a director, without the sanction of the company in general meeting accepts or holds any office of profit under the company other than that of a managing director or manager or a legal or technical adviser or a banker; or
6. if he absents himself from three consecutive meeting of the directors or from all meetings of the directors for a continuous period of three months, whichever is the longer, without leave of absent from the Board of Directors; or
7. if he or any firm of which he is a partner or any private company of which he is a director accepts a loan or guarantee from the company in contravention of section 103; or
8. if he acts in contravention of section 105.

10 Rotation of Directors

At the first ordinary meeting of the company, the whole of the directors shall retire from office, and at the ordinary meeting in every subsequent year one-third of the directors for the time being or, if their number is not three or a multiple of three then the number nearest to one-third shall retire from office. (Para 79, Schedule 1)

The directors to retire in every year shall be those who have been longest in office since their last election, but as between persons who became directors on the same day those to retire shall (unless they otherwise agree among themselves) be determined by lot. (Para 80, Schedule 1)

A retiring director shall be eligible for re-election. (Para 81, Schedule 1)

The company at the general meeting at which a director retires in manner aforesaid may fill up the vacated office by electing a person thereto. (Para 82, Schedule 1)

If at any meeting at which an election of directors ought to take place, the places of the vacating directors are not filled up, the meeting shall stand adjourned till the same day in the next week at the same time and place, and, if at the adjourned meeting the places of the vacating directors are not filled up, the vacating directors or such of them as have not had their places filled up shall be deemed to have been re-elected at the adjourned meeting. (Para 83, Schedule 1)

[Subject to the provisions of Sections 90 and 91 of the Companies Act, 1994] the company may from time to time in general meeting increase or reduce the number of directors and may also determine in what rotation the increased or reduced number is to go out of office. (Para 84, Schedule 1)

Any casual vacancy occurring on the board of directors may be filled up by the directors, but the person so chosen shall be subject to retirement at the same time as if he had become a director on the day on which the director in whose place he is appointed was last elected a director. A director so chosen shall be known as an alternative director. (Para 85, Schedule 1)

The directors shall have power at any time, and from time to time, to appoint a person as an additional director who shall retire from office at the next following ordinary general meeting but shall be eligible for election by the company at that meeting as an additional director. (Para 86, Schedule 1)

The Company may by extraordinary resolution remove any director before the expiration of his period of office and may by an ordinary resolution appoint another person in his stead; the person so appointed shall be subject to retirement at the same time as if he had become a director on the day on which the director in whose place he is appointed was last elected a director. (Para 87, Schedule 1)

11 Dividends and Reserve

The company in general meeting may declare dividends, but no dividends shall exceed the amount recommended by the directors. Dividend shall be paid within two months from the date of its declaration. (Para 96, Schedule 1)

The directors may from time to time pay to the members such interim dividends as appear to the directors to be justified by the profits of the company. (Para 97, Schedule 1)

No dividends shall be paid otherwise than out of profits [of the year or any other undistributed profits]. (Para 98, Schedule 1)

Subject to the rights of persons (if any) entitled to shares with special rights as to dividends, all dividends shall be declared and paid according to the amounts paid on the shares, but if and so long as nothing is paid upon any of the shares in the company, dividends may be declared and paid according to the amounts of the shares. No amount paid on a share in advance of calls shall, while carrying interest, be treated for the purposes of this article as paid on the share. (Para 99, Schedule 1)

The directors may, before recommending any dividend, set aside out of the profits of the company such sums as they think proper as a reserve or reserves which shall, at the discretion of the directors, be applicable for meeting contingencies, or for equalizing dividends, or for any other purpose to which the profits of the company may be properly applied, and pending such application may, at the like discretion either be employed in the business of the company or be invested in such investments (other than shares of the company) as the directors may from time to time think fit. (Para 100, Schedule 1)

If several persons are registered as joint-holders of any share, any one of them may give effectual receipts for any dividend payable on the share. (Para 101, Schedule 1)

Notice of any dividend that may have been declared shall be given in manner hereinafter mentioned to the persons entitled to share therein. (Para 102, Schedule 1)

No dividend shall bear interest against the company. (Para 103, Schedule 1)

Chapter 2

The Negotiable Instruments Act, 1881

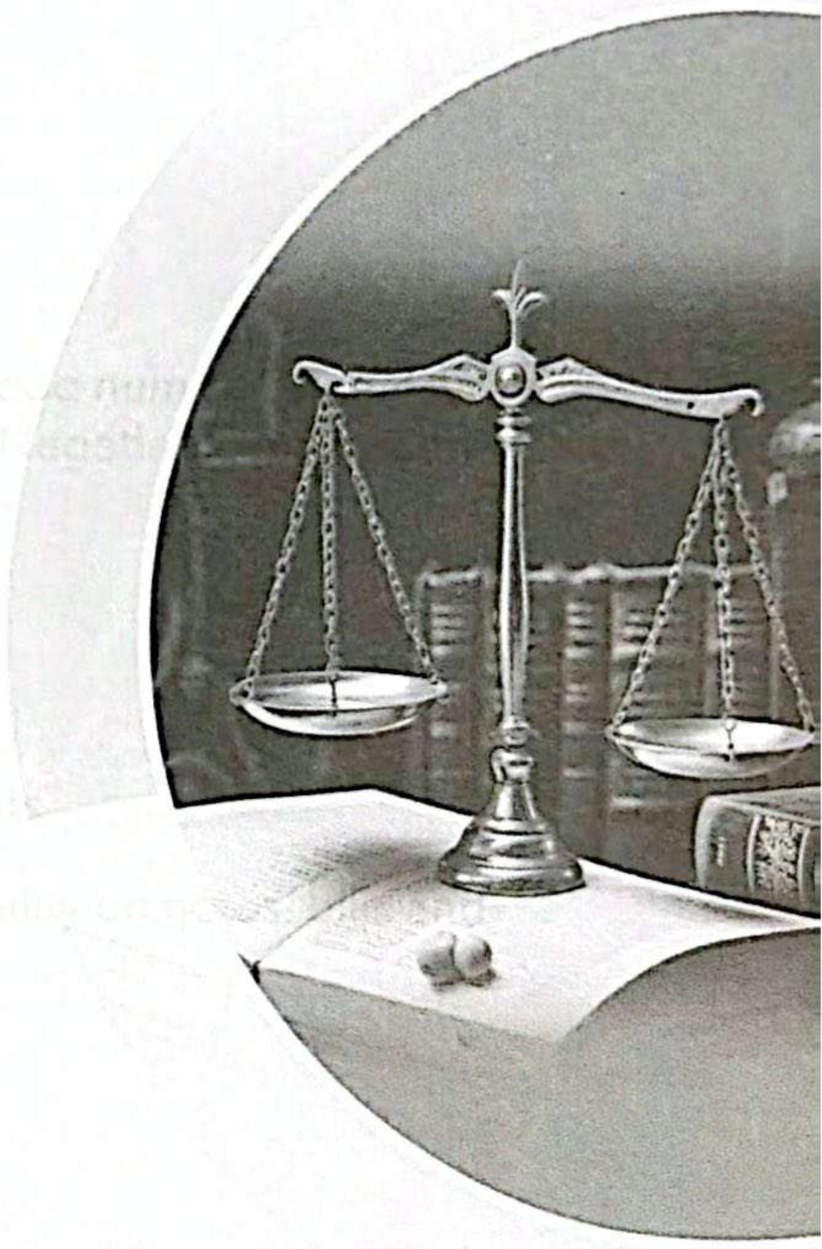
Contents

Introduction

Examination context

Topic List

1 Negotiable Instruments
2. Promissory Note
3. Bill of Exchange
4. Discharge from Liability on Notes, Bills and Cheques
5. Dishonor
6. Define what is Noting and Protest
7. Define Compensation
8. Identify the Special Rules of Evidence
9 Identify the Penalties in case of dishonor of certain cheques for insufficiency of funds in the account
10 Identify the Offences of Companies (Section 140)
11 Identify the Cognizance of Offences (Section 141)
12 Identify the International Law



Practical significance

In commercial world most buying and selling jobs take place on credit. But for smooth functioning of this buying and selling business there should be mechanism to ensure collection of these credit transactions in time or sometimes ahead of due time. Negotiable instruments like bill of exchanges, notes and cheques serve this purpose. Moreover, these instruments can also serve in settlement of debts as one who is the holder has the right to encash the instruments. Thus, negotiable instruments play a vital role in the development of trade and commerce.

Stop and think

When a banker is discharged? By whom and to whom notice should be given?

Working context

You might need to understand the implications of the requirement of Negotiable Instruments Act to carry out accounting or auditing work. This Act related with Cheques, bill of exchanges etc. So, the relevant instrument and custom of this law is very much important for the practical working purpose to the accountant.

Syllabus links

As seen above, the issues covered Negotiable Instruments Act could be relevant in many different areas of the syllabus, for example accounting and auditing, employment, business and financial management.

Examination context

Exam requirements

Negotiable Instruments Act is an important part of the syllabus. A good number of questions will come from this Act and understanding the basic law relating to Negotiable Instruments Act 1881 is very much essential for the students.

The candidates will able to :

- distinguish, prepare and execute the negotiable instruments,
- understand the liabilities to parties to the negotiable instruments
- understand the legal provisions relating to discharges from liability on notes, bills and cheques

1. Negotiable instruments

1.1 Recognise the Introduction of Negotiable Instrument Act 1881

Every negotiable instrument shall be governed by the provision of Negotiable Act 1881, and no usage or custom at variance with any such provision shall apply to any such instrument (Section 1A). The law relating to Negotiable Instruments is embodied in the Negotiable Instruments Act 1881 (Act XXVI of 1881) as amended from time to time. This breach of law was substantially amended by the Negotiable Instruments (Amendment) Ordinance 1962 and the Negotiable Instruments (Amendment) Act, 1994 and the Negotiable Instruments (Amendment) Act, 2000.The Negotiable Instruments Act extends to the whole of Bangladesh but the Act does not affect the provisions of Sections 23 and 35 of the Bangladesh Bank Order 1972. Section 23 provides that the Bangladesh Bank shall have the sole right to issue bank notes made payable to bearer on demand in Bangladesh. Under Section 35 of the said Act no person in Bangladesh other than the Bangladesh Bank can draw, accept, make or issue any bill of exchange, hundi, promissory note or engagement for the payment of money payable to bearer on demand, or borrow, owe or take up any sums of money on the bill, hundis or notes payable to bearer on demand of any such person, but such cheques or drafts including hundi, payable to bearer on demand or otherwise may be drawn on a person's account with the banker. It has been further provided in this section that notwithstanding anything contained in the Negotiable Instrument Act, 1881, no person in Bangladesh other than the Bangladesh Bank shall make or issue any promissory note expressed to be payable to the bearer of the instrument.

1.2 Define what is negotiable instruments

A "negotiable instrument" means a promissory note, bill of exchange or cheque payable either to order or to bearer. Under this Section, only three kinds of negotiable instruments, namely, promissory notes, bill of exchange and cheques are included, but it would seem that it may include some other instruments. In Mercantile Bank v Mascarenhas, it was held by the Privy Council that debentures issued by the Improvement Trust are promissory notes.

A negotiable instrument must satisfy two conditions namely –

(i) that it is a form which renders it capable of being sued by the holder in his own name.

(ii) that it is transferable like cash by delivery.

Section 13.1, a "negotiable instrument" means a promissory note, bill of exchange or cheque payable either to order or to bearer.

Explanation (i) - A promissory note, bill of exchange or cheque is payable to order which is expressed to be so payable or which is expressed to be payable to a particular person and does not contain words prohibiting transfer or indicating an intention that it shall not be transferable.

Explanation (ii) - A Promissory note, bill of exchange or cheque is payable to bearer which is expressed to be so payable or on which the only or last indorsement is an indorsement in blank.

Explanation (iii) - Where a promissory note, bill of exchange or cheque either originally or by indorsement, is expressed to be payable to the order of a specified person and not to him or his order, it is nevertheless payable to him or his order at his option.

Section 13.2, a negotiable instrument may be made payable to two or more payees jointly or it may be made payable in the alternative to one of two, or one or some of several payees.

1.3 Identify the meaning of negotiation

As per section 14, when a promissory note, bill of exchange or cheque is transferred to any person, so as to constitute that person the holder thereof, the instrument is said to be negotiated.

The holder of an instrument is one who is entitled in his own name to the possession of the instrument and to recover the amount thereon from the parties liable on it. A negotiable instrument payable to bearer is negotiated by mere delivery of the instrument. But if the instrument is payable to order, it can only be negotiated by indorsement followed by delivery. Indorsement means writing on the back of the instrument followed by the maker's signature. If there is no writing only signature, it is called a blank indorsement. The delivery must be made so as to enable the transferee to treat it as his own and to sue upon it if necessary and therefore handing over a negotiable instrument to an agent for safe custody would not amount to negotiation.

Negotiation: Section 14

When a promissory note, bill of exchange or cheque is transferred to any person, so as to constitute that person the holder thereof, the instrument is said to be negotiated.

Holder: Section 8

The "holder" of a promissory note, bill of exchange or cheque means the payee or indorsee who is in possession of it or the bearer thereof but does not include a beneficial owner claiming through a benamidar.

Explanation - Where the note, bill or cheque is lost and not found again, or is destroyed, the person in possession of it or the bearer thereof at the time of such loss or destruction shall be deemed to continue to be its holder.

Delivery: Section 46

The making, acceptance or indorsement of a promissory note, bill of exchange or cheque is completed by delivery, actual or constructive.

As between parties standing in immediate relation, delivery to be effectual must be made by the party making, accepting or indorsing the instrument or by a person authorised by him in that behalf.

As between such parties and any holder of the instrument other than a holder in due course, it may be shown that the instrument was delivered conditionally or for a special purpose only, and not for the purpose of transferring absolutely the property therein.

A promissory note, bill of exchange or cheque payable to bearer is negotiable by the delivery thereof.

A promissory note, bill of exchange or cheque payable to order is negotiable by the holder by indorsement and delivery thereof.

Negotiation by delivery: Section 47

Subject to the provisions of section 58, a promissory note, bill of exchange or cheque payable to bearer is negotiable by delivery thereof.

Exception - A promissory note, bill of exchange or cheque delivered on condition that it is not to take effect except in a certain event is not negotiable (except in the hands of a holder for value without notice of the condition) unless such event happens.

Illustrations:

(a) A, the holder of a negotiable instrument payable to bearer, delivers it to B's agent to keep for B. The instrument has been negotiated.

(b) A, the holder of a negotiable instrument payable to bearer, which is in the hands of A's banker, who is at the time the banker of B, directs the banker to transfer the instrument to B's credit in the banker's account with B. The banker does so, and accordingly now possess the instrument as B's agent. The instrument has been negotiated, and B has become the holder of it.

Negotiation by indorsement: Section 48

Subject to the provisions of section 58, a promissory note, bill if exchange or cheque payable to order is negotiable by the holder by indorsement and delivery thereof.

Conversion of indorsement in blank into indorsement in full: Section 49

When a negotiable instrument has been indorsed in blank, any holder may, without signing his own name, convert the blank indorsement into an indorsement in full by writing above the indorser's signature a direction to pay the amount to or to the order of himself or some other person; and the holder does not thereby incur the responsibility of an indorser.

Effect of indorsement: Section 50

(1) Subject to the provisions of this Act relating to restrictive, conditional and qualified indorsement, the indorsement of a negotiable instrument followed by delivery transfers to the indorsee the property therein with the right of further negotiation.

(2) An indorsement is restrictive which either-

(a) restricts or excludes the right to further negotiate the instrument; or

(b) constitutes the indorsee an agent of the indorser to indorse the instrument or to receive its contents for the indorser or for some other specified person.

Provided that the mere absence of words implying right to negotiate does not make the indorsement restrictive.

Illustrations:

B signs the following indorsements on different negotiable instruments payable to bearer: -

(a) "Pay the contents to C only."

(b) "Pay C for my use."

(c) "Pay C or order for the account of B."

(d) "The within must be credited to C."

These indorsements exclude the right of further negotiation by C.

(e) "Pay C."

(f) "Pay C value in account with the Oriental Bank."

(g) "Pay the contents to C, being part of the consideration in a certain deed of assignment executed by C to the indorser and others."

These indorsements do not exclude the right of further negotiation by C.

Who may negotiate: Section 51

Every sole maker, drawer, payee or indorsee, or all of several joint makers, drawers, payees or indorsee, of a negotiable instrument may, if the negotiability of such instrument has not been restricted or excluded as mentioned in section 50, indorse and negotiate the same.

Explanation - Nothing in this section enables a maker or drawer to indorse or negotiate an instrument, unless he is in lawful possession or is holder thereof; or enables a payee or indorsee to indorse or negotiate an instrument, unless he is holder thereof.

Illustration:

A bill is drawn payable to A or order. A indorses it to B, the indorsement not containing the words "or order" or any equivalent words. B may negotiate the instrument.

Defective title: Section 58

When a promissory note, bill of exchange or cheque has been lost or has been obtained from any maker, drawer, acceptor or holder thereof by means of an offence or fraud, or for an unlawful consideration, neither the person who finds or so obtains the instrument nor any possessor or indorsee who claims through such person is entitled to receive the amount due thereon from such maker, drawer, acceptor or holder, unless such possessor or indorsee is, or some person through whom he claims was, a holder thereof in due course.

1.4 Identify the characteristics of negotiable instrument

1. The property in a negotiable instrument can be transferred without any formality. In the case of a bearer instrument, the property passes by mere delivery to the transferee. In the case of an order instrument, indorsement and delivery are required for the transfer of property.
2. The transferee of a negotiable instrument is known as 'holder in due course'. A bonafide transferee for value is not affected by any defect of title on the part of the transferor or of any of the previous holders of the instrument. This is the main distinction between a negotiable instrument and other subjects of ordinary transfer.
3. The transferee of the negotiable instrument can sue in his own name, in case of dishonor.
4. A negotiable instrument can be transferred any number of times till it is at maturity. The holder of the instrument need not give notice of transfer to the party liable on the instrument to pay.
5. Certain presumptions apply to all negotiable instruments e.g., a presumption that consideration has been paid under it.
6. It is as good as cash because cash can be obtained any moment (before the date of maturity) by paying a small commission, thus it can be called an article of traffic and can be merchants as effective substitute for money.
7. A negotiable instrument enables the holder to expect prompt payment because a dishonor means the ruin of the credit of all persons who are parties to instrument.

1.5 Identify the examples of negotiable instruments

a) Negotiable Instruments recognized by statute:
   i. Bills of exchange
   ii. Promissory notes
   iii. Cheques

b) Negotiable instruments recognized by usage or custom:

i. Hundis
ii. Share warrants
iii Dividend warrants
iv. Banker's drafts
v. Circular notes
vi. Railway receipts
vii Delivery orders

The list of Negotiable instruments is not a closed chapter. With the growth of commerce, new kinds of securities may claim recognition as negotiable instruments.

1.6 Identify the examples of non-negotiable instruments

i. Money orders
ii. Deposit receipts
iii Share certificates
iv. Dock warrants
v. Postal orders

Presumptions as to negotiable instruments:

Section 118 and 119 lay down the following presumptions which the Court presumes in regard to negotiable instrument, unless the contrary is proved:

1. that every negotiable instrument was made, drawn, accepted or indorsed for consideration and that every such instrument, when it has been accepted, indorsed, negotiated or transferred, was accepted, indorsed, negotiated or transferred for consideration;
2. that the date on the instrument is the date on which it was drawn;
3. that every bill of exchange was accepted within a reasonable time and before maturity;
4. that every transfer of a negotiable instrument was made before its maturity;
5. that, the indorsements appearing upon a negotiable instrument were made in the order in which they appear thereon;
6. that a lost negotiable instrument was duly stamped;
7. that the holder of negotiable instrument is the holder in due course. But if the instrument was obtained from its lawful owner or from any person in lawful custody thereof by means of an offence or fraud or obtained from the maker or acceptor by means of an offence or for unlawful consideration, the holder has to prove that he is a holder in due course;

Section 119 lays down that in a suit upon an instrument which has been dishonored the Court shall on proof of the protest; presume the fact of dishonor, unless and until such fact is disproved.

2. Promissory note

2.1 Define what is promissory note: Section 4

A "promissory note" is an instrument in writing (not being a bank-note or a currency-note) containing an unconditional undertaking, signed by the maker, to pay on demand or at a fixed or determinable future time a certain sum of money only to, or to the order of, a certain person, or to the bearer of the instrument e.g. I promise to pay B or order tk. 1,000.

Illustrations:

A signs instrument in the following terms:

a) "I promise to pay B or order Taka 500."

b) "I acknowledge myself to be indebted to B in Taka 1,000 to be paid on demand, for value received."

c) "Mr. B, I O U Taka 1,000."

d) "I promise to pay B Taka 500 and all other sums which shall be due to him."

e) "I promise to pay B Taka 500, first deducting there out any money which he may owe me."

f) "I promise to pay B Taka 500 seven days after my marriage with C."

g) "I promise to pay B Taka 500 on D's death, provided D leaves me enough to pay that sum."

h) "I promise to pay B Taka 500 and to deliver to him may black horse on 1st January next."

The instruments respectively marked (a) and (b) are promissory notes. The instruments respectively marked (c), (d), (e), (f), (g) and (h) are not promissory notes.

2.2 Recognize a promissory note of Parties

In a promissory note, the parties are,

a) the maker of the promissory note e.g., promisor

b) the payee or any other person who is entitled to receive the amount stated in the instrument.

2.3 Identify the essential requisites of a promissory note

These are:

a) the promissory note must be in writing

b) the promissory note must contain an undertaking to pay

c) the promise to pay should be unconditional

d) the promissory note must be signed by the maker

e) the maker must be certain

f) the sum payable must be certain

g) the instrument must contain a promise to pay money and money only

h) the payee must be certain.

3. Bill of exchange

3.1 Define what is Bills of Exchange: Section 5

A "bill of exchange" is an instrument in writing containing an unconditional order, signed by the maker, directing a certain person to pay on demand or at fixed or determinable future time a certain sum of money only to, or to the order of, a certain person or to the bearer of the instrument.

3.2 Identify the meaning of the termII Unconditional: Section 5

A promise or order to pay is not "conditional", by reason of the time for payment of the amount or any installment thereof being expressed to be on the lapse of a certain period after the occurrence of a specified event which, according to the ordinary expectation of mankind, is certain to happen, although the time of its happening may be uncertain.

An order to pay out of a particular fund is not unconditional within the meaning of this section; but an unqualified order to pay, coupled with-

(a) an indication of a particular fund out of which the drawee is to reimburse himself or a particular account to be debited to the amount, or

(b) a statement of the transaction which gives rise to the note or bill, is unconditional.

Bill of exchange: Section 5

A "bill of exchange" is an instrument in writing containing an unconditional order, signed by the maker, directing a certain person to pay on demand or at fixed or determinable future time a certain sum of money only to, or to the order of, a certain person or to the bearer of the instrument.

A promise or order to pay is not "conditional", within the meaning of this section and section 4, by reason of the time for payment of the amount or any installment thereof being expressed to be on the lapse of a certain period after the occurrence of a specified event which, according to the ordinary expectation of mankind, is certain to happen, although the time of its happening may be uncertain.

The sum payable may be "certain," within the meaning of this section and section 4, although it includes future interest or is payable at an indicated rate of exchange, or is payable at the current rate of exchange, and although it is to be paid in stated installments and contains a provision that on default of payment of one or more installments or interest, the whole or the unpaid balance shall become due.

Where the person intended can reasonably be ascertained from the promissory note or the bill of exchange, he is a "certain person" within the meaning of this section and section 4, although he is misnamed or designated by description only.

An order to pay out of a particular fund is not unconditional within the meaning of this section; but an unqualified order to pay, coupled with-

(a) an indication of a particular fund out of which the drawee is to reimburse himself or a particular account to be debited to the amount, or

(b) a statement of the transaction which gives rise to the note or bill, is unconditional.

Where the payee is a fictitious or non-existing person the bill of exchange may be treated as payable to bearer.

3.3 Identify the Parties to a bill of exchange

In the case of a bill of exchange the parties are:

a) the drawer, that is, the maker of the bill of exchange;

b) the payee, the person named in the instrument to whom or to whose order the money is directed to be paid, and

c) the drawer, the person so named in the instrument who is directed to pay the money mentioned in the instrument. After the drawer has signed his assent in the bill and delivered the same or given notice of such signing to the holder or to some person on his behalf, he is called "acceptor" till he has signified his assent on the bill, he retains the position of a "drawee".

3.4 Identify the essential Requisites of a Bills of Exchange

These are:

i. the bill of exchange must be in writing;

ii. the bill of exchange must contain in an order to pay;

iii. the order contained in the bill should be unconditional;

iv. the bill of exchange must be signed by the maker;

v. the drawer must be certain;

vi. the drawer must be certain;

vii. the sum payable must be certain;

viii. the instrument must contain an order to pay money and money only;

ix. the payee must be certain.

3.5 Identify the distinction between cheque and Bills of exchange

Generally, the provisions applicable to bills of exchange payable on demand apply to cheques, but still there are a few points of difference between them which are as follows:

1. A bill of exchange must be accepted is before the acceptor can be made liable upon on it. A cheque requires no acceptance and is intended for immediate payment;

2. A bill of exchange is entitled to days of grace. A cheque is payable immediately on demand without the days of grace;

3. the drawee of a cheque is always a banker whereas in case of a bill of exchange the drawee may be any including a banker;

4. A bill must be duly presented for payment or else the drawer will be discharged. The drawer of a cheque is not discharged by delay of the holder in presenting it for payment, unless, through the delay, the position of the drawee has been injured by the failure of the bank, when he had sufficient funds deposited the bank to meet the amount of the cheque;

5. When a bill of exchange is dishonored by non-payment, notice of dishonor is necessary. When a cheque is not met, notice of dishonor is not necessary. Want of assets in the hands of the banker is sufficient notice.

The following are the main differences between the two:

1. The liability of the maker of a promissory note is primary and absolute, but the liability of the drawer of a bill of exchange is secondary and conditional.

2. The maker of a promissory note corresponds in general to the acceptor of a bill of exchange.

3. The position of the maker of a note, however, differs from the acceptor of a bill in this respect that a note cannot be made conditionally, while a bill may be accepted conditionally. The reason of this distinction is due to the fact that the acceptor of, a bill is not the maker of a promissory note who stands in immediate relation with the payee, whereas the drawer of an accepted bill of exchange stands in immediate relation with the acceptor and not the payee.

4. The following provisions relating to bills do not apply to notes, namely, provisions relation to:

   (a) Presentment for acceptance,

   (b) Acceptance,

   (c) Acceptance supra protest, and

   (d) Bills in sets

3.6 Define what are certain terms

"Drawer", "Drawee", "Drawee in case of need", "Acceptor", "Acceptor for honour", "Payee":

Section 7

"Drawer" and "Drawee"

The maker of a bill of exchange or cheque is called the "drawer;" the person thereby directed to pay is called the "drawee."

"Drawee in case of need"

When in the bill or in any indorsement thereon the name of any person is given in additional to the drawee to be resorted to in case of need, such person is called a "drawee in case of need."

"Acceptor"

After the drawee of a bill has signed his assent upon the bill, or, if there are more parts thereof than one, upon one of such parts, and delivered the same, or given notice of such signing to the holder or to some person on his behalf, he is called the "acceptor".

Meaning of acceptance

The acceptance of a bill is the signification by the drawee of his assent to the order of the drawer. The essentials of a valid acceptance are that it must be written across the face of the bill and be signed by the drawee. Any appropriate words may be used by the drawee to convey his assent to the drawer's orders, but his bare signature, without additional words is sufficient. An oral acceptance, however, is sufficient in law. But where the drawer writes on the bill the word "accepted" but does not sign it, it is not an acceptance. The essence of an acceptance is that it must be written on the bill, and if it is not written it does not create any liability as an acceptor on the part of the person signing it. The drawee of a bill does not render himself liable on the bill until acceptance, even though he may be in possession of the funds of the drawer.

Moreover, an acceptance is not complete and binding upon the drawee until the drawee has delivered over the accepted bill to the holder or has given notice of such acceptance to the holder, or to some person on his behalf. Thus, where a drawee, having once written his acceptance with the intention of accepting a bill, afterwards changes his mind, and before it is communicated to the holder of the bill is delivered back to him, obliterates his acceptance, it was held that he was not bound as acceptor.

"Acceptor for honour"

When a bill of exchange has been noted or protested for non-acceptance or for better security, and any person accepts it supra protest for honour of the drawer or of any one of the indorsers, such person is called an "acceptor for honour." "Acceptor for honour"

"Payee"

The person named in the instrument, to whom or to whose order the money is by the instrument directed to be paid, is called the "payee".

Holder: Section 8

The "holder" of a promissory note, bill of exchange or cheque means the payee or indorsee who is in possession of it or the bearer thereof but does not include a beneficial owner claiming through a benamidar.

Explanation - Where the note, bill or cheque is lost and not found again, or is destroyed, the person in possession of it or the bearer thereof at the time of such loss or destruction shall be deemed to continue to be its holder.

Before a person can be the "holder" of a negotiable instrument it is necessary that:

i. he should be entitled in his own name to the possession of the instrument, and,

ii. he should have the right to receive or recover the amount due thereon from the parties thereto. The word "entitled" suggests that the holder must have acquired it in a proper manner. Thus, a person who takes a negotiable instrument under a forged indorsement, and a finder of such an instrument is not a "holder" under this Section.

Holder in due course: Section 9

"Holder in due course" means any person who for consideration becomes the possessor of a promissory note, bill of exchange or cheque if payable to bearer, or the payee or indorsee thereof, if payable to order, before it became overdue, without notice that the title of the person from whom he derived his own title was defective.

Explanation - For the purposes of this section the title of a person to a promissory note, bill of exchange or cheque is defective when he is not entitled to receive the amount due thereon by reason of the provisions of section 58.

Before a person can claim to be a "holder in due course" he must show:

a) That for a consideration he became the possessor of a negotiable instrument when the instrument is payable to bearer, or the payee or indorsee of the instrument if payable to order.

b) That he become the holder of the instrument before the amount mentioned in it became payable.

c) That he become the holder of the instrument without having sufficient cause to believe that any defect existed in the title of the person from whom he derived his title.

Payment in due course: Section 10

"Payment in due course" means payment in accordance with the apparent tenor of the instrument in good faith and without negligence to any person in possession thereof under circumstances which do not afford a reasonable ground for believing that he is not entitled to receive payment of the amount therein mentioned.

A payment in order to operate as a discharge of a negotiable instrument must satisfy the following conditions:

a) It is necessary that payment should be made at or after maturity. A payment before maturity is not a payment according to the apparent tenor of the instrument and is therefore not a payment in due course.

b) The person to whom payment is made should be in possession of the instrument.

c) The payment should be made in good faith, without negligence and under circumstances which do not afford reasonable grounds for believing that the person to whom it is made is not entitled to receive the amount.

Indorsement: Section 15

When the maker or holder of a negotiable instrument signs the same, otherwise than as such maker, for the purpose of negotiation, on the back or face thereof or on a slip of paper annexed thereto, or so signs for the same purpose a stamped paper intended to be completed as a negotiable instrument, he is said to indorse the same, and is called the "indorser".

Indorsement in blank and in fullll Indorseell: Section 16

(1) If the indorser signs his name only, the indorsement is said to be "in blank", and if he adds a direction to pay the amount mentioned in the instrument to, or to the order of, a specified person, the indorsement is said to be "in full", and the person so specified is called the "indorsee" of the instrument.

(2) The provisions of this Act relating to a payee shall apply with the necessary modifications to an indorsee.

Holder claiming through holder in due course: Section 53

(1) A holder who derives his title through a holder in due course, and who is not himself a party to any fraud or illegality affecting the negotiable instrument, has all the rights therein of that holder in due course as regards the acceptor and all parties to the instrument prior to that holder.

(2) Where the title of the holder is defective, -

a) if he negotiates the instrument to a holder in due course, that holder obtains a good and complete title to the instrument; and

b) if he obtains payment of the instrument, the person who pays him in due course gets a valid discharge for the instrument.

Rights of holder in due course: Section 53A

A holder in due course holds the negotiable instrument free from any defect of title of prior parties, and free from defenses available to prior parties among themselves and may payment of the instrument for the full amount thereof against all parties liable thereon.

3.7 Identify the privileges of a holder in due course

A holder in due course occupies an important position under the Negotiable Instruments Act. He enjoys the following privileges:

1. a holder in due course is protected against all defects of title of persons from whom he receives the instrument and as such he can enforce the instrument against all such prior parties (section 36);
2. a holder in due course serves as a channel to protect all subsequent holders. Once a negotiable instrument passed through the hands of a holder in due course, it is purged of defects. Anybody who takes a negotiable instrument from a holder in due course can recover the amount from all parties prior to such holder. An instrument once free from defects is always free (Section 53);
3. the right of a holder in due course to recover the whole amount made payable by an inchoate stamped instrument is not affected even though the transferor completes the instrument for a sum greater than what was authorised by the maker (Section 20)
4. where both drawee and payee of a bill are fictitious persons, the acceptor is liable on the bill to a holder in due course provided the latter can show that the signature of the supposed drawer and the first indorsement on it are in the handwriting of the same person (Section 42);
5. where a bill or note delivered conditionally is negotiated to a holder in due course, the other parties to the instrument cannot escape liability on the ground that the delivery of the instrument was conditional or for a special purpose only (Section 46);
6. the defences on the part of a person liable on a negotiable instrument that it has been lost or obtained from him by means of an offence or fraud or unlawful consideration cannot be set up against a holder in due course (Section 58);
7. no maker of a note and no drawer of a bill or cheque and the acceptor of a bill for the honour of the drawer is, in a suit thereon by a holder in due course, permitted to deny the validity of the instruments as originally made or drawn (Section 120)
8. the maker of a promissory note or the acceptor of a bill of exchange is precluded from denying against a holder in due course the existence of the payee and his capacity to indorse (Section 121);
9. an indorser of a bill is estopped from denying against such holder the genuineness and the regularity of the drawer's signature and of all previous indorsements;
10. The law presumes every holder is a holder in due course, although the presumption is rebutable (Section 118).

3.8 Identify the Capacity of parties to a negotiable instrument

The capacity of a person to draw, make, accept or indorse a bill of exchange or promissory note is co-extensive with his capacity to enter into a contract. Any person who is of the age of maturity and who is of sound mind and is not disqualified from contracting by any law to which he is subject is competent to contract. As in the case of every other contract, so in the case of a negotiable instrument, a party to it must have contractual capacity. However, the Negotiable Instruments Act does not prohibit a minor from being a party to a negotiable instrument. Thus, a minor can draw, indorse, deliver, accept or negotiate a bill of exchange and can make all other parties except himself liable thereto.

Minor: A contract with a minor is void and he is not liable under contracts on as well. He can set up his incapacity even against a holder in due course. But a minor can be a promise and, therefore, an instrument can be drawn or made in his favour as payee. A minor can draw a cheque provided he has funds with the bank. Where an instrument is signed by a minor and a major jointly, the minor is not liable but the major is.

Bankrupt: A bankrupt during Bankruptcy cannot accept or indorse a bill, though if he indorses an instrument of which he is the payee to a holder in due course the latter can recover from all parties except the bankrupt. A bankrupt cannot sue on an instrument as his property vests in the Official Assignee or Receiver, but if an instrument is executed in his favour after adjudication, he can sue on it unless the trusty intervenes.

Corporation: The rule that capacity to incur liability on a negotiable instrument is coextensive with capacity to contract is not applicable in the case of corporations. The power of corporation or a company to bind itself by notes, bills and cheques is derived from its Memorandum of Association. If the corporation exceeds its powers and accepts a negotiable instrument, it would be void even a holder in due course cannot make the corporation liable. A trading company has an implied power to draw or accept negotiable instruments. But a non-trading company has no such power unless expressly authorised by the object clause of the Memorandum of Association.

Agent: An Agent may be employed for the purpose of drawing, accepting or endorsing negotiable instruments on behalf of his principal. But this power cannot be implied from the general authority.

of an agent of transact business and to receive and discharge debts on behalf of the principal. The authority of the agent to draw, accept or negotiate negotiable instruments must be expressly conferred by the principal so as to bind him. An authority to draw a bill of exchange does not by itself confer an authority to indorse a bill.

An agent who signs his name on an instrument without indicating that he signs as agent is personally liable. If he wants to avoid personal liability, he must indicate that he is signing as an agent merely. An agent would not be personally liable to those persons who induced him to sign upon the belief that the principal only would be held liable. An agent will also be personally liable if he executes an instrument without or in excess of his authority.

As per section 26, Every person capable of contracting, according to the law to which he is subject, may bind himself and be bound by the making, drawing, acceptance, indorsement, delivery and negotiation of a promissory note, bill of exchange or cheque.

Where such an instrument is made, drawn or negotiated by a minor, the making, drawing or negotiation entitles the holder to receive payment of such instrument and to enforce it against any party thereto other than the minor.

Nothing herein contained shall be deemed to empower a corporation to make, indorse or accept such instruments except in cases in which, under the law for the time being in force, they are so empowered.

As per section 27, Every person capable of binding himself or of being bound, by the making, drawing, acceptance or negotiation of a negotiable instrument, may so bind himself or be bound by a duly authorised agent acting in his name.

A general authority to transact business and to receive and discharge debts does not confer upon an agent the power of accepting or indorsing bills of exchange so as to bind his principal.

An authority to draw bills of exchange does not of itself import an authority to indorse.

As per section 28(1), Where a person signs a promissory note, bill of exchange or cheque without adding to his signature words indicating that he signs it as an agent for and on behalf of a principal or in a representative character, he is personally liable thereon but the mere addition to his signature of words describing him as an agent or as filling a representative character does not exempt him from personal liability.

As per section 28(2), notwithstanding anything contained in sub-section (1), any person signing a promissory note, bill of exchange or cheque for and on behalf of the principal is not liable to a person who induces him to sign upon the belief that the principal alone would be held liable.

3.9 Identify the liabilities of parties to a negotiable instrument

1. Liability of drawer: The drawer of a bill of exchange of cheque is bound in case of dishonor by the drawee or acceptor thereof, to compensate the holder provided due notice of dishonor has been given to or received by him (Section 30). The liability of the drawer is conditional and arises only in the event of dishonor by the drawee or acceptor. But before a drawer can be made to pay, notice of dishonor should have been received by him.

2. Liability of drawee of cheque: The drawee of a cheque is always a banker. The banker must honour the cheque of the drawer provided he has in his hands sufficient funds of the drawer. If the banker refuses to make payment without sufficient cause being shown, he must compensate the drawer or any loss or damage caused by such default (Section 31). The banker's contractual duty to pay cheques is only to the drawer or the customer and not to the payee or the holder of the cheque.

3. Liability of a legal representative: Where a legal representative of a deceased person signs an instrument in his own name, he is personally liable for the entire amount unless he expressly limits his liability to the extent of the assets received (Section 29).

4. Liability of maker of note or acceptor of bill: The maker of a promissory note is bound to pay the amount of the instrument at maturity according to the apparent tenor of the note. As soon as he signs the note and delivers it, he becomes liable to the payee or the holder, He is the debtor and his liability is primary and unconditional.

   The liability of the acceptor is very similar to that of the maker. As soon as he signs 'his acceptance and delivers the instrument, he becomes liable to pay the amount according to tenor of his acceptance. The acceptor of a bill of exchange at or after maturity is bound to pay the amount thereof to the holder on demand (Section 32).

   An acceptor of a bill of exchange already indorsed is not relieved from liability by reason of the fact that such indorsement is forged, if he was aware at the time when he accepted the bill that the indorsement was forged (Section 41). In other words, the acceptor cannot deny the holder□s title, though obtained through forgery, when he accepted the instrument knowing to be forged.

   The acceptor cannot deny his liability by proving that the drawer is fictitious. Where the drawer of a bill of exchange is a fictitious person, the acceptor is liable on the bill to a holder in due course provided the latter can show that the signature of the supposed drawer and the first indorsement on it are in the handwriting of the same person.

5. Liability of indorser: When an indorser indorses, and delivers a bill, he undertakes that the bill indorsed by him shall be accepted and paid in accordance with its apparent tenor and that if it is dishonored he will compensate the holder or a subsequent indorser who is compelled to pay the amount provided due notice of dishonor has been received by him. The indorser of a bill is liable to every subsequent holder in case of dishonor by drawer if he has notice of dishonor unless

   (a) there is a contract to the contrary; or

   (b) he expressly limits his liability in the indorsement.

   Every indorser after dishonor is liable as upon an instrument payable on demand (Section 35). If a holder does any act to impair or destroy any of the prior indorser's rights, the said indorser will be discharged from liability (Section 40).

6. Liability of prior parties to holder in due course: A negotiable instrument may pass through several hands during the course of its circulation and so it is necessary to fix the liability of each signatory to the instrument. Under Section 36 of the Negotiable Instruments Act the liability of each party to a subsequent holder in due course continues till the instrument duly satisfied or discharged. Each prior party is liable to each subsequent party until the

liability is extinguished by final payment. The liability of prior parties to a holder in due course is joint and several. The maker of a promissory note or cheque, the drawer of a bill of exchange until acceptance and the acceptor are in the absence of a contract to the contrary respectively liable thereon as principal debtors. All other parties are liable only in case the principal debtors fail to perform their contract and they are liable as sureties only (Section 37). As between the parties so liable as sureties each prior party is also liable as a principal debtor in respect of each subsequent party. This rule is, however, subject to a contract to (Section 38).

When a holder enters into a contract with the acceptor to release him from liability, the sureties (principal debtors and the indorsers) will be discharged unless the holder has expressly reserved his right against them (Section 39).

3.10 Identify the different types of negotiable instrument

1. **Inland Instruments:** An inland instrument is one which is (a) both drawn and payable in- Bangladesh, or (b) drawn in Bangladesh or some person resident therein. Thus, a bill drawn in Dhaka upon a merchant resident in New York and payable in Chittagong is an inland instrument. The nature of an inland instrument is not changed by the fact of its being in circulation in a foreign country. A bill drawn and payable in Bangladesh remains an inland bill even if it has been indorsed in a foreign country. Where a bill is drawn in Bangladesh and is upon a person resident in Bangladesh, it is an inland bill and it is immaterial whether the place of payment is in Bangladesh or not. A bill is presumed to be an inland bill unless the contrary appears on the face of it.

2. **Foreign Instruments:** Any instrument which an inland instrument is not is a foreign instrument. Thus, a bill drawn outside Bangladesh on any person resident outside Bangladesh or a bill drawn in Bangladesh on a person resident outside Bangladesh is a foreign bill. A foreign bill must be distinguished from an inland bill. Inland bills need not be protested for dishonor while foreign bill must be protested for when so required by the law of the place foreign bills are usually drawn in sets to avoid danger of loss.

3. **Ambiguous Instruments:** An instrument which in form is such that it may either be treated as a bill of exchange or a promissory note is an ambiguous instrument. In such a case, the holder may either treat it as a bill of exchange of a promissory note.

4. **Inchoate Instruments:** An inchoate instrument is one which is an incomplete instrument, for example, one not mentioning the amount payable or leaving blank the name of the payee or one date. When a person gives to another person a blank signed and stamped paper, the latter may convert it into a negotiable instrument by filling the blanks. When the instrument is so filled up, the signer becomes liable in the capacity in which he signs. The liability of the signer is restricted to the amount specified therein but not exceeding the amount covered by the stamp. But no person other than a holder in due course shall recover from the person delivering the instrument anything in excess of the amount intended by him to be paid thereunder (Section 20).

   The following points may be noted in connection with an inchoate instrument:

   i. The liability of a person who signs and delivers a blank or an inchoate instrument arises only when the blanks are filled in and the instrument completed. Till then the instrument is not a valid negotiable instrument.

   ii. A signer does not incur any liability as a maker, drawer or acceptor until he has delivered the instrument to another. Delivery is essential to fix up liability. Thus, where a man signs his name across a blank paper with a stamp upon it and keeps it in his desk and somebody steal the instrument and filling it up negotiates it as a compete bill, a bonafide holder for value is not entitled to recover the amount from the person who signs the acceptance.

iii. The inchoate Instrument must be filled up strictly in accordance with the authority given. If the authority to fill the amount has been clearly stated there is no liability attaching to the who signed it if the authority exceeded. But if the instrument is completed and to a holder in due course, he is entitled to enforce payment of the full amount the authority has been exceeded and even though the signer might have given instruments to the holder that it should be filled in for a smaller amount.

iv. The blanks must be filled up within a reasonable time.

v. Instrument which do not require stamps are not covered by the above provisions.

5. **Accommodation bills:** Many bills are drawn and accepted without any consideration; the various parties sign the bills for the purpose of lending their names to oblige their friends. Such bills are called accommodation bills. An accommodation bill is one for which no consideration has been given by the drawer to the acceptor for the purpose of accommodating some other party who is to use it and is expected to pay it when due. The party accommodating is called the "accommodation party", the party accommodated is called the "accommodated party" When a person indorses a bill without consideration, he is called a "backer" and the operation is called "backing the bill".

6. **Fictitious bills:** When the name of the drawer or payee or both is the fictitious, the bill is called a fictitious bill. The word fictitious means (i) a non-existing person and (ii) a pretended person, i. e. a person other than the actual person intended by the parties. When a bill is drawn in the name of a fictitious person, and payable to the drawer's order, the acceptor is liable to pay to the order of the person who signed it as drawer. Thereof, the indorsee can recover the amount as against the acceptor provided, he is in a position to show that the signature of the supposed drawer of the bill and the first indorsement on it are in the handwriting of the same person. In case of fictitious instruments, only a holder in due course can recover the money as against the acceptor.

7. **Bearer instruments:** A negotiable instrument is payable to bearer which is expressed to be so payable or on which the only or fast indorsement is an indorsement in blank. When an instrument is payable to bearer, the holder in possession of it is entitled to receive the payment due on it. It is not necessary that the instrument should contain his name. He may, however, be required to acknowledge payment of money by signing on the instrument.

8. **Order instruments:** A negotiable instrument is payable to order which is expressed to be so payable or which is expressed to be payable to a particular person and does not contain words prohibiting transfer or indicating an intention that it shall not be transferable.

9. **Instruments payable on demand:** Cheques are always payable on demand. In a promissory note or on bill of exchange, the expressions, 'at sight' and 'on presentment' mean payable on demand. If no time for payment is mentioned in the instrument it is payable on demand. Instruments payable on demand may be presented at any time.

10. **Instruments payable after sight:** Promissory notes and bills of exchange, may be expressed to be payable at a certain period after sight or after date. Thus, a bill of exchange may be made payable 90 days after sight or six months after date. The expression after sight in a promissory note means that payment is not to be demanded till it has been presented to the maker. Whereas in a bill of exchange it means after acceptance or noting for non-acceptance or protest for non-acceptance.

11. **Undated bills:** Where the date of a bill is not mentioned and where the date of the acceptance of a bill, payable at a fixed period after of sight is omitted, the holder may insert the true date of issue or acceptance as the case may be. The instrument will not be considered to be invalid merely because it is undated. The parties would remain liable even if a wrong date is inserted.

12. **Banker's draft:** It is an order addressed by one bank to another or by a bank to its branch directing the latter to pay a specified sum of money to a named person or his order.

These drafts are drawn either against cash deposited at the time of their purchase or against debit to current accounts with the bankers. A bank draft is similar to a cheque in some respects but there are certain profits of distinction between the two. Firstly, it can be drawn only by a bank on another bank and not by a private individual as in the case of cheques. Secondly, it cannot so easily be countermanded as a cheque either by the person purchasing it or by the bank to which it is presented.

13. **Bills in sets:** Bills in sets are generally used in the case of foreign bills. Inland bills are rarely drawn in sets. Bills in sets are bills drawn in several parts. They are drawn in sets in order to avoid the delay and inconvenience which may arise from loss during transit. Each part of a bill in set is numbered and contains a reference to other parts. If one part of a set omits reference to the rest and it happens to fall in the hands of a holder in due course, it becomes a separate bill. The whole set constitutes on bill. The drawer must sign and deliver all of them of the payee. Stamp in affixed on one part only. The acceptance of a bill drawn in a set may be written on any one part but one part only. If an acceptor gives his acceptance on more than one p art and they go into the hands of different holders in due course, he shall be liable on every such part as if it were a separate bill. Where different parts of a set of the same bill are held by different holders in due course, he who first gets title to his part is entitled to all the other parts and can recover the other parts from the other holders in due course. But this will not affect the rights of the acceptor who has made payment of the first part.

14. **Forged instruments:** If the signature on a negotiable instrument is forged, the document is invalid and cannot confer any right or create any liability.

4. Discharges from liability on notes, bills and cheques

4.1 Introduction

A negotiable instrument is said to be discharged when all the rights of action on it are extinguished. It may be of two types, viz, (i) discharge of the rights of parties to it, or (ii) discharge of the instrument itself. The latter takes place when the party who is ultimately liable on it is discharged from liability. The following are the several modes of discharge:

1) **Payment in due course:** In order that a payment may operate as a payment in due course, it is necessary that the payment is made to: (I) a person in possession of the instrument, (ii) in accordance of the apparent tenor of the instrument, (iii) that it was paid in good faith, without suspecting that the person in possession is not entitled to payment, and (iv) the payment is made without negligence.

2) **Unconditional renunciation or release of the rights of the holder against the acceptor:** When a holder of a bill at or after maturity absolutely and unconditionally renounces his rights against the acceptor, the bill is discharged. This renunciation must be absolute and at or after maturity. If it is made before maturity and the bill is again put into circulation the rights of a holder in due course are not affected, as if nothing had taken place.

3) **Cancellation:** Another mode discharge of an instrument by the holder or by his agent is by cancellation. Such cancellation must be intentional and the fact of cancellation must be apparent on the face of the instrument. It need not be at or after maturity. The cancellation of the drawer's name operates as a discharge not only of the drawer, but of all the indorsers, that of an indorser not only discharges him, but all persons subsequent to him, and the cancellation of an acceptor's or maker's (of a promissory note) name would discharge all the parties to the bill.

4) **Material alteration:** The instrument becomes valueless and is discharged if it is materially altered. In that case it will be void as against every person who is a party to the bill at the

time of the alteration if such alteration is made without his consent. Any alteration of the date, of the sum payable, the time of payment, the place of payment, amounts to material alteration under the Act. There are, however certain alterations in which the bills will not be discharged. They are: (i) if an inchoate instrument is filled up under Section 20 or (ii) converting a blank indorsement into a full indorsement without signing oneself, or (iii) qualified or limited acceptance, or (iv) crossing a cheque when it was not crossed before.

5) **When the instrument is held by the acceptor in his own right at or after maturity:** All rights of action on it are extinguished. In such cases it is necessary that, (i) the bill must come to the acceptor; (ii) after payment; (iii) at or after maturity; and (iv) in his own right and not as executor trustees.

6) **If the holder allows the drawee more than forty-eight hours, exclusive of public holiday:** To consider whether they should accept the same or not, all the previous parties, not consenting to such allowance are discharged from their liability to the holder.

7) **Qualified or limited acceptance:** If a holder of a bill of exchange acquiesces in a qualified acceptance, all previous parties, whose consent is not obtained to such acceptance, are discharged as against the holder and those claiming under him. There are five kinds of qualified acceptances, viz, (i) conditional; i. e. acceptance dependent upon a condition stated in the acceptance, e. g., payable when in finds; (ii) partial; i. e. acceptance to pay a part only of the amount the bill e. g., if a bill is for T k. 500 and the acceptance is only for Tk. 100; (iii) local : acceptance to pay at particular place and at no other; (iv) qualified as to time; when a bill is drawn at three months and the acceptance is a payable after six months; and, (v) acceptance of some only of the several drawees; e. g. , a bill drawn on A, B and C accepted by A and B only.

8) **Damage caused to the drawer of a cheque by the holder by not presenting it within a reasonable time after issue:** A cheque ought to be presented for payment within a reasonable time after issue. If the drawer suffers damages through the delay in presenting the cheque, the drawer will be discharged to the extent of the damage suffered by him. Cheques are generally intended for immediate payment and not for general circulation. If the holder does not present the cheque within a reasonable time after its issue and the bank fails in the interval and the drawer suffers actual damage through the delay, he is discharged from the liability to the extent of the damage he has suffered. Thus, if at the time of the failure of the bank, the drawee had the full amount of the cheque deposited with him, he will be discharged in full; but if the drawer had only a part of the full amount drawn by him then the drawer is discharged proportionately.

4.2 Identify under which circumstances a Banker is discharged

According to Section 85, when a cheque payable to order purports to be indorsed by or on behalf of the payee, the drawee is discharged by payment in due course. By this section bankers are placed in a privileged position as ports to be indorsed by or on behalf of the payee, and the banker on whom it is drawn pays it in due course the banker is discharged, and he can debit his customer with the amount so paid, though the indorsement of the payee may turn out to be a forgery.

Before a banker can claim the advantage of this section he must show (i) that the cheque is payable to order, (ii) it is purported to be indorsed by or on behalf of the payee of the cheque (and not of the indorsee), and (iii) the banker makes the payment in due course.

Section 85, however, gives no protection to the banker if the drawer's signature is forged. It is the duty of the banker to be acquainted with the signature of his customer, it a pays a cheque which bears a signature of his customer (the drawer) and the signature turns out to be a forgery, the banker is the person who loses his money. The banker cannot debit the customer with the amount so paid. The reason of the rule is obvious. If a customer were to be held liable to be debited for money paid under a forged signature, his balance at his bank would

decline in an extraordinary manner. In fact, any person who knew that he, the customer, had a banking account could forge his signature and obtain his money It the banker's business to prevent this. But it is also the duty of the customer of a bank issuing mandates to the bank, to take reasonable care so as not mislead the bank. But beyond the care which must be taken in the transaction itself, the customer not to take precautions in the general course of carrying out his business to prevent forgeries on the part of his servants. Where, however, the customer misleads the bank by to proper caution in the mode of drawing the cheque so as to admit of interpolation of an additional word of figure, he cannot complain of a bonafide payment of a cheque so altered. Also, if the customer has, by his negligence of default, induced the banker to make payment, it is the customer and not the banker who must bear the loss. if a cheque 'be drawn so negligently as to facilitate forgery by alteration of the amount payable, any caused by such an alteration will call on the customer who draws the cheque and riot his banker.

5. Dishonor

5.1 Define the Notice of dishonor

According to Section 91, a bill of exchange is said to be dishonored by non-acceptance when the drawee.

1. makes default in acceptance upon being duly required to accept the bill;
2. where presentment is excused and the bill is not accepted;
3. where the drawee is incompetent to contract or;
4. Where the acceptance is qualified.

According to Section 92, a promissory note, bill of exchange or cheque is said to be dishonored by non-payment when the maker of the note, acceptor of the bill or drawee of the cheque, makes default in payment upon being duly required to pay the same. However, under Section 115, where a drawee in case of need is named in a bill of exchange, or in any indorsement thereon, the bill is not dishonored until it has been dishonored by such drawee.

5.2 Identify by whom and to whom Notice should be given

When a promissory note, bill of exchange or cheque is dishonored by non-acceptance or non- payment, the holder thereof, or some party thereto who remains liable thereon, must give notice that the instrument has been so dishonored to all other parties whom the holder seeks to make severally liable thereon, and to someone of several parties whom he seeks to make jointly liable thereon.

When a bill of exchange is dishonored by non-acceptance the drawer or any indorser to whom such notice is not given is discharged but the rights of a holder in due course subsequent to the omission to give notice shall not be prejudiced by that omission.

When a bill of exchange is dishonored by non-acceptance and due notice of dishonor is given, it shall not be necessary to give notice of a subsequent dishonor by non-payment, unless the- bill shall, in the meantime, have been accepted. However, it is not necessary to give notice to the maker of the dishonored promissory note or the drawee or acceptor of the dishonored bill of exchange or cheque.

5.3 Identify the effect of omission to give, notice of dishonor

The consequence of omission to give notice of dishonor except in cases in which notice is dispensed with under Section 98, is to discharge all parties who are entitled to such notice.

Unless the holder gives notice of dishonor he cannot enforce his rights against the other parties. It is a condition precedent to the liability of the drawer under Section 30, and of the indorsers under section 35, that notice of dishonor should be duly given to them. When the drawer or indorser of a bill is discharged from his liability thereon by the omission to give him due notice of dishonor, he is discharged from all liability on the instrument.

5.4 Identify the mode of notice

According to Section 94, notice of dishonor may be given to a duly authorised agent of the person to whom it is required to be given or, where he has died, to his legal representative, or where he has been declared an insolvent, to his assignee, may be oral written; may be sent by post and may be in any form, but it must inform the party to whom it is given, either in express terms or by reasonable intendment that the instrument has been dishonored red, and in what way, and that he will be held liable thereon, and it must be given within a reasonable time after dishonor, at the place of business or (in case such party has no place of business) at the residence of the party for whom it is intended. If the notice is duly directed and sent by post and miscarried, such miscarriage does not render the notice invalid.

5.5 Identify when notice of Dishonor is unnecessary

According to Section 98 notice of dishonor is not necessary in the following cases

1) When notice expressly waived: Notice of dishonor may be dispensed with by express waiver by the party entitled to it.
2) By the drawer countermanding payment: Where the drawer has countermanded payment, he, having put an impediment in the way of the holder obtaining payment, is not entitled to notice of dishonor.
3) When no damage to party charged: When a party charged could not suffer any damage for want of notice, it is not necessary to give him such notice.
4) Ignorance of party's residence: Ignorance of party's residence excuses want of due notice of dishonor, provided the holder has used reasonable diligence to find it out.
5) Omission to give notice excused by accident: Omission to give notice of dishonor is also excused when the omission is caused by unavoidable circumstances, such as death, or dangerous illness of the holder or his agent, or other inevitable accident or overwhelming calamity not attributable to the default, misconduct or negligence of the party giving notice.
6) When one of the drawers is also the acceptor: When one of the drawers is also the acceptor it is not necessary to give them notice of dishonor, as the dishonor of the bill must necessarily have been known to that drawer, who is also the acceptor, and knowledge of one is knowledge of al.
7) When promissory note is not negotiable: Where a promissory note is not negotiable, the indorsement of such a note does not give the indorsee, any claim against the maker and indorsers. The indorsee of such a note is in the position of a mere assignee of a chose in action. The instrument being not negotiable, no one would be prejudiced by non-presentment for payment or want of notice of dishonor.
8) When the party entitled to notice, knowing the facts, promises unconditionally to pay the amount due on the instrument.

6 Define what is Noting and Protest

Noting: According to Section 99 when a promissory now or bill of exchange has been dishonored by non-acceptance or non-payment, the holder may cause such dishonor to be noted by a notary public upon the instrument, or upon a paper attached thereto, or partly upon each. Such note must be made within reasonable time after dishonor, and must specify the date of dishonor, the reason, if any assigned for such dishonor or, if the instrument has not been expressly dishonored, the reason why the holder treats it as dishonored and the notary's charges.

Noting is not compulsory in the case of an inland bill or note. The holder may or may not, as he thinks fit, have the instrument noted, and omission to do so does not in any way effect his right thereon. But foreign bill must be protested for dishonor, when such protest is required by the law of the place where they are drawn. Generally, all bills drawn outside Bangladesh must be protested.

Protest: According to Section 100, the protest is the formal certificate by the notary attesting the dishonor of the bill and based upon the noting. The special advantages of protest are: (I) that it affords authentic and satisfactory evidence of dishonor to a drawer or indorser living abroad, who would find it difficult to make inquiries of such dishonor, and would be compelled to rely on the representation of the holder, and (2) that under Section 119, in a suit upon a dishonor instrument the Court shall on proof of protest presume the fact of dishonor unless and until such fact is disproved. Like noting, protest is not compulsory in the case of inland bills and omission to have an instrument protested does not in any way affect the rights of the holder thereon. But foreign bills must be protested.

Protest for better security: According to Section 100, where the acceptor of a bill of exchange has become an insolvent or has suspended payment of his credit has been publicly impeached before the bill matures, the holder may have the bill protested for better security. A notary public is employed to demand better security and, on his refusal, protest may be made within a reasonable time. The acceptor however, is not bound to give such security; neither has the holder an immediate right of action against the drawer and the indorsers after such protest. The holder

has to wait till the maturity of the bill. The advantage of protest for better security is that it enables the bill to be accepted for honour.

Contents of protest: As per section 101 a protest must contain,

(a) either the instrument itself, or a literal transcript of the instrument and of everything written or printed thereupon;

(b) the name of the person for whom and against whom the instrument has been protested;

(c) a statement that payment or acceptance or better security, as the case may be, has been demanded of such person by the notary public; the terms of his answer, if any, or a statement that he gave no answer or that he could not be found;

(d) when the note or bill has been dishonored, the place and time of dishonor, and, when better security has been refused, place and time of refusal;

(e) the subscription of the notary public making the protest;

(f) in the event of an acceptance for honour or of a payment for honour the name of the by whom of the person for whom, and the manner in which such acceptance or payment was offered and effected.

A notary public may make the demand mentioned in clause (c) of this section either in person or by his clerk or, where authorised by agreement or usage, by registered letter.

Notice of protest:

As per section102, when a promissory note or bill of exchange is required by law to be protested, notice of such protest must be given instead of notice of dishonor, in the same manner and subject to the same conditions; but the notice may be given by the notary public who makes the protest.

Acceptance of honour: According to Section 108, when a bill of exchange has been noted or protested for non-acceptance or for better security, any person not being a party already liable thereon may, with the consent of the holder by writing on the bill, accept the same for the honour of any party thereto.

Conditions of a valid acceptance for honour:

1) That the bill must have been noted or protested for non-acceptance or for better security, it is essential that an acceptance for honour should not be given until after a regular noting or protest of the bill for non-acceptance or want of better security has been drawn up.
2) That an acceptance for honour can only take place with the consent of the holder. The holder has the option to take or refuse such acceptance and cannot be compelled to take it whether he likes it or not.
3) That an acceptance for honour must be made by writing on the bill.
4) That an acceptance for honour can only.be made by a party not already liable on the bill. A bill cannot be accepted for honour by a person whose liability on the bill is already fixed. Only a stranger can undertake liability by such an acceptance.
5) That an acceptance for honour must be for the honour of any party liable on the bill.

7 Define Compensation

Rules as to compensation: According to Section 117, the compensation payable in case of dishonor of a promissory note, bill of exchange or cheque by any party liable to the holder or any indorsee, shall be determined by the following rules:

a) the holder is entitled to the amount due upon the instrument, together with the expenses properly incurred in presenting, noting and protesting it;
b) when the person charged resides at a place different from that where the instrument was payable the holder is entitled to receive such sum at the cunent rate of exchange between the two places;
c) an indorser who, being liable, has paid the amount due on the same is entitled to the amount so paid with interest at six percent it per annum from the date of payment until tender or realization thereof, together with all expenses caused by the dishonor and payment;
d) when the person charged and such indorser reside at different places, the indorser is entitled to receive such sum at the current rate of exchange between the two places;
e) The party entitled to compensation may draw a bill upon the party liable to compensate him, payable at sight or on demand, for the amount due to him, together with all expenses properly incurred by him. Such bill must be accompanied by the instrument dishonored and the protest thereof (if any). If such bill is dishonored, the party dishonoring the same is liable to make compensation thereof in the same manner as in the case of the original bill.

8 Identify the Special Rules of Evidence

Presumptions: The Negotiable Instruments Act, Section 118 lays down certain rules of evidence. They are given in the shape of presumptions. These are:

1) **Of consideration:** that every negotiable instrument was made or drawn for consideration that every such instrument when. it has been accepted, negotiated or transferred, was accepted, indorsed, negotiated or transferred for consideration,

2) **As to date:** that every negotiable instrument bearing a date was made or drawn on such date,

3) **As to time of acceptance:** that every accepted bill of exchange was accepted within a reasonable time after its date and before maturity,

4) **As to time of transfer:** that every transfer of a negotiable instrument was made before maturity,

5) **As to order indorsement:** that the indorsements appearing upon a negotiable instrument were made in the holder, in which they appear thereon,

6) **As to stamp:** that a lost promissory note, bill of exchange or cheque was duly stamped,

7) **That holder is a holder in due course:** that the holder of a negotiable instrument is a holder in due course. Provided that, where the instrument has been obtained from its lawful owner, or from any person in lawful custody thereof, by means of an offence or fraud, or has been obtained from the maker or acceptor thereof by means of an offence or fraud or for unlawful consideration, the burden of proving that the holder is a holder in due course lies upon him.

Estoppels: The Negotiable Instruments Act gives three cases in which the different parties are estopped from doing a particular thing:

1) No maker of a promissory note, and drawer of a bill of exchange or cheque and no acceptor of a bill of exchange for the honour of the drawer, shall, in a suit thereon by holder in due course be permitted to deny the validity of the instrument as originally made or drawn.

2) No maker of a promissory note and acceptor of a bill of exchange payable to order, in a suit thereon by a holder in due course are permitted to deny the payee's capacity at the date of the note or bill, to indorse the same.

3) No indorser of negotiable instrument shall, in a suit thereon by a subsequent holder be permitted to deny the signature or capacity to contract of any prior party to the instrument.

9 Identify the Penalties in case of dishonor of certain cheques for insufficiency of funds in the account

Penalties in case of dishonor of certain cheques for insufficiency of funds in the accounts: Section 138

138 (1) states that where any cheque drawn by a person on an account maintained by him with a banker for payment of any amount of money to another person from out of that account is returned by the bank unpaid, either because of the amount of money standing to the credit of that account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with that bank, such person shall be deemed to have committed an offence and shall, without prejudice to any other provision of this Act, be punished with imprisonment for a term which may extend to one year, or with fine which may extend to thrice the amount of the cheque, or with both:

(3) Notwithstanding anything contained in sub- section (1) and (2), the holder of the cheque shall retain his right to establish his claim through civil Court if whole or any part of the value of the cheque remains unrealized.

Provided that nothing contained in this section shall apply unless-

(a) the cheque has been presented to the bank within a period of six months from the date on which it is drawn or within the period of its validity, whichever is earlier;

(b) the payee or the holder in due course of the cheque, as the case may be, makes a demand for the payment of the said amount of money by giving a notice, in writing, to the drawer of the cheque, within thirty days of the receipt of information by him from the bank regarding the return of the cheque as unpaid; and

(c) the drawer of such cheque fails to make the payment of the said amount of money to the payee or, as the case may be, to the holder in due course of the cheque, within thirty days of the receipt of the said notice.

Section 138 (1A) stats that the notice required to be served under clause (b) of sub-section (1) shall be served in the following manner-

(a) by delivering it to the person on whom it is to be served; or

(b) by sending it by registered post with acknowledgement due to that person at his usual or last known place of abode or business in Bangladesh; or

(c) by publication in a daily Bangla national newspaper having wide circulation.

Section 138 (2) stats that where any fine is realized under sub-section (1), any amount up to the face value of the cheque as far as is covered by the fine realized shall be paid to the holder

Section 138 (3) stats that notwithstanding anything contained in sub- section (1) and (2), the holder of the cheque shall retain his right to establish his claim through civil Court if whole or any part of the value of the cheque remains unrealized.

10 Identify the Offences of Companies (Section 140)

1. If the person committing an offence under section 138 is a company, every person who, at the time the offence was committed, was in charge of, and was responsible to the company for the conduct of the business of the company, as well as the company, shall be deemed to be guilty of the offence and shall be liable to be proceeded against and punished accordingly.

   Provided that nothing contained in this sub-section shall render any person liable to punishment if he proves that the offence was committed without his knowledge, or that he had exercised all due diligence to prevent the commission of such offence.

2. Notwithstanding anything contained in sub-section (I), where any offence under this Act has been committed by a company and it is proved that the offence has been committed with the consent or connivance of, or is attributable to any neglect on the part of any director manager secretary or other officer of the company, such director- manager secretary or other officer shall also be deemed to be guilty of that offence and shall be liable to be proceeded against and punished accordingly.

Explanation For the purpose of this section-

i. Company means anybody corporate and includes a firm or other association of individual;

ii. Director in relation to a firm means a partner in the firm.

11 Identify the Cognizance of Offences (Section 141)

Notwithstanding anything contained in the Code of Criminal Procedure, 1898 (Act V of 1898)

1. no court shall take cognizance of any offence punishable under section 138 except upon a complaint, in writing, made by the payee or, as the case may be, the holder in due course of the cheque;
2. such complaint is made within one month of the date on which the cause of action arises under clause (c) of the proviso to section 138;
3. no court inferior to that of a Metropolitan Magistrate or a Magistrate of the first class shall try any offence punishable under section 138.

12 Identify the International Law

Law governing liability of parties to a foreign Instrument: In the case of a foreign promissory note, bill of exchange or cheque:

1. the law of the place where the instrument was made or drawn or accepted or negotiated shall determine:
   a) the capacity of the parties; and
   b) the validity of the instrument or, as the case may be, of its acceptance or negotiation.

Provided that such instrument shall not be invalid or inadmissible in evidence by reason only that it was not stamped or not sufficiently stamped according to the law of the place there it was made or drawn.

2. the law of the place where such instrument is payable shall determine
   a) the liability of all parties thereto;
   b) the duties of the holder with respect to presentment for acceptance or payment;
   c) the date of maturity of the instrument;
   d) what constitutes dishonor;
   e) the necessity for and sufficiency of a protest or notice of dishonor;
   f) all questions relating to payment and satisfaction including the currency in which and the rate of exchange at which the instrument is to be paid.

Instrument made outside Bangladesh in accordance with Bangladesh law: If a negotiable instrument is made, drawn, accepted or indorsed outside Bangladesh but in accordance with the law of Bangladesh the circumstance that any agreement evidenced by such instrument is invalid according to the law of the country wherein it was entered into does not invalidate any subsequent acceptance or indorsement made thereon within Bangladesh.

Presumption as to foreign law: The law of any foreign country regarding promissory notes, bills of exchange and cheques shall be presumed to be the same as that of Bangladesh unless and until the contrary is proved.

Chapter 3

The Partnership Act, 1932

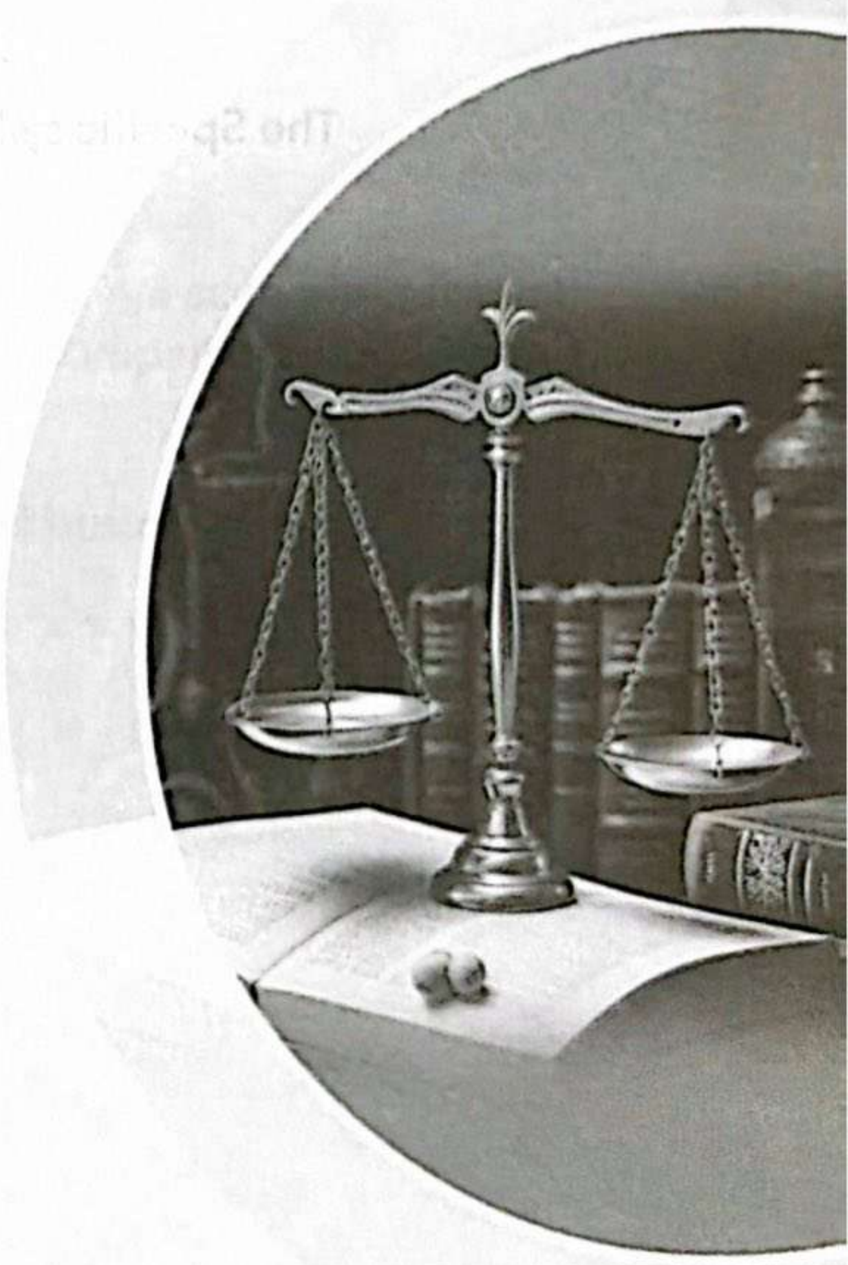
Contents

Introduction

Examination context

Topic List

1. Overview on partnership
2. Key provisions indicating the existence of partnership
3. Analysis of partnership comparing with other forms
4. Classes of partners and partnership
5. Partnership property
6. Registration of firm
7. Relations of partners to one another and relations of partners to third party
8. Rights and responsibilities of the partners
9. Dissolution and insolvency of a partnership
10. Identify the legal position in a given straightforward scenario concerning a partnership, applying the principles



Practical significance

Business should ensure that they are run in the most efficient and appropriate manner. Part of this is assessing whether to operate as partnership or a registered company. Limited liability is attractive, but usually brings with more onerous burden of regulation and administration. A limited liability partnership may be attractive option for some business. Like our clients, the firm you work for may also need to assess how it operates. Accountants have traditionally worked together in partnerships, but recent years have seen them increasingly finding ways of limiting their potential liabilities.

Stop & think

If an agent binds the principal and partners are all agents of each other, how will a large accountancy firm seek to regulate the action of its partners?

Working context

Not only might you be working for a partnership, you may find your numbers partnerships among its clients as well. As a business adviser, you could well find yourself advising a client on the advantages and disadvantages of partnership or incorporation as limited liability partnership.

Syllabus links

The practical effects of partnership will be relevant when looking in detail at audit at firms and their liability in the Audit and Assurance paper. As seen above, the issue of contract formation could be relevant in many different areas of the syllabus, for example accounting and auditing, employment, business and financial management.

Contracts are also important in assurance; for instance, a key contract is the engagement letter between the client and the assurance provider.

Examination context

requirements

Partners, authority will be examined in the context of agency law, commonly in a scenario question. The law on partnerships may be examined by requiring a comparison with companies.

The candidates will able to :

- analysis the advantages of partnership business over other forms of businesses
- distinguish the classes of partners and partnerships
- realize the Rights and responsibilities of a partner,
- explain the liabilities and authorities of a partner

1. Overview on partnership

1.1. Meaning of partnership

Partnership: "Partnership" is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all.

Partners & Firm: Persons who have entered into partnership with one another are called individually " partners" and collectively " a firm", and the name under which their business is carried on is called the " firm name."

In Abdul Badsha Vs. Century Wood Industries, two brothers, K.T. Abdul Badsha Saheb and K.T. Abdul Rasheed, inherited certain property from their father. They sold a garden and the sale proceed was invested in a business. Abdul Badsha supplied some poles to a company named Century Wood Industries. The company failed to pay the money. Abdul Badsha, the plaintiff filed a suit against the Century Wood Industries, the defendant, for recovery of money. Among other grounds the defendant intended that the firm of the plaintiffs was not registered in the books of the Registrar of Firms as required under the Partnership Act and that the suit is, therefore, not maintainable under Section 69(2), Partnership Act. The plaintiffs on the other hand contend that they are the sole-proprietors of the business which is not a firm in the strictest sense of the word and that though their company is not registered the suit filed by them is tenable. The court dismissed the suit on the ground that the plaintiffs' company is a firm and that it ought to have been got registered and as the same is not registered the suit is not maintainable.

The main point for consideration is whether the concern run by K.T. Abdul Badsha Saheb and his brother K.T. Abdul Rasheed under the name and style K.T.A. Rasheed & Coy., is a firm of partners or not. According to the evidence of K.T.A. Rasheed, the two brothers are living together and have not divided the properties which jointly belong to them. The two brothers sold a garden of theirs for Rs. 5,000/- and invested this sum in business. He states that there is no partnership agreement between them, but he admits that he and his brother have to divide the profits, each of them will get half the profits. They have been acquiring properties jointly for the benefit of both of them. In cross-examination it has been elicited that either one or the other brother might take a loan and that payment may be made by either of them.

What has to be considered in this case is whether under the circumstances referred to above, it could be said that the concern run by K.T. Abdul Badsha Saheb and K.T. Abdul Rasheed is a partnership concern. According to Section 4, Partnership Act 1932, Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all."

The first point to be noticed in this definition is that before we think of partnership there should be a relationship between two or more persons. The second point that will be noticed is that these persons must run a business. Thirdly, the business must be run by them with the intention of realising profits. Fourthly, it is not sufficient if the profits are intended to be taken exclusively by one of the partners. The agreement must be that every one of the partners should share the profits. The last whether there was an agreement between the parties that the business should be run by all or any one of them acting for all.

1.2. Formation and regulation of a partnership

Partnership Act does not specify maximum number of partners in forming a partnership business. Companies Act 1994, section 4 mentioned that:

In case of general partnership business, minimum number of members is 2 and maximum is 20. In case of banking partnership business, minimum number of members is 2 and maximum is 10.

Partnership business in Bangladesh is regulated by Partnership Act 1932 and the partnership deed which is signed by the partners. However, the registration of partnership business is not mandatory but the registered firm gets more benefits than an unregistered firm.

2. Key provisions indicating the existence of partnership

2.1. Mode of determining existence of partnership

In determining whether a group of persons is or is not a firm, or whether a person is or is not partner in a firm, regard shall be had to the real relation between the parties, as shown by all relevant facts taken together.

Explanation- 1: The sharing of profits or of gross returns arising from property by persons holding a joint or common interest in that property does not of itself make such persons partners.

Explanation- 2: The receipt by a person of a share of the profits of a business, or of a payment contingent upon the earning of profits or varying with the profits earned by a business, does not of itself make him a partner with the persons carrying on the business; and in, particular, the receipt of such share or payment –

a) by a lender of money to persons engaged or about to engage in any business.

b) by a servant or agent as remuneration.

c) by the widow or child of a deceased partner, as annuity, or

d) by a previous owner or part owner of the business, as consideration for the sale of the goodwill or share thereof, does not of itself make the receiver a partner with the persons carrying on the business.

2.2. Partnership at will

Where no provision is made by contract between the partners for the duration of their partnership, or for the determination of their partnership, the partnership is "Partnership at will".

2.3. Partnership not created by status

The relation of partnership arises from contract and not from status: and, in particular, the members of a Hindu undivided family carrying on a family business as such, or a Burmese Buddhist husband and wife carrying on business as such, are not partners in such business.

2.4. Joint management and sharing of profits- Not enough to prove partnership

A land in dispute was taken on lease jointly by two persons. It was contended that they were partners on that score. Held- the respondent only alleged that the land in dispute was obtained by the parties jointly with a view to share profits. That by itself cannot make this adventure as of partnership and will not make the relationship of the parties as that of partners. According to section 6 of the Partnership Act in determining whether a group of persons is or is not a firm, or whether a person is or is not a partner in a firm, regard shall be ad to the real relation between the parties; as shown by all persons. Holding a joint or common interest in that property does not of it-self make persons partners. Thus, in the absence of any allegation of the respondent that the lease was obtained by them as partners or that the land in dispute was to be cultivated in order to carry on a partnership business, and further in the absence of any case of the appellant that the lease was obtained in partnership and the parties were carrying on any partnership business, it is difficult to appreciate how the

question of partnership can arise in the present case. It, however, appears that if the co-owners of the land or the co-lessees of the land are shown not to have any interest in the land other than of receiving their share of its income that by itself would not make them partners. [Mobarak Ali Shah vs. Muhammad Sadiq, PLD 1961 (W.P) Karachi 265].

2.5. Partnership and co-ownership

The mere fact is that the profits or even losses are distributed in accordance with the shares of the two owners does not necessarily establish a partnership within the meaning of the Partnership Act. One of the principal differences between a partnership and co-ownership is that co-ownership is not necessarily the result of agreement whereas partnership is. The co- ownership does not necessarily involve community of profit or of loss but partnership does. In a partnership each partner acts for all but a co-owner is not such an agent real or implied of the other.

2.6. Distinction between a partnership firm and co-ownership

Where two or more persons jointly own a property each of them is co-owner, and relation between them is termed as "co-ownership". The principal differences between partnership and co-ownership are -

i) The relation of partnership arises from agreement and agreement only but co-ownership is not necessarily the result of agreement;

ii) Business is necessary in partnership whereas it is not necessary in co-ownership;

iii) There is mutual agency between partners, but one co-owner is not as such the agent of others;

iv) Sharing of profits is necessary in partnership whereas it is not necessary in co-ownership. Co-owners share only gross return;

v) A partner cannot transfer her interest to outside without the consent of all the partners, but on co-owner can;

vi) A partner cannot seek partition of the partnership property, but one co-owner always can;

vii) A partner has a lien on the partnership assets for moneys spent by him for the partnership. A co-owner has no lien under similar circumstances.

3. Analysis of partnership comparing with other forms

3.1. Partnership and a company

Company and Partnership firm may be compared under the following heads-

(a) Mode of creation: A partnership firm is formed by agreement, which may be either in writing or oral. Registration of partnership firm is not compulsory, but a company is formed and created by registration under the provision of the Companies Act.

(b) Legal Status: Partnership is merely an association of persons for carrying on the business of partnership and in law the firm name is a compendious method of describing the partners. A company has been regarded by law as juristic person, where as a partnership firm is not a person. A company is separate from its members. A partnership is not distinct from several persons who compose it.

(c) Number of members: In the case of a company, no maximum number of membership is fixed. The minimum number is two in case of private company and seven in the case

of public company. But a partnership firm cannot have more than twenty members in general and ten members in case of forming Banking business.

(d) **Liability of members:** The liability of partners for debts of a firm is unlimited. Partners are liable both jointly and severally to the creditors of the firm. The liability of the members of a company is limited to the extent of the nominal value of their shares. Creditors can realise their debts from the company, if the company is a guaranteed by them.

(e) **Transfer of shares:** Company's shares are freely transferable by the shareholders. But a partner in the firm cannot transfer his share without the consent of all the partners.

(f) **Finance:** In addition to fixed charges, a company can raise finance by creating a floating charge over its undertaking or assets, allowing it to deal with them without the lender's consent prior to any crystallization. An ordinary partnership cannot do so.

(g) **Objects and powers:** A company's powers are limited to those objects which are allowed by the object clause in the Memorandum of Association. If a company does anything beyond its objects clause, it is ultra-vires. But the partners can do anything.

(h) **Authority of members:** The management of a company vests in the hands of directors elected from amongst and by the shareholders, but the shareholders are merely the recipients of dividends. In case of a firm, all the partners are entitled to take part in the management of the firm subject to the contract to the contrary. Partners act both as principles and agents.

(i) **Dissolution:** A company has perpetual succession. Members of a company may come and go but the company goes for ever. The death of a members leaves the company unmoved; it is created by registration and it can be dissolved only by the order of a court or by being wound. In the case of partnership, the firm can be dissolved at any time by an agreement between the partners. The death or the insolvency of a partner subject to the contract between the partners dissolves a firm.

3.2. Advantages of partnership business over company business

a. **Formation:** A company must be registered under the companies Act satisfying all the provision laid down in the same. But, in case of forming a partnership business, no particular formality is required to satisfy.

b. **Administrative consequences:** A company must file accounts and documents with the Registrar of Joint Stock Companies. But partnership does not have to comply with such formalities.

c. **Cost:** A company faces the cost of compliance with administrative requirements and an annual audit fee whereas partnership has no such cost.

d. **Privacy:** A number of the company accounts and documents must be open to public inspection. In case of partnership, only partners have a right of access to the partnership accounts.

e. **Management:** A company member cannot be directly involved in the management of the company unless he is also a director whereas every partner has a right to participate in the management of the partnership (subject to the terms of any partnership agreement).

f. **Withdrawal of capital:** A company is subject to strict rules concerning repayment of capital but it is more straightforward for a partner to withdraw capital.

3.3. Partnership and Hindu family business

(i) Partnership is result of an agreement whereas joint family business result from status,

(ii) Death of a partner dissolves a partnership but not a joint family business;

(iii) The management of a Hindu joint family business rests with senior male members, the Karta, whereas in Partnership all partners have an equal right to participate except so far as regulated by the agreement;

(iv) A member of joint Hindu family on separation is not entitled to ask for accounts, a retiring partner is;

(v) A partnership business comes into existence by mutual contact between the partners whereas Joint Hindu Family firm is created by operation of law.

(vi) In partnership, a member is taken into the business by an agreement but in Joint Hindu Family business, one becomes the member by birth.

(vii) In partnership, all the partners are liable jointly and severally for all debts and obligation of the firm to an unlimited extent but in Joint Hindu Family business, the liability of co-partners is limited and liability of Karta (manager) is unlimited. The Karta (manager) is not only liable to the extent of his share in the business but his separate property is equal attachable and amount of debt can be recovered from his separate property.

(viii) In partnership, implied authority vests equally in all the partners but only manager has the implied authority in Joint Hindu Family.

4. Classes of partners and partnership

4.1. Active or managing partner

A person who takes active interest in the conduct and management of the business of the firm is known as active or managing partner. He carries on business on behalf of the other partners pursuing the interest of the firm. If he wants to retire, he has to give a public notice of his retirement; otherwise will continue to be liable for the acts of the firm.

4.2. Sleeping or dormant partner

Sleeping or dormant partner is a partner who does not take active part in the management of the firm but contributes to the share capital of the firm. Such partner is bound by the activities of the firm and shares the profit and loss of the business. A sleeping partner, unlike the active partner, is not required to give public notice of his retirement and he will not be liable to third parties for the acts done after his retirement.

4.3. Nominal or ostensible partner

Nominal or ostensible partner is he who does not have any real interest in the business but lends his name to the firm without any capital contribution and hence does not share profit or loss of the business. Often, a well-connected individual whose association lends credibility and recognition to the firm is suited to the role of a nominal partner. He also does not have any an active involvement in the affairs of the business of the firm but he is liable to the outsiders as an actual partner.

4.4. Sub-partner

The transferee of a share of a partner's interest in a firm is called a Sub- partner. Suppose P the owner of ¼ share of a firm, transfers ½ of his share to Q. Q will be called a sub-partner. His rights and liabilities are limited.

4.5. Partnership-at-will

A partnership is called a partnership-at-will (i) when the partnership is not for a fixed period of time and (ii) when no provision is made as to when and how the partnership will come to an end. A partnership at will can be dissolved whenever any partner chooses to do so.

4.6. Particular partnership - Joint venture

This partnership is one which is formed for a particular adventure or a particular undertaking. Such partnership is usually dissolved on the completion of the adventure or undertaking.

4.7. Limited partnership

In England a Partnership may be formed in which the liability of all partners (except one) is limited. There must be at least one partner with unlimited liability. In Bangladesh there is no such provision. In Bangladesh the liability of all the partners must be unlimited.

5. Partnership property

5.1. The property of the firm

Subject to contract between the partners, the property of the firm includes all property and rights and interests in property originally brought into the stock of the firm, or acquired, by purchase or otherwise, by or for the firm, or for the purposes and in the course of the business of the firm and includes also the goodwill of the business.

Unless the contrary intention appears, property and rights and interests in property acquired with money belonging to the firm are deemed to have been acquired for the firm.

5.2. Application of the property of the firm

Subject to contract between the partners, the property of the firm shall be held and used by the partners exclusively for the purposes of the business.

Partner cannot transfer any part of the property of firm till the continuation of the partnership - AddankiNarayanappa vs. BhaskaraKrishnappa.AIR 1966 SC 1300.

5.3. Personal profits named by partners

Subject to contract between the partners –

a) If a partner derives any profit for himself from any transaction of the firm or from the use of the property or business connection of the firm or the firm name, he shall account for that profit and pay it to the firm.

b) If a partner carries on any business of the same nature as and competing with that of the firm, he shall account for and pay to the firm all profits made by him in that business.

6. Registration of firm

6.1. Application for registration

1) The registration of a firm may be affected at any time by sending by post or delivering to the registrar of the area in which any place of business of the firm is situated or proposed to be situated, a statement in the prescribed form and accompanied by the prescribed fee stating-

   a) The firm name

   b) The place or principal place of business of the firm

   c) The names of any other places where the firm carries on business

d) The date when each partner joined the firm

e) The names in full and permanent addresses of the partners and

f) The duration of the firm

The statement shall be signed by all the partners, or by their agents specially authorised in his behalf.

2) Each person signing the statement shall be also verify it in the manner prescribed.

3) A firm name shall not contain any of the following words, namely -

"Crown", "Emperor", "Empress", "Empire", "Imperial", "King", "Queen", "Rayal", or words expressing or implying the sanction, approval or patronage of Government, except when the State Government signifies its consent to the use of such words as part of the firm name by order in writing.

6.2. Registration

When the Registrar is satisfied that the provision of section 58 have been duly complied with he shall record an entry of the statement in a register called the Register of firms and shall file the statement.

6.3. Recording of alterations in firm name and principal place of business

(1) When an alteration is made in the firm name or in the location of the principal place of business of a registered firm, a statement may be sent to the Registrar accompanied by the prescribed fee specifying the alteration and signed and verified in the manner required under section 58.

2) When the registrar, is satisfied that the provisions of sub - section 91) have been duly complied with he shall amend the entry relating to the firm in the Register in firms accordance with the statement, and shall file it along with the statement relating to the firms filed under section 59.

6.4. Noting of closing and opening of branches

When a registered firm discontinues business at any place or begins to carry on business at any place, such place not being its principal place of business, any partner or agent of the firm may send intimation thereof to the Registrar, who shall make a note of such intimation in the entry relating to the firm in the Register of firms, and shall file the intimation along with the statement relating to the firm filed under section 59.

6.5. Noting of changes in names and addresses of partners

When any partners in a registered firm alters his name or permanent address, an intimation of the alteration may be sent by any partner or agent of the firm to the Registrar, who shall deal with it in the manner provided in Section 61.

6.6. Recording of changes in and dissolution of a firm

(1) When a change occurs in the constitution of a registered firm any incoming continuing or outgoing partners and when a registered firm is dissolved any person who was a partner immediately before the dissolution or the agent of any such partner or person specially authorised in this behalf may give notice to the Registrar of such change or dissolution specifying the date thereof and the Registrar shall make a record of the notice in the entry relating to the firms in the Register of Firms, and shall file the notice in along with the statement relating to the firms files under section 59.

2) **Recording of withdrawal of a minor-** When a minor who has been admitted to the benefits of partnership in a firm attains majority and elects to become or not to become a partner, and the firm is then registered firm, he, or his agent specially authorised in this behalf, may give notice to the Registrar that he has or has not become a partner, and the Registrar shall deal with the notice in the manner provided in sub section (1).

6.7. Amendment of Register by order of Court

(1) The Register of firms shall be open to inspection by any person on payment of such fee as may be prescribed.

(2) All statements, notices and intimations filed under this Chapter shall be open to inspection, subject to such conditions and on payment of such fee as may be prescribed.

6.8. Rules of evidence

(1) Any statement, intimation or notice recorded or noted in the Register of firm shall, as against any persons by whom or on whose behalf such statement, intimation or notice was signed, be conclusive proof of any fact there in stated.

(2) A certified copy of any entry relating to a firm in the Registrar of firms may be produced in proof of the fact of the registration of such firm, and of the contents of any statements intimation or notice recorded or noted therein.

6.9. Effect of non-registration

This important section lays down the legal consequences which follows non-registration of firm. Sub-section (1) and (2) of this section provide:

i) That no partner or alleged partner, can file a suit to enforce a right arising from a contract or conferred by the Act against the other partners of alleged partners or the firm, unless the firm is registered.

ii) That no suit can be filed by a firm against third parties to enforce right arising from a contract, unless the firm is registered.

This section does not apply: (1) to a suit for dissolution of a firm: (2) for accounts of dissolved firm (PLD 1959, S. C. 319); (3) for realisation of the property of a dissolved firm; (4) to the powers of the official assignee of the estate of an bankrupt partner, and (5) to a firm which has no place of business in Bangladesh.

Under (section 69), a suit filed by a partnership firm without registration must be dismissed. Govind Mal Vs. Kunj Bihari Lal - where the suit was brought by a single person and it did not disclose that it was brought for the benefit of the partnership. It was held that suit was not barred under this section [Jaftar Khan Vs. Md Achar (PLD 1961, Karachi 335)],

The provisions of Section 69 are to be stricly construed as it deprives a right to use [Allah Buksh Vs. Ghulam Rasool (PLD 1957. Lahore 968)].

Thus, where a registered firm of name of A. & M. Wazir Ali was carrying on business in the name of Sind Oil Mills and a third person the defendant's objection that the Sind Oil Mills should also have been registered before the suit could be instituted was rejected. The intention of the law was that the firm should register all the names they use it would have said so [Md. Jameel & Co. Vs. A. & M. Wazir Ali (6PLD 1959, Karachi 4 72)].

Section 69 bars suits and other proceeding. The word „suit refers to proceedings which are initiated by the presentation of plaint [United Cotton Factory Vs. Ahmad Khan (PLD 1960, Karachi 774)].

In order to avoid the operation of section 69 the firm must be registered on the date when a suit is instituted. Defect of non-registration is not curable by subsequent registration (PLD 1960, Karachi 774)].

7. Relations of partners to one another and relations of partners to third party

7.1. Partners to be agent of the firm

Subject to the provisions of this Act, a partner is the agent of the firm for the purposes of the business of the firm.

7.2. Implied authority of partner as agent of the firm

(1) subject to the provisions of Sec. 22, the act of a partner which is done to carry on, in the usual way, business of the kind carried on by the firm, binds the firm, the authority of a partner to bind the firm conferred by this section is called his implied authority.

(2) In the absence of any usage or custom of trade to the contract, the implied authority of a partner does not empower him to -

a) Submit a dispute relating to the business of the firm to arbitration;

b) open a banking account on behalf of the firm in his own name;

c) Compromise or relinquish any claim or portion of a claim by the firm;

d) Withdraw a suit or proceeding filed on behalf of the firm;

e) admit any liability in a suit or proceeding against the firm;

f) acquire immovable property on behalf of the firm;

g) transfer immovable property belonging to the firm or;

h) enter into partnership on behalf of the firm.

7.3. Extension and restriction of partner's implied authority

The partners in a firm may, by contract between the partners, extend or restrict the implied authority of any partner. Notwithstanding any such restriction, any act done by a partner on behalf of the firm which falls within his implied authority binds the firm, unless the person with whom he is dealing knows of the restriction or does not know or believe that partner to be a partner.

7.4. Mode of doing act to bind firm

In order to bind a firm, an act or instrument done or executed by a partner or other person on behalf of the firm shall be done or executed in the firm name or in any other manner expressing or implying an intention to bind the firm.

7.5. Effect of admissions by a partner

An admission on representation made by a partner concerning the affairs of the firm is evidence against the firm, if it is made in the ordinary course of business.

7.6. Holding out

(1) Anyone who by words spoken or written or by conduct represents himself, or knowingly permits himself to be represented, to be a partner in a firm, is liable as a partner in the firm to anyone who has on the faith of any such representation given credit to the firm, whether the person representing himself or represented to be a partner does or does not know that the representation has reached the person so giving credit.

(2) Where after a partner's death the business continued in the old firm name, the continued use of that name or of the deceased partner's name as a part thereof shall not have itself make his legal representative or his estate liable for any act of the firm done after his death.

7.7. Rights of transferee of a partner's interest

(1) A transfer by a partner of his interest in the firm, either absolute or by mortgage, or by the creation by him of a charge on such interest, does not entitle the transferee, during the continuance of the firm, to interfere in the conduct of the business or to require accounts, or to inspect the books of the firm, but entitles the transferee only to receive the share of profits of the transferring partner' and the transferee shall accept the account of profits agreed to by the partners.

(2) If the firm is dissolved or if the transferring partner ceases to be a partner, the transferee is entitled as against the remaining partners to receive the share of the assets of the firm to which the transferring partner is entitled and for the purpose of ascertaining that share, to an account as from the date of the dissolution.

8. Rights and responsibilities of the partners

8.1. General Duties of partners-

Partners are bound to carry on the business of the firm to the greatest common advantage, to be just and faithful to each other, and to render true accounts and full information of all things affecting the firm to any partner or his legal representative.

8.2. Duty to indemnify for loss caused by fraud-

Every partner shall indemnify the firm for any loss caused to it by his fraud in the conduct of the business of the firm.

8.3. Determination of rights and duties of partners by contract between the partners

(1) Subject to the provisions of this Act, the mutual rights and duties of the partners of a firm may be determined by contract between the partners, and such contract may be expressed or may be implied by a course of dealing. Such contract may be varied by consent of all the partners, and such consent may be expressed or may be implied by a course of dealing.

2) Agreements in restraints of trade- Notwithstanding anything contained in Sec. 27 of the Indian Contract Act, 1872, such contracts may provide that a partner shall not carry on any business other than that of the firm while he is a partner.

8.4. The conduct of the business

Subject to contract between the partners:

a) Every partner has a right to take part in the conduct of the business.

b) Every partner is bound to attend diligently to his duties in the conduct of the business.

c) any difference arising as to ordinary matters connected with the business may be decided by a majority of the partners, and every partner shall have the right to express his opinion before the matter is decided, but no change may be made in the nature of the business without any consent of all the partners and

d) every partner has a right to have access to and to inspect and copy any of the books of the firm.

8.5. Mutual rights and liabilities

Subject to contract between the partners -

a. partner is not entitled to receive remuneration for taking part in the conduct of the business;

b. The partners are entitled to share equally in the profits earned and shall contribute equally to the losses sustained by the firm.

c. Where a partner is entitled to interest on the capital subscribed by him such interest shall be payable only out of profits.

d. partner making, for the purposes of the business, any payment or advance beyond the amount of capital he has agreed to subscribe, is entitled to interest thereon at the rate of six per cent, per annum.

e. The firm shall indemnify a partner in respect of payments made and liabilities incurred by him.

   i) In the ordinary and proper conduct of the business, and

   ii) In doing such act, in an emergency, for the purpose of protecting the firm from loss as would be done by a person of ordinary prudence, in his own case, under similar circumstances and

f. a partner shall indemnify the firm for any loss caused to it by his wilful neglect in the conduct of the business of the firm.

8.6. Right and duties of partners

Subject to contract (Between the partners -

a. after a change in the firm - Where a change occurs in the constitution of a firm, the mutual rights and duties of the partners in the reconstituted firm remain the same as they were immediately before the change, as far as may be,

b. after the expiry of the term of the firm - Where a firm constituted for a fixed term continues to carry on business after the expiry of that term, the mutual rights and duties of the partners remain the same as they were before the expiry, so far as they may be consistent with the incidents of partnership at will' and

c. where additional undertakings are carried out. - Where a firm constituted to carry out

one or more adventures or undertakings carries out other adventures or undertakings, the mutual rights and duties of the partners in respect of the other adventures or undertakings are the same as those in respect of the original adventures or undertaking.

8.7. Rights of outgoing partner to carry on competing business

(1) an outgoing partner may carry on a business competing with that of the firm and he may advertise such business but, subject to contract to the contrary, he may not –

a) Use the firm name

b) Represent himself as carrying on the business of the firm

c) Elicit the custom of persons who were dealing with the firms before he ceased to be a partner.

2) Agreement in restraint of trade - A partner may make an agreement with his partners that on ceasing to be a partner he will not carry on any business similar to that of the firm within a specified period or within specified local limits and notwithstanding anything contained in Sec. 27 of the Indian Contract Act, 1872, such agreement shall be valid if the restrictions imposed are reasonable.

8.8. Right of outgoing partner in certain cases to share subsequent profits

Where any member of a firm has died or otherwise ceased to be a partner, and the surviving or continuing partners carry on the business of the firm with the property of the firm without any final settlement of a accounts as between them and the outgoing partner or his estate then, in the absence, of a contract to the contrary, the outgoing partner or his estate is entitled at the option of himself or his representatives to such share of the profits made since he ceased to be a partner as may be attributable to the use of his share of the property of the firm or to interest at the rate of six per cent per annum on the amount of his share in the property of the firm.

Provided that: where by contract between the partners an option is given to surviving or continuing partners to purchase the interest of a deceased or outgoing partner, and that option is duly exercised, the estate of the deceased partner or the outgoing partner or his estate, as the case may be, is not entitled to any further or other share of profits, but if any partner assuming to act in exercise of the option does not in all material respects comply with the terms thereof, he is liable to account under the foregoing provisions of this section.

8.9. Liability and authority of partners

a. Partner's authority in an emergency

A partner has authority, in an emergency, to do all such acts for the purpose of protecting the firm from loss as would be done by a person of ordinary prudence, in his own case, acting under similar circumstances, and such acts bind the firm.

b. Liability of a partner for acts of the firm-

Every partner is liable, jointly with all the other partners and also severally, for all acts of the firm done while he is a partner.

c. Liability of the firm for wrongful acts of a partner-

Where by the wrongful act or omission of a partner acting in the ordinary course of the business of a firm, or with the authority, of his partners, loss or injury is caused to any third party, or any penalty is incurred, the firm is liable therefor to the same extent as the partner.

d. Liability of firm for misapplication by partners-

Where -

a) a partner acting within his apparent authority receives money or property from a third party and misapplies it or,

b) a firm in the course of its business receives money or property from a thirty party, and the money or property is misapplied by any of the partners while it is in the custody of the firm the firm is liable to make good the loss.

8.10. Minor as partner

(1) A person who is a minor according to the law to which he is subject may not be a partner in a firm, but with the consent of all the partners for the time being, he may be admitted to the benefits of partnership.

2) Such minor has a right to such share of the property and of the profits of the firm as may be agreed upon, and he may have access to and inspect and copy any of the accounts of the firm.

3) Such minors share is liable for the acts of the firm, but the minor is not personally liable for any such act.

4) Such minor may not sue the partners for an account or payment of his share of the property or profits of the firm, save when severing his connection with the firm, and in such case the amount of his share shall be determined by a valuation made as far as possible in accordance with the rules contained in Sec. 48.

Provided that all the partners acting together or any partner entitled to dissolve the firm upon notice to other partners may elect in such suit to dissolve the firm, and thereupon the Court shall proceed with the suit as one for dissolution and for settling accounts between the partners, and the amount of the share of the minor shall be determined along with the shares of the partners.

5) At any time within six months of his attaining majority, or of his obtaining knowledge that he had been admitted to the benefits of partnership, whichever date is later, such person may give public notice that he has elected to become or that he has elected not to become a partner in the firm, and such notice shall determine his position as regards the firm.

Provided that- if he fails to give such notice, he shall become a partner in the firm on the expiry of the said six months.

6) Where any person has been admitted as a minor to the benefits of partnership in a firm, the burden of proving the fact that such person had no knowledge of such admission until a particular date after the expiry of six months of his attaining majority shall lie on the persons asserting that fact.

7) Where such person becomes a partner -

a) his rights and liabilities as a minor continue up to the date on which he becomes a partner, but he also becomes personally, liable to third parties for all acts of the firm done since he was admitted to the benefits of partnership and.

b) his share in the property and profits of the firm shall be the share to which he was entitled as a minor

8) Where such person elects not to become a partner

a) his rights and liabilities shall continue to be those of a minor under this section up to the date on which he gives public notice.

b) his share shall not be liable for any acts of the firm done after the date of the notice, and

c) he shall be entitled to sue the partners for his share of the property and profits in accordance with sub section (4)

9) Nothing in sub sections (7) and (8) shall affect then provisions of Sec. 28.

8.11. Reconstitution of firm

In a partnership firm, any change in the existing agreement between the partners amounts to its reconstitution. It leads to the end of the existing agreement and a new agreement comes into being with a changed relationship among the members of the partnership firm.

9. Dissolution and insolvency of a partnership

9.1. Dissolution of firm

The dissolution of partnership between all the partners of a firm is called "dissolution of the firm".

9.2. Dissolution by agreement

A firm may be dissolved with the consent of all the partners or in accordance with a contract between the partners. Firm can be dissolved with consent of all the partners or according to contract between the partners - AI 1971 SC 1653: (1970) 2 SCC 724, AIR 1990 All. 171.

9.3. Compulsory dissolution

A firm is dissolved

a) by the adjudication of all the partners or of all partners but one as insolvent or,

b) By the happening of any event which makes it unlawful for the business of the firm to be carried on or for the partners to carry it on in partnership.

Provided that: Where more than one separate adventure or undertaking is carried on by the firm, the illegality of one or more shall not of itself cause the dissolution of the firm in respect of its lawful adventures and undertakings.

When all the partners or all the partners except one declared insolvent, firm shall be dissolved AIR 1933 Patna 239.

Illustration:

1) A and B charter a ship to go to a foreign port and receive a cargo on this joint venture. War breaks out between England and the country where the port is situated before the ship arrives at the port and continues until after the time appointed for loading. The partnership between A and B is dissolved.

2) A is a partner with ten other persons in a certain business. An act is passed which makes it unlawful for more than ten persons to carry on that business in partnership. The partnership is dissolved.

3) An Englishman and domiciled in England is a partner with B, a domiciled foreigner. War breaks out between English and the country of B"s domicile. The partnership between A and B is dissolved. The true test is not domicile but voluntary residence.

9.4. Dissolution on the happening of certain contingencies

Subject to contract between the partners a firm is dissolved -

a) If constituted for a fixed term, by the expiry of that term

b) If constituted to carry out one or more adventures or undertakings by the completion thereof

c) by the death of a partner

d) by the adjudication of a partner as an insolvent

9.5. Dissolution by notice of partnership at will

(1) Where the partnership is at will the firm may be dissolved by any partner giving notice in writing to all the other partners of his intention to dissolve the firm.

(2) The firm is dissolved as from the date mentioned in the notice as the date of dissolution or, if no date is so mentioned, as from the date of the communication of the notice.

9.6. Dissolution by the Court

At the suit of a partner, the Court may dissolve a firm on any of the following grounds, namely:

a. That a partner has become of unsound mind, in which case the suit may be brought as well by the next friend of the partner who has become of unsound mind as by any other partner.

b. That a partner, other than the partner suing, has become in any way permanently incapable of performing his duties as partner.

c. that a partner, other than the partner suing, is guilty of conduct which is likely to affect prejudicially the carrying on of the business, regard being had to the nature of the business.

d. that a partner, other than the partner suing, wilfully or persistently commits breach of agreement relating to the management of the affairs of the firm or the conduct of its business, or otherwise so conducts himself in matter relating to the business that it is not reasonably practicable for the other partners to carry on the business in partnership with him.

e. That a partner, other than the partner suing has in any way transferred the whole of his interest in the firm to a third party, or has allowed his share to be charged under the provisions of rule 49 of Order XXI of the First Schedule to the Code of Civil Procedure, 1908 or has allowed it to be sold in the recovery of arrears, of land revenue or of any dues recoverable as arrears of land revenue due by the partner.

f. That the business of the firm cannot be carried on save at a loss.

g. On any other ground which renders it just and equitable that the firm should be dissolved.

9.7. Liability for acts of partners done after dissolution

(1) Notwithstanding the dissolution of a firm the partners continue to be liable as such to third parties for any act done by any of them which would have been an act of the firm if done before the dissolution unit public notice is given of the dissolution.

Provided that: The estate of a partner who dies, or who is adjudicated an insolvent or of a partner who not having been known to the person dealing with the firm to be a partner,

retires from the firm, is not liable under this section for acts done after the date on which he ceases to be a partner.

(2) Notices under such- Section 91) may be given by any partner

9.8. Right of partners to have business wound by after dissolution

On the dissolution of a firm every partner or his representative is entitled, as against all the other partners or their representatives, to have the property of the firm applied in payment of the debts and liabilities of the firm and to have the surplus distributed among the partners or their representatives according to their rights.

9.9. Continuing authority of partners for purposes of winding up

After the dissolution of a firm the authority of each partner to bind the firm, and the other mutual rights and obligations of the partners, continue notwithstanding the dissolution, so far as may be necessary to wind up the affairs of the firm and to complete transactions begun but unfinished at the time of the dissolution, but not otherwise. Provided that the firm is no case bound by the acts of a partner who has been adjudicated insolvent, but this proviso does not affect the liability of any person who has after the adjudication represented himself or knowingly permitted himself to be represented as a partner of the insolvent.

9.10. Mode of settlement of accounts between partners

In setting the accounts of a firm after dissolution, the following rules shall, subject to agreement by the partners, be observed.

a) Losses, including deficiencies of capital, shall be paid first out of profits, next out of capital and, lastly, if necessary, by the partners individually in the proportion in which they were entitled to share profits.

b) The assets of the firm, including any sums contributed by the partners to make up deficiencies of capital, shall be applied in the following manner and order:

i) In paying the debts of the firm to third parties,

ii) In paying to each partner rateably what is due to him from the firm for advances as distinguished from capital,

iii) in paying to each partner rateably what is due to him on account of capital, and

iv) The residue, if any shall be divided among the partners in the proportions in which they were entitled to share profits.

9.11. Payment of firm debts and of separate debts

Where there are joint debts due from the firm, and also separate debts due from any partner, the property of the firm shall be applied in the first instance in payment of the debts of the firm, and if there is any surplus, him. The separate property of any partner shall be applied first in the payment of his separate debts and the surplus (if any) in the payment of the debts of the firm.

9.12. Personal profits earned after dissolution

Subject to contract between the partners, the provisions of clause (a) of section 16 shall apply to transactions by any surviving partner or by the representatives of a deceased partner, undertaken after the firm is dissolved on account of the death of a partner and before its affairs have been completely wound up. Provided that Where any partner or his representative has bought the good will of the firm nothing in this section shall affect his right to use the firm name.

9.13. Return of premium on premature dissolution

Where a partner has paid a premium on entering into partnership for a fixed term, and the firm is dissolved before the expiration of that term otherwise than by the death of a partner, he shall be entitled to repayment of the premium or of such part thereof as may be reasonable, regard being had to the terms upon which he became a partner and to the length of time during which he was a partner unless -

a) The dissolution is mainly due to his own misconduct or

b) The dissolution is in pursuance of an agreement containing no provision for the return of the premium or any part of it.

9.14. Rights where partnership contract is rescinded for fraud or misrepresentation

Where a contract creating partnership is rescinded on the ground of fraud or misrepresentation of any of the parties thereto, the party entitled rescind is, without prejudice to any other right entitled -

a) To a lien on or a right of retention of, the surplus of the assets of the firm remaining after the debts of the firm have been paid for any sum paid by him for the purchase of a share in the firm and for any capital contributed by him.

b) to rank as a creditor of the firm in respect of any payment made by him towards the debts of the firm. and

c) To be indemnified by the partner or partners guilty of the fraud or misrepresentation against all the debts of the firm.

9.15. Right to restrain from use of firm name or firm property

After a firm is dissolved, every partner or his representative may in the absence of a contract between the partners to the contrary, restrain and other partner or his representative from carrying on a similar business in the firm name or from using any of the property of the firm for his own benefit, until the affairs of the firm have been completely wound up ; Provided that Where any partner or his representative has bought the goodwill of the firm, nothing in this section shall affect his right to use the firm name.

9.16. Agreement in restraint of trade

Partners may upon or in anticipation of the dissolution of the firm, make an agreement that some or all of them will not carry on a business similar to that of the firm within a specific period or within specified local limits and notwithstanding anything contained in section 27 of the Indian Contract Act 1872 such agreement shall be valid if the restrictions imposed are reasonable.

9.17. Sale of good will after dissolution

1) In settling the accounts of a firm after dissolution the goodwill shall, subject to contract between the partners, be included in the assets, and it may be sold either separately or along with other property of the firm.

2) Right of buyer and seller of good will - Where the goodwill of a firm is sold after dissolution, a partner may carry on a business competing with that of the buyer and he may advertise such business, but subject to agreement between him and the buyer, he may not.

   a) use the firm name;

   b) Represent himself as carrying on the business of the firm; or

   c) Solicit the custom of persons who were dealing with the firm before its dissolution.

3) Agreement in restraint of trade- Any partner may, upon the sale of the goodwill of a firm, make an agreement with the buyer that such partner will not carry on any business similar to that of the firm within a specified period or within specified local limits and not withstanding anything contained in section 27 of the Indian Contract Act, 1872, such agreement shall be valid if the restrictions imposed are reasonable.

10. Identify the legal position in a given straightforward scenario concerning a partnership, applying the principles

Partners' authority

Faith, George, Harbajan and Ingrid are partners in an animal hospital. They are all authorised to carry out the business of being a vet on behalf of the practice. The partners have assigned Faith the position of hospital manager with authority to purchase medicines and other supplies that the hospital needs. The hospital has approved suppliers who have been informed that the only person with authority to buy goods on behalf of the practice is Faith.

One day Faith was perusing the catalogue from a supplier and saw an advert for a new drug. One of the hospital's approved suppliers was advertising for hospitals to participate in a drugs trial in respect of this drug in return for a number of free drugs. Faith rang the supplier and volunteered the hospital for the drugs trial. George, Harbajan and Ingrid are very unhappy that Faith made this commitment without consulting them and are wondering if they can avoid the commitment on the grounds that Faith was not authorised to bind them in a contract involving drugs which have not yet been subject to clinical trials.

In addition, Ingrid has recently placed a large order on behalf of the partnership with a non-approved supplier because it was offering a good deal on a drug which the hospital uses regularly. The supplier was aware that she was a partner in the hospital and therefore entered into the contract. Faith is very annoyed and wishes to cancel the contract because she is concerned that the hospital will not have sufficient need of the drug and that too many will go to waste.

Faith's commitment to the drugs trial. Participating in a drugs trial, while not the direct business of the partnership, is sufficiently connected with the business of the partnership to be considered the business of the partnership. In addition, Faith was acting in the normal course of her duties, dealing with drug companies to obtain drugs for the partnership. This being the case, Faith has authority to bind the partners in this way, in the absence of any express agreement that partners will not commit the partnership to participation in drugs trials. Even if there were such a restriction on her authority, the supplier would have had to have been aware of it in order for her contract not to bind the firm.

Ingrid's purchase of the drug. Although approved suppliers of the hospital are aware that only Faith is authorised to buy drugs, a non-approved supplier, who has not been told this, is entitled to assume that a partner has the power to bind the other partners when buying drugs connected with the partnership business. Therefore, the partnership will be bound by this contract.

The Act specifically provides that where a partner pledges the credit of the firm for a purpose which has no apparent connection with the firm's ordinary business, the firm will not be bound unless he has actual express authority to do so.

If any restriction is placed on a partner's authority to bind the firm, no act done in contravention of that restriction is binding on the firm where the third party has notice of the restriction.

Note that (except where a partner has actual authority) his authority often depends on the perception of the third party. Generally speaking, if the third party genuinely believes that

the partner has authority, it is highly likely that the partner will bind the firm.

Note that a new partner admitted to an existing firm is liable for debts incurred only after he becomes a partner. He is not liable for debts incurred before he was a partner unless he agrees otherwise.

Where a partner retires, he remains liable for any outstanding debts incurred while he was a partner, unless the creditor has agreed to release him from liability. He is also liable for debts of the firm incurred after his retirement if the creditor knew him to be a partner (before retirement) and has not had notice of his retirement. Therefore, it is vital on retirement that a partner gives notice to all the creditors of the firm. He may also consider entering into an agreement with the continuing partners that they will indemnify him against any liability for post-retirement debts.

A & Co.

A & Co. is registered as a partnership firm in 20X0 with A, B and C as partners. In 20X2, A dies. In 20X3 B and C sue X in the name and on behalf of A & Co. without fresh registration. Is the suit maintainable? What difference would it make, if in 20X3 B and C had taken a new partner D and then filed a suit against X without fresh registration?

Answer: The suit is maintainable without fresh registration if an additional partner D, had come into the firm as a partner and his name had not been entered in the register in accordance with notice of a change in the constitution could not sue, because although it was a registered firm D, one of the person suing, would not be shown in Register of firms as a partner in the firm at the date of the suit.

Ram Adhar Vs. Rama Kiral Tiwari

The plaintiff sold bricks to the defendant. The defendant not having paid price of bricks to the partnership firm, the plaintiff sued the defendant for the recovery of the price of bricks. The High Court held that such a suit is barred by section 69(2) and as such the suit was not maintainable.

According to section 69(2), if the firm is unregistered, no suit to enforce a right arising from a contract can be instituted by the firm or its partners against a third party. Sub-section (2) also requires two conditions to be fulfilled before a suit can be instituted against a third party.

a. The firm must be registered firm, and

b. the person suing must be shown in the Register of firms as partner of the firm.

To enforce the rights against third party, it is not enough that the firm is registered, it is further necessary that the person suing is or has been shown in the Register of firms as a partner in the firm.

X, Y & Z

X, Y & Z are partners in a business sharing profits and losses equally. Z dies and the firm is dissolved. On the date of dissolution, the capital of X, Y and Z were BDT 20,000, BDT 15,000 and BDT 10,000 respectively and the outside liabilities amounted to BDT 65,000. The total assets of the firm realized to BDT 50,000. What is the amount of deficiency if the Partnership Agreement is silent?

Answer: The deficiency works out at BDT 60,000. Such deficiency will be shared by X, Y and Z in Profit Sharing Ratio.

Chapter 4

The Contract Act, 1872 and The Sale of Goods Act, 1930

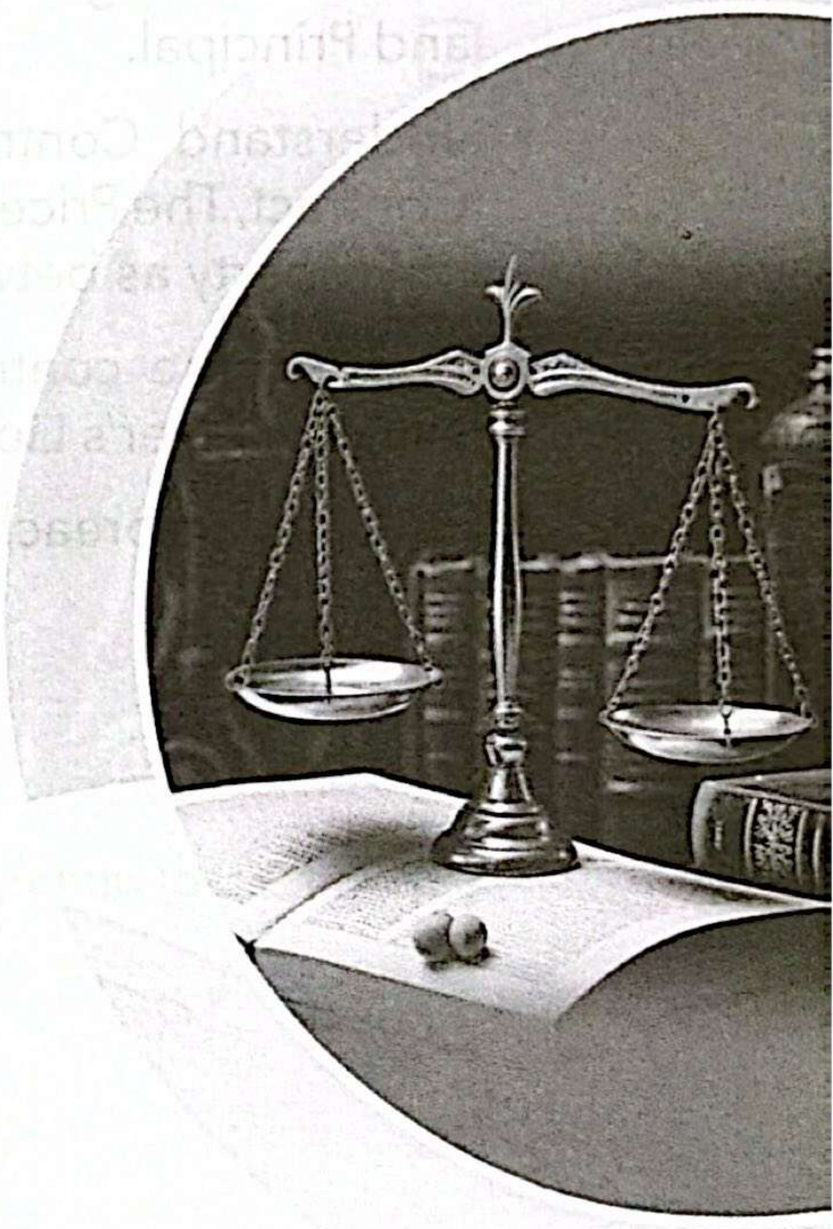
Contents

Introduction
Examination context

Topic List

Part A : The Contract Act, 1872 :

1 Definitions (Sec. 2)
2 Definition of a Contract
3 Proposals
4 Acceptance
5 Consideration of a Contract
6 Contracts, Voidable Contracts and Void Agreements
7 Contingent Contract (Sec. 31)
8 Unenforceable Agreement
9 Illegal Agreement
10 Quasi Contract
11 Performance of Contracts
12 Termination of Contracts
13 Contract Need not to be Performed
14 Responsibility of Finder of Goods (Sec. 71)
15 Termination by Breach of Contracts
16 Types of Damages
17 Agency
18 Extent of Agent's Authority (Sec. 188)
19 Termination of Agency (Sec. 201)
20 Agent's Duty to Principal
21 Right of Principal when Agent Deals, on His Own Account, in Business of Agency Without Principal's Consent (Sec. 215)
22 Principal's Duty to Agent (Sec. 222-225)



Part B : The Sale of Goods Act, 1930 :

23 Definitions (Sec. 2)
24 Formation of the contract (Sec. 4-17)
25 Effects of the contract (Sec. 18-30)
26 Performance of the contract (Sec. 31-44)
27 Rights of unpaid seller against the goods (Sec. 45-54)
28 Suits for breach of the contract (Sec. 55-61)
29 Miscellaneous (Sec. 62-66)

Exam requirements

Candidates will be able to explain the meaning and all other legal provisions of the Contract Act, 1872 and The Sale of Goods Act, 1930 along with the understanding on all the service-related issues.

This will involve being able to:

- understand the different legal provisions of the Act along with the elements, consideration, types of contracts, termination of contracts, etc.
- explain Proposals, its communication and revocation, Acceptance, Rules, its communication and revocation, Consideration, types, rules and its exceptions, voidable contract and void agreement, Free Consent, Coercion, Undue influence, Termination of contracts, methods of termination, Damages.
- understand Agency, its Creation, types, termination, duties and rights of Agent and Principal.
- understand Contract of Sale, Formalities of the contract, Subject-matter of Contract, The Price and Conditions and Warranties, Effects of the contract, Transfer of Property as between Seller and Buyer, Delivery to carrier and Transfer of Title,
- perform the contract, analyze the Rights of unpaid seller against the goods, Unpaid Seller's Lien, Stoppage in Transit and Transfer by Buyer and Seller.
- do Suits for breach of the contract.

Introduction

Learning objectives	Tick off
➢ To provide definition of a contract	☐
➢ To know proposals, acceptance, consideration	☐
➢ To identify voidable contract and void agreement	☐
➢ To know about performance of contract	☐
➢ To identify termination of contract, contract need not to be performed To identify termination by breach of contracts, types of damages	☐
➢ To know agency, extent of agent's authority, termination of agency	☐
➢ To know agent's duty to Principal, rights of Principal and Principal's duty to agent	☐
➢ To know the definitions under The Sale of Goods Act, 1930	☐
➢ To know Formation of the sales contract	☐
➢ To know Effects of the sales contract	☐
➢ To know Performance of the sales contract	☐
➢ To know Rights of unpaid seller against the goods	☐
➢ To know Suits for breach of the contract	☐
➢ To know Exclusion of implied terms and conditions	☐
➢ To know Reasonable time a question of fact	☐
➢ To know Auction sale	☐
➢ To know in contracts of sale amount of increased or decreased duty or tax to be added, or deducted	☐

The specific syllabus reference for this chapter is 4.

Part A: The Contract Act, 1872

1 DEFINITIONS (Sec. 2)

Section 2 of the Contract Act defines the following words and expressions that are used in the following specific senses, unless contrary meaning appears from the context:

(a) When one person signifies to another his willingness to do or to abstain from doing anything, with a view to obtaining the assent of that other to such act or abstinence, he is said to make a **proposal;** Proposal is also known as offer;

(b) When a person to whom the proposal is made, signifies his assent thereto, the proposal is said to be accepted. A proposal, when accepted, becomes a **promise;**

(c) The person making the proposal is called the **"promisor"**, and the person accepting the proposal is called **"promisee"**;

(d) When, at the desire of the promisor, the promisee or any other person has done or abstained from doing or does or abstains from doing or promises to do or to abstain from doing, something, such act or abstinence or promise is called a **consideration** for the promise;

(e) Every promise and every set of promises, forming the consideration for each other, is **an agreement;**

(f) Promises which form the consideration or part of the consideration for each other are called **reciprocal promises;**

(g) An agreement not enforceable by law is said to be **void;**

(h) An agreement enforceable by law is a **contract;**

(i) An agreement which is enforceable by law at the option of one or more of the parties thereto, but not at the option of the other or others, is a **voidable contract;**

(j) A contract which ceases to be enforceable by law becomes void when it ceases to be enforceable.

2 DEFINITION OF A CONTRACT

As per section 2(h) of the Contract Act 1872 "An agreement enforceable by law is a **contract**."

2.1 States for formation of a contract are:

Stage 1	**Proposal / offer**	
		When accepted
Stage 2	**Promise**	
		Forming consideration for each other
Stage 3	**Agreement**	
		When enforceable in law
Stage 4	**Contract**	

2.2 Essential elements of a contract

An agreement becomes enforceable by law when it fulfills certain conditions. These conditions are called the essential elements of a Contract. The conditions are as follows:

- Offer and acceptance
- Intention to legal relationship
- Lawful consideration
- Capacity of parties
- Free consent
- Legality of object
- Certainty
- Possibility of performance
- Writing, registration and legal formalities

The elements mention above must all be present. If any one of them is absent, the agreement does not become a contract. An agreement which fulfills all the above essential elements is enforceable by law is called a contract.

From this, it is said that "All contracts are agreement but all agreements are not contracts."

2.3 Distinction between a Contract and an Agreement

(i) Agreement is a wider conception than contract; it is a genus of which contract is only a species.

(ii) A contract is an agreement enforceable by law. Thus all contracts are agreements but all agreements are not necessarily contracts.

(iii) Parties in a contract have some legal rights and obligation but not for an agreement.

(iv) All the essential elements are available in a contract except some exceptions but there are many agreements which are not contracts because the parties did not intend that these should be attended by legal consequences, e.g., agreements to take a walk together or to offer and accept hospitality, & agreements binding in honor where the parties expressly exclude the jurisdiction of the Courts.

CHAPTER 4

3 PROPOSALS

3.1 Communication, acceptance and revocation of proposals (Sec. 3)

The communication of proposals, the acceptance of proposals, and the revocation of proposals and acceptance, respectively, are deemed to be made by any act or omission of the party proposing, accepting or revoking, by which he intends to communicated such proposal, acceptance or revocation, or which has the effect of communicating it.

3.2 Communication when complete (Sec. 4)

The communication of a proposal is complete:

The communication of a proposal is complete when it becomes to the knowledge of the person to whom it is made.

The communication of an acceptance is complete:

As against the proposer, when it is put in a course of transmission to him, so as to be out of the power of the acceptor;

As against the acceptor, when it comes to the knowledge of the proposer.

The communication of a revocation is complete:

As against the person who makes it when it is put into a course of transmission to the person to whom it is made, so as to be out of the power of the person who makes it;

As against the person to whom it is made, when it comes to his knowledge.

Illustrations

(a) A proposes, by letter, to sell a house to B at a certain price. The communication of the proposal is complete when B receives the letter.

(b) B accepts A's proposal by a letter sent by post. The communication of the acceptance is complete,-as against A, when the letter is posted; as against B, when the letter is received by A.

(c) A revokes his proposal by telegram. The revocation is complete as against A when the telegram is dispatched. It is complete as against B when B receives it.

B revokes his acceptance by telegram. B's revocation is complete as against B when the telegram is dispatched, and as against A when it reaches him.

3.3 Revocation of Proposals and acceptance (Sec. 5)

A proposal may be revoked at any time before the communication of its acceptances complete as against the proposer, but not afterwards.

An acceptance may be revoked at any time before the communication of the acceptance is complete as against the acceptor, but not afterwards.

Illustrations:

A proposes, by a letter sent by post, to sell his house to B.B accepts the proposal by a letter sent by post.

A may revoke his proposal at any time before or at the moment when B posts his letter of acceptance, but not afterwards.

B may revoke his acceptance as any time before or at the moment when the letter communicating it reaches A, but not afterwards.

3.4 Methods of revocation of a Proposal (Sec. 6)

A proposal is revoked –

(1) by the communication of notice of revocation by the proposer to the other party;

(2) by the laps of the time prescribed in such proposal for its acceptance, or, if no time is so prescribed, by the lapse of a reasonable time, without communication of the acceptance;

(3) by the failure of the acceptor to fulfill a condition precedent to acceptance;

(4) by the death or insanity of the proposer, if the fact of his death or insanity comes to the knowledge of the acceptor before acceptance.

3.5 Specific offer and General offer

Specific offer:

When an offer is made to a specific person(s) is called a specific offer. X offers to sell his car to Y at Tk. 1 million.

A offers to reward Tk. 1,000 to any student who finds out and returns a book lost in the college.

General offer:

A transport Company runs buses in the streets. This is an offer by the company to carry passengers at the scheduled fares.

3.6 Rules regarding offer:

i. An offer may be expressed or may be implied from the circumstances.
ii. An offer may be made to a definite person, class of person or to anybody in the world. (general and specific)
iii. Legal relationship is required
iv. The terms of the offer must be certain, definite not vague
v. A mere statement of intention is not an offer
vi. An offer must be communicated to the offeree
vii. An offer may be conditional
viii. A proposal is different from an invitation to proposal/treat

Display of goods with a price attached in a shop is not a proposal but an invitation to a proposal.

4 ACCEPTANCE

4.1 Definition

When a person to whom the proposal is made, signifies his assent thereto, the roposal is said to be accepted.

4.2 Acceptance must be absolute (Sec. 7)

In order to convert a proposal into a promise, the acceptance must-

(1) be absolute and unqualified;

(2) be expressed in some usual and reasonable manner, unless the proposal prescribes the manner in which it is to be accepted.

4.3 Acceptance by performing, conditions, or receiving consideration (Sec. 8)

Performance of the conditions of a proposal, or the acceptance of any consideration for a reciprocal promise which may be offered with a proposal, is an acceptance of the proposal.

4.4 Promises, express and implied (Sec. 9)

In so far as the proposal or acceptance of any promise is made in words, the promise is said to be express. In so far as such proposal or acceptance is made otherwise than in words, the promise is said to be implied.

4.5 Rules regarding Acceptance

An offer can be accepted only by the person or persons for whom the offer is intended.

Rules regarding *Acceptance:*

i. Acceptance must be absolute and unqualified
ii. Conditional Acceptance is no acceptance but a counter offer
iii. Seeking clarification regarding an offer is not a counter offer
iv. Acceptance must be expressed in some usual or reasonable manner (word of mouth, Telephone, etc.)
v. Mental acceptance or un communicated assent does not result in a contract (It must be communicated to the offeror or shown by conduct)
vi. Mode of acceptance (As requires by the offeree)
vii. Time of acceptance (As prescribes by the offeror or within reasonable time)
viii. Acceptance is completed when it is communicated
ix. Acceptance must be made while the offer is in force

4.6 Mode of Acceptance

An acceptance can be made orally, in writing or by conduct according to rules specified under clause 4.05 above. It includes:

1. The performance of the conditions of a proposal; and
2. The acceptance of consideration for a reciprocal promise.

4.7 Revocation of acceptance

An acceptance can be revoked any time before the acceptance comes to the knowledge of the proposer but not afterwards.

Example:

A makes a proposal to B. B sends a letter of acceptance to A. Subsequently B revokes his acceptance by telegram. B"s revocation is complete, as against B, when the telegram is dispatched, and as against A, when it reaches to him.

5 CONSIDERATION OF A CONTRACT

5.1 Definition

When, at the desire of the promisor, the promisee or any other person has done or abstained from doing or does or abstains from doing or promises to do or to abstain from doing, something, such act or abstinence or promise is called a **consideration** for the promise; **2(d)**

5.2 What considerations and objects are lawful (Sec. 23)

The consideration or object of an agreement is lawful, unless it is forbidden by law; or is of such a nature that, if permitted, it would defeat the provisions of any law; or is fraudulent; or involves or implies injury to the person or property of another; or the Court regards it as immoral, or opposed to public policy.

In each of these cases, the consideration or object of an agreement is said to be unlawful. Every agreement of which the object or consideration is unlawful is void.

Illustrations:

(a) A agrees to sell his house to B for 10,000 Taka. Here B's promise to pay the sum of 10,000 Taka is the consideration for As promise to sell the house, and As promise to sell the house is the consideration for Bs promise to pay the 10,000 Taka. These are lawful considerations.

(b) A promises to obtain for B an employment in the public service, and B promises to pay 1,000 Taka to A. The agreement is void, as the consideration for it is unlawful.

5.3 Agreements void, if considerations and objects unlawful in part (Sec. 24)

If any part of a single consideration for one or more objects, or any one or any part of any one of several considerations for a single object is unlawful, the agreement is void.

5.4 Agreement without consideration void, unless it is in writing and registered, or is a promise to compensate for something done, or is a promise to pay a debt barred by limitation law (Sec. 25)

An agreement made without consideration is void or "No consideration no contract"

Exceptions:

i. Natural love and affection:
   (a) The agreement is made by a written document
   (b) The document is registered
   (c) The agreement is made on account of natural love and affection
   (d) The parties are near relation to each other

i. Voluntary consideration
ii. Time Barred debt
iii. Agency
iv. Completed gift

In any of these cases, such an agreement is a contract.

Explanation 1 - Nothing in this section shall affect the validity, as between the donor and donee, of any gift actually made.

Explanation 2 - An agreement to which the consent of the promisor is freely given is not void merely because the consideration is inadequate; but the inadequacy of the consideration may be taken into account by the Court in determining the question whether the consent of the promisor was freely given.

Illustrations:

(a) A promises, for no consideration, to give to B Taka 1,000. This is a void agreement.

(b) A, for natural love and affection, promises to give his son, B, Taka 1,000. A puts his

promise to B into writing and registers it. This is a contract.

(c) A finds B's purse and gives it to him. B promises to give A Taka 50. This is a contract.

(d) A supports B's infant son. B promises to pay A's expenses in so doing. This is a contract.

The inadequacy of the consideration is a fact which the Court should take into account in considering whether or not A's consent was freely given.

5.5 Types of consideration

i. Past consideration

ii. Present consideration

iii. Future consideration

5.6 Rules of consideration

i. Desire (request) of the promisor is essential

ii. The consideration must be real

iii. Public duty is not a consideration

iv. Consideration need not be adequate (but can be checked by the court whether it was made under a free consent)

v. The consideration must not be illegal, immoral or opposed to public policy

vi. It may be past, present or future

vii. It may move from promisee or from others

5.7 Can a stranger to a contract sue?

A stranger to the contract cannot file a suit to enforce it as he is not a party to the Contract but a stranger to the contract can sue in the following situations:

Exceptions:

i. Beneficiaries of trust

ii. Provision of marriage settlement of Minor

iii. Assignee of a contract

iv. Family settlement (by any members)

v. Acknowledgement as an agent

6 CONTRACTS, VOIDABLE CONTRACTS AND VOID AGREEMENTS

6.1 Definitions

1. An agreement not enforceable by law is said to be **void; 2(g).**

   A void agreement has no legal effect. It creates no right / obligation on any person to the agreement.

2. An agreement enforceable by law is a **contract**; 2(h)

An agreement which satisfies all the essential elements of a contract, and which is enforceable through the court is called (valid) a contract.

3. An agreement which is enforceable by law at the option of one or more of the parties thereto, but not at the option of the other or others, is a **voidable contract**; 2(i)

An agreement can be avoided by some of the parties to it. Until it is avoided it is a good contract. Agreements which are done by coercion, undue influence, etc. are example of **voidable contracts.**

6.2 What agreements are contracts (Sec. 10)

All agreements are contracts if they are made by the free consent of parties competent to contract, for a lawful consideration and with a lawful object, and are not hereby expressly declared to be void.

Nothing herein contained shall affect any law in force in Bangladesh, and not hereby expressly repealed, by which any contract is required to be made in writing or in the presence of witnesses, or any law relating to the registration of documents.

6.3 Who are competent to contract (Sec. 11)

Every person is competent to contract who is of the age of majority according to the law to which he is subject, and who is of sound mind, and is not disqualified from contracting by any law to which he is subject.

Following persons are not competent to contract:

- A minor
- An unsound mind
- A disqualified person by any law

6.4 What is a sound mind for the purposes of contracting (Sec. 12)

A person is said to be of sound mind for the purpose of making a contract if, at the time when he makes it, he is capable of understanding it and of forming a rational judgment as to its effect upon his interests.

A person who is usually of unsound mind, but occasionally of sound mind, may make a contract when he is of sound mind.

A person who is usually of sound mind, but occasionally of unsound mind, may not make a contract when he is of unsound mind.

Illustrations

(a) A patient in a lunatic asylum, who is at intervals of sound mind, may contract during those intervals.

(b) A sane man, who is delirious from fever or who is so drunk that he cannot understand the terms of a contract or form a rational judgment as to its effect on his interests, cannot contract whilst such delirium or drunkenness lasts.

6.5 Void Contracts

The law has declared following contracts as void :

(i) Lack of competency of persons to the contract

(ii) Mistake of fact

(iii) Where consideration or object is unlawful partly or fully

(iv) An agreement without consideration

(v) An agreement in restraint of marriage, trade and legal proceedings

(vi) An agreement of uncertain meaning

(vii) An agreement to do any impossible act

(viii) Agreement by way of wager

6.6 Exceptions to the Rules regarding Minors Agreement

1. Minor"s liability for the necessities are valid
2. Law regarding compensation to be paid by a minor is void
3. Contract by guardian on behalf of a minor is valid
4. Order of specific performance is void against a minor
5. Minor cannot be declared insolvent
6. A minor can be admitted into a existing Partnership firm as a partner to get benefit only
7. A minor can be an agent

6.7 Voidable Contracts

A contract may be voidable-

i. In inception

ii. By subsequent default

6.8 Consent (Sec. 13)

Two or more persons are said to consent when they agree upon the same thing in the same sense.

6.9 Definition of Free Consent (Sec. 14)

Consent is said to be free when it is not caused by-

(1) coercion, as defined in section 15, or

(2) undue influence, as defined in section 16,or

(3) fraud, as defined in section 17, or

(4) misrepresentation, as defined in section 18, or

(5) mistake, subject to the provisions of sections 20, 21 and 22.

Consent is said to be so caused when it would not have been given but for the existence of such coercion, undue influence, fraud, misrepresentation or mistake.

6.10 Definition of Coercion (Sec. 15)

Coercion is the committing, or threatening to commit, any act forbidden by the Penal Code or the unlawful detaining or threatening to detain, any property, to the prejudice of any person whatever, with the intention of causing any person to enter into an agreement.

Explanation - It is immaterial whether the Penal Code is or is not in force in the place where

the coercion is employed.

Following are not **Coercion:**

-A threat to prosecute a man or to file a suit against him.

- High prices

-A threat to commit suicide

6.11 Definition of Undue influence (Sec. 16)

(1) A contract is said to be induced by "undue influence" where the relations subsisting between the parties are such that one of the parties is in a position to dominate the will of the other and uses that position to obtain an unfair advantage over the other.

(2) In particular and without prejudice to the generality of the foregoing principle, a person is deemed to be in a position to dominate the will of another-

(a) where he holds a real or apparent authority over the other or where he stands in a fiduciary relation to the other; or

(b) where he makes a contract with a person whose mental capacity is temporarily or permanently affected by reason of age, illness, or mental or bodily distress.

(3) Where a person who is in a position to dominate the will of another, enters into a contract with him, and the transaction appears, on the face of it or on the evidence adduced, to be unconscionable, the burden of proving that such contract was not induced by undue influence shall lie upon the person in a position to dominate the will of the other.

Illustrations:

(a) A, a man enfeebled by disease or age, is induced, by B's influence over him as his medical attendant, to agree to pay B an unreasonable sum for his professional services. B employs undue influence.

6.12 Definition of Fraud (Sec. 17)

"Fraud" means and includes any of the following acts committed by a party to a contract, or with his connivance, or by his agent, with intent to deceive another party thereto or his agent, or to induce him to enter into the contract:

(1) the suggestion, as a fact, of that which is not true, by one who does not believe it to be true;

(2) the active concealment of a fact by one having knowledge or belief of the fact;

(3) a promise made without any intention of performing it;

(4) any other act fitted to deceive;

(5) any such act or omission as the law specially declares to be fraudulent.

Explanation - Mere silence as to facts likely to affect the willingness of a person to enter into a contract is not fraud, unless the circumstances of the case are such that, regard being had to them, it is the duty of the person keeping silence to speak, or unless his silence is, in itself, equivalent to speech.

Illustrations:

(a) A sells, by auction, to B, a horse which A knows to be unsound. A says nothing to B about the horse's unsoundness. This is not fraud in A.

(b) B is A's daughter and has just come of age. Here, the relation between the parties would

make it A's duty to tell B if the horse is unsound.

(c) B says to A, "If you do not deny it, I shall assume that the horse is sound." A says nothing. Here, A's silence is equivalent to speech.

(d) A and B, being traders, enter upon a contract. A has private information of a change in prices which would affect B's willingness to proceed with the contract. A is not bound to inform B.

6.13 Definition of Misrepresentation (Sec. 18)

"Misrepresentation" means and includes-

(1) the positive assertion, in a manner not warranted by the information of the person making it, of that which is not true, though he believes it to be true;

(2) any breach of duty which, without an intent to deceive, gains an advantage to the person committing it, or any one claiming under him, by misleading another to his prejudice or to the prejudice of any one claiming under him;

(3) causing, however innocently, a party to an agreement to make a mistake as to the substance of the thing which is the subject of the agreement.

6.14 Voidability of agreements without free consent (Sec. 19)

When consent to an agreement is caused by coercion, fraud or misrepresentation, the agreement is a contract voidable at the option of the party whose consent was so caused.

A party to a contract, whose consent was caused by fraud or misrepresentation, may, if he thinks fit, insist that the contract shall be performed, and that he shall be put in the position in which he would have been if the representations made had been true.

Exception-1: If such consent was caused by misrepresentation or by silence, fraudulent within the meaning of section 17, the contract, nevertheless, is not voidable, if the party whose consent was so caused had the means of discovering the truth with ordinary diligence.

Explanation -2: A fraud or misrepresentation which did not cause the consent to a contract of the party on whom such fraud was practised or to whom such misrepresentation was made, does not render a contract voidable.

6.15 Power to set aside contract induced by undue influence (Sec. 19A)

When consent to an agreement is caused by undue influence, the agreement is a contract voidable at the option of the party whose consent was so caused.

Any such contract may be set aside either absolutely or, if the party who was entitled to avoid it has received any benefit thereunder, upon such terms and conditions as to the Court may seem just.

Illustrations:

(a) A's son has forged B's name to a promissory note. B, under threat of prosecuting A's son, obtains a bond from A for the amount of the forged note. If B sues on this bond, the Court may set the bond aside.

6.16 Agreement void where both parties are under mistake as to matter of fact (Sec. 20)

Where both the parties to an agreement are under a mistake as to a matter of fact essential to the agreement, the agreement is void.

Explanation - An erroneous opinion as to the value of the thing which forms the subject-

matter of the agreement is not to be deemed a mistake as to a matter of fact.

(b) A agrees to buy from B a certain horse. It turns out that the horse was dead at the time of the bargain, though neither party was aware of the fact. The agreement is void.

6.17 Effect of mistakes as to law (Sec. 21)

A contract is not voidable because it was caused by a mistake as to any law in force in Bangladesh; but a mistake as to a law not in force in Bangladesh has the same effect as a mistake of fact.

Illustration:

A and B make a contract grounded on the erroneous belief that a particular debt is barred by the Bangladesh Law of Limitation: the contract is not voidable.

Contract caused by mistake of one party as to matter of fact (Sec. *22)*

A contract is not voidable merely because it was caused by one of the parties to it being under a mistake as to a matter of fact.

6.18 Agreement in restraint of marriage void (Sec. 26)

Every agreement in restrain of the marriage of any person, other than a minor, is void.

6.19 Agreement in restraint of trade void (Sec. 27)

Every agreement by which any one is restrained from exercising a lawful profession, trade or business of any kind, is to that extent void.

Exception. One who sells the goodwill of a business may agree with the buyer to refrain from carrying on a similar business, within specified local limits, so long as the buyer, or any person deriving title to the goodwill from him, carries on a like business therein: Provided that such limits appear to the Court reasonable, regard being had to the nature of the business.

6.20 Agreements in restraint of legal proceedings void (Sec. 28)

Every agreement, by which any party thereto is restricted absolutely from enforcing his rights under or in respect of any contract, by the usual legal proceedings in the ordinary tribunals, or which limits the time within which he may thus enforce his rights, is void to that extent.

Exception 1. This section shall not render illegal a contract by which two or more persons agree that any dispute which may arise between them in respect of any subject or class of subjects shall be referred to arbitration, and that only the amount awarded in such arbitration shall be recoverable in respect of the dispute so referred.

Exception 2. Nor shall this section render illegal any contract in writing, by which two or more persons agree to refer to arbitration any question between them which has already arisen, or affect any provision of any law in force for the time being as to references to arbitration.

6.21 Agreements void for uncertainty (Sec. 29)

Agreements, the meaning of which is not certain, or capable of being made certain, are void.

Illustration:

(a) A agrees to sell to B "a hundred tons of oil". There is nothing whatever to show what kind of oil was intended. The agreement is void for uncertainty.

6.22 Agreements by way of wager void (Sec. 30)

Agreements by way of wager are void; and no suit shall be brought for recovering anything alleged to be own on any wager, or entrusted to any person to abide the result of any game or other uncertain event on which wager is made.

This section shall not be deemed to render unlawful a subscription, or contribution, or agreement to subscribe or contribute, made or entered into for or toward any plate, prize or sum of money, of the value or amount of five hundred Taka or upwards, to be awarded to the winner or winners of any horse race.

6.23 Agreements collateral to wagering agreements void (Sec. 30A)

All agreements knowingly made to further or assist the entering into, effecting or carrying out, or to secure or guarantee the performance, of any agreement void under section 30, are void.

6.24 No suit for recovery of money, commission etc., in respect of void agreements (Sec. 30B)

No suit or other proceeding shall lie for the recovery of-

(a) any sum of money paid or payable in respect of any agreement void under section 30A, or

(b) any commission, brokerage, fee, or reward in respect of knowingly effecting or carrying out, or aiding in effecting or carrying out, of any such agreement or of any sum of money otherwise claimed or claimable in respect thereof, or

(c) any sum of money knowingly paid or payable on account of any person by way of commission, brokerage, fee, reward or other claim in respect of any such agreement.

6.25 Payment by guardian, executor, etc., in respect of void agreements not to be allowed credit (Sec. 30C)

No guardian, executor, administrator, heir or personal representative of any minor or deceased person, as the case may be, shall be entitled to or allowed any credit in his account for or in respect of any payment made by him on behalf of such minor or deceased person in respect of any such agreement, or any such commission, brokerage, fee, reward or claim as is referred to in sections 30A and 30B.

6.26 Contract required to be made in writing

i. A contract without consideration for natural love

ii. Payment of time barred debt

iii. Memorandum and Articles of Association of a Company under CA., 1994

iv. Sale, mortgage, gift, lease of immoveable property

v. Creation of a trust

7 Contingent contract (Sec. 31)

7.1 Definition

A "contingent contract" is a contract to do or not to do something, if some event, collateral to such contract, does or does not happen.

Illustration:

A contracts to pay B Taka 10,000 if B's house is burnt. This is a contingent contract.

It is contract to do or not to do something if some event, collateral to such contract does or does not happen. All contracts of insurance and indemnity are contingent contract.

7.2 Enforcement of contracts contingent on an event happening (Sec. 32)

Contingent contracts to do or not to do anything if an uncertain future event happens cannot be enforced by law unless and until that event has happened.

If the event becomes impossible, such contracts become void.

Illustrations:

(a) A makes a contract with B to buy B's horse if A survives C. This contract cannot be enforced by law unless and until C dies in A's lifetime.

(b) A makes a contract with B to sell a horse to B at a specified price, if C, to whom the horse has been offered, refuses to buy him. The contract cannot be enforced by law unless and until C refuses to buy the horse.

(c) A contracts to pay B a sum of money when B marries C. C dies without being married to B. The contract becomes void.

7.3 Enforcement of contracts contingent on an event not happening (Sec. 33)

Contingent contracts to do or not to do anything if an uncertain future event does not happen can be enforced when the happening of that event becomes impossible, and not before.

Illustration:

A agrees to pay B a sum of money if a certain ship does not return. The ship is sunk. The contract can be enforced when the ship sinks.

7.04 When event on which contract is contingent to be deemed impossible, if it is the future conduct of a living person (Sec. 34)

If the future event on which a contract is contingent is the way in which a person will act at an unspecified time, the event shall be considered to become impossible when such person does anything which renders it impossible that he should so act within any definite time, or otherwise than under further contingencies.

Illustration:

A agrees to pay B a sum of money if B marries C.C marries D. The marriage of B to C must now be considered impossible, although it is possible that D may die and that C may afterwards marry B.

7.5 When contracts become void which are contingent on happening of specified event within fixed time (Sec. 35)

Contingent contracts to do or not to do anything if a specified uncertain event happens within a fixed time become void if, at the expiration of the time fixed, such event has not happened, or if, before the time fixed, such event becomes impossible.

Contingent contracts to do or not to do anything if a specified uncertain event does not happen within a fixed time may be enforced by law when the time fixed has expired and such event has not happened or, before the time fixed has expired, if it becomes certain that such event will not happen.

Illustrations:

(a) A promises to pay B a sum of money if a certain ship returns within a year. The contract may be enforced if the ship returns within the year, and becomes void if the ship is burnt within the year.

(b) A promises to pay B a sum of money if a certain ship does not return within a year. The contract may be enforced if the ship does not return within the year, or is burnt within the year.

7.6 Agreement contingent on impossible events void (Sec. 36)

Contingent agreements to do or not to do anything, if an impossible event happens, are void, whether the impossibility of the event is known or not to the parties to the agreement at the time when it is made.

Illustrations:

(a) A agrees to pay B 1,000 Taka if two straight lines should enclose a space. The agreement is void.

(b) A agrees to pay B 1,000 Taka if B will marry A's daughter C. C was dead at the time of the agreement. The agreement is void.

8 Unenforceable Agreement

An agreement which cannot be enforced in a court of law because of some technical defect. eg: want of registration, nonpayment of requisite stamp duty, etc.

9 Illegal agreement

The agreement which is against a law in force in the country. An agreement to commit murder, robbery, cheating, etc.

10 Quasi Contract

Quasi contracts are supply of necessaries to a minor and other incapable person (a lunatic). The things supplied must come within the category of necessaries as the circumstances. The price to be paid must be reasonable. The property of incapable person is liable but not personally liable.

Illustration

A, supplies foods and other necessaries to B (a minor). This is an example of a quasi-contract.

11 PERFORMANCE OF CONTRACTS

11.1 Obligation of parties to contracts (Sec. 37)

The parties to a contract must either perform, or offer to perform, their respective promises, unless such performance is dispensed with or excused under the provisions of this Act, or of any other law.

Promises bind the representatives of the promisors in case of the death of such promisors before performance, unless a contrary intention appears from the contract.

Illustrations:

(a) A promises to deliver goods to B on a certain day on payment of Taka 1,000. A dies before that day. A's representatives are bound to deliver the goods to B, and B is bound to pay the Taka 1,000 to A's representatives.

(b) A promises to paint a picture for B by a certain day, at a certain price. A dies before the day. The contract cannot be enforced either by A's representatives or by B.

11.2 Effect of refusal to accept offer of performance (Sec. 38)

Where a promisor has made an offer of performance to the promisee, and the offer has not been accepted, the promisor is not responsible for non-performance, nor does he thereby lose his rights under the contract.

Every such offer must fulfill the following conditions:-

(1) it must be unconditional

(2) it must be made at a proper time and place, and under such circumstances that the person to whom it is made may have a reasonable opportunity of ascertaining that the person by whom it is made is able and willing there and then to do the whole of what he is bound by his promise to do

(3) if the offer is an offer to deliver anything to the promisee, the promisee must have a reasonable opportunity of seeing that the thing offered is the thing which the promisor is bound by his promise to deliver.

An offer to one of several joint promisees has the same legal consequences as an offer to all of them.

Illustration:

A contracts to deliver to B at his warehouse, on the 1st March, 2019, 100 bales of cotton of a particular quality. In order to make an offer of a performance with the effect stated in this section, A must bring the cotton to B's warehouse, on the appointed day, under such circumstances that B may have a reasonable opportunity of satisfying himself that the thing offered is cotton of the quality contracted for, and that there are 100 bales.

11.3 Effect of refusal of party to perform promise wholly (Sec. 39)

When a party to a contract has refused to perform, or disabled himself from performing his promise in its entirety, the promisee may put an end to the contract, unless he has signified, by words or conduct, his acquiescence in its continuance.

Illustrations:

(a) A, a singer, enters into a contract with B, the manager of a theatre, to sing at his theater two nights in every week during the next two months, and B engages to pay her 100 Taka for each night"s performance. On the sixth night A wilfully absents herself from the theatre. B is at liberty to put an end to the contract.

(b) A, a singer, enters into a contract with B, the manager of a theatre, to sing at his theatre two nights in every week during the next two months, and B engages to pay her at the rate of 100 Taka for each night. On the sixth night A wilfully absents herself. With the assent of B, A sings on the seventh night. B has signified his acquiescence in the continuance of the contract, and cannot now put an end to it, but is entitled to compensation for the damage sustained by him through A's failure to sing on the sixth night.

11.4 Person by whom promise is to be performed (Sec. 40)

If it appears from the nature of the case that it was the intention of the parties to any contract that any promise contained in it should be performed by the promisor himself, such promise must be performed by the promisor. In other cases, the promisor or his representatives may employ a competent person to perform it.

Illustrations:

(a) A promises to pay B a sum of money. A may perform this promise, either by personally paying the money to B or by causing it to be paid to B by another; and, if A dies before the time appointed for payment, his representatives must perform the promise, or employ some proper person to do so.

(b) A promises to paint a picture for B. A must perform this promise personally.

11.5 Effect of accepting performance from third person (Sec. 41)

When a promisee accepts performance of the promise from a third person, he cannot afterwards enforce it against the promisor.

11.6 Devolution of joint liabilities (Sec. 42)

When two or more persons have made a joint promise, then, unless a contrary intention appears by the contract, all such persons during their joint lives, and after the death of any of them his representative jointly with the survivor or survivors, and after the death of the last survivor, the representatives of all jointly, must fulfill the promise.

11.7 Any one of joint promisors may be compelled to perform (Sec. 43)

When two or more persons make a joint promise, the promisee may, in the absence of express agreement to the contrary, compel any one or more of such joint promisors to perform the whole of the promise.

Each of two or more joint promisors may compel every other joint promisor to contribute equally with himself to the performance of the promise, unless a contrary intention appears from the contract.

If any one of two or more joint promisors makes default in such contribution, the remaining joint promisors must bear the loss arising from such default in equal shares.

Explanation - Nothing in this section shall prevent a surety from recovering from his principal, payments made by the surety on behalf of the principal, or entitle the principal to recover anything from the surety on account of payments made by the principal.

Illustrations:

(a) A, B and C jointly promise to pay D 3,000 Taka. D may compel either A or B or C to pay him 3,000 Taka.

(b) A, B and C jointly promise to pay D the sum of 3,000 Taka. C is compelled to pay the whole. A is insolvent, but his assets are sufficient to pay one-half of his debts. C is entitled to receive 500 Taka from A's estate, and 1,250 Taka from B.

(c) A, B and C are under a joint promise to pay D 3,000 Taka. C is unable to pay anything, and A is compelled to pay the whole. A is entitled to receive 1,500 Taka from B.

(d) A, B and C are under a joint promise to pay D 3,000 Taka, A and B being only sureties for C. C fails to pay. A and B are compelled to pay the whole sum. They are entitled to recover it from C.

11.8 Effect of release of one joint promisor (Sec. 44)

Where two or more persons have made a joint promise, a release of one of such joint promisors by the promisee does not discharge the other joint promisor or joint promisors; neither does it free the joint promisors so released from responsibility to the other joint promisor or joint promisors.

11.9 Devolution of joint rights (Sec. 45)

When a person has made a promise to two or more persons jointly, then, unless a contrary intention appears from the contract, the right to claim performance rests, as between him and them, with them during their joint lives, and, after the death of any of them, with the representative of such deceased person jointly with the survivor or survivors, and, after the death of the last survivor, with the representatives of all jointly.

Illustration:

A, in consideration of 5,000 Taka lent to him by B and C, promises B and C jointly to repay them that sum with interest on a day specified. B dies. The right to claim performance rests with B's representative jointly with C during C's life and after the death of C with the representatives of B and C jointly.

11.10 Time for performance of promise where no application is to be made and no time is specified (Sec. 46)

Where, by the contract, a promisor is to perform his promise without application by the promisee, and no time for performance is specified, the engagement must be performed within a reasonable time.

Explanation - The question "what is a reasonable time" is, in each particular case, a question of fact.

11.11 Time and place for performance of promise where time is specified and no application to be made (Sec. 47)

When promise is to be performed on a certain day, and the promisor has undertaken to perform it without application by the promisee, the promisor may perform it at any time during the usual hours of business on such day and at the place at which the promise ought to be performed.

Illustration:

A promises to deliver goods at B's warehouse on the first January. On that day A brings the goods to B's warehouse, but after the usual hour for closing it, and they are not received. A has not performed his promise.

11.12 Application for performance on certain day to be at proper time and place (Sec. 48)

When a promise is to be performed on a certain day, and the promisor has not undertaken to perform it without application by the promisee, it is the duty of the promisee to apply for performance at a proper place and within the usual hours of business.

Explanation - The question "what is a proper time and place" is, in each particular case, a question of fact.

11.13 Place for performance of promise were no application to be made and no place fixed for performance (Sec. 49)

When a promise is to be performed without application by the promisee, and no place is fixed for the performance of it, it is the duty of the promisor to apply to the promisee to appoint a reasonable place for the performance of the promise, and to perform it at such place.

Illustration:

A undertakes to deliver a thousand maunds of jute to B on a fixed day. A must apply to B to appoint a reasonable place for the purpose of receiving it, and must deliver it to him at such place.

11.14 Performance in manner or at time prescribed or sanctioned by promise (Sec. 50)

The performance of any promise may be made in any manner, or at any time which the promisee prescribes or sanctions.

11.15 Promisor not bound to perform, unless reciprocal promisee ready and willing to perform

When a contract consists of reciprocal promises to be simultaneously performed, no promisor need perform his promise unless the promisee is ready and willing to perform his reciprocal promise.

Illustrations:

(a) A and B contract that A shall deliver goods to B to be paid for by B on delivery. A need not deliver the goods, unless B is ready and willing to pay for the goods on delivery. B need not pay for the goods, unless A is ready and willing to deliver them on payment.

(b) A and B contract that A shall deliver goods to B at a price to be paid by installments, the first installment to be paid on delivery. A need not deliver, unless B is ready and willing to pay the first installment on delivery.

B need not pay the first installment, unless A is ready and willing to deliver the goods on payment of the first installment.

11.16 Order of performance of reciprocal promises (Sec. 52)

Where the order in which reciprocal promises are to be performed is expressly fixed by the contract, they shall be performed in that order; and, where the order is not expressly fixed by the contract, they shall be performed in that order which the nature of the transaction requires.

Illustrations:

(a) A and B contract that A shall build a house for B at a fixed price. A's promise to build the house must be performed before B's promise to pay for it.

(b) A and B contract that A shall make over his stock-in-trade to B at a fixed price, and B promises to give security for the payment of the money. A's promise need not be performed until the security is given, for the nature of the transaction requires that A should have security before he delivers up his stock.

11.17 Liability of party preventing event on which the contract is to take effect (Sec. 53)

When a contract contains reciprocal promises, and one party to the contract prevents the other from performing his promise, the contract becomes voidable at the option of the party so prevented; and he is entitled to compensation from the other party for any loss which he may sustain in consequence of the non-performance of the contract.

Illustration:

A and B contract that B shall execute certain work for A for a thousand Taka. B is ready and willing to execute the work accordingly, but A prevents him from doing so. The contract is voidable at the option of B; and, if he elects to rescind it, he is entitled to recover from A compensation for any loss which he has incurred by its non-performance.

11.18 Effect of default as to that promise which should be first performed, in contract consisting of reciprocal promises (Sec. 54)

When a contract consists of reciprocal promises, such that one of them cannot be performed, or that its performance cannot be claimed till the other has been performed, and the promisor of the promise last mentioned fails to perform it, such promisor cannot claim the performance of the reciprocal promise, and must make compensation to the other party to the contract for any loss which such other party may sustain by the non- performance of the contract.

Illustrations:

(a) A hires B's ship to take in and convey, from Chittagong to the Mauritius, a cargo to be provided by A, B receiving a certain freight for its conveyance. A does not provide any cargo for the ship. A cannot claim the performance of B's promise, and must make compensation to B for the loss which B sustains by the non- performance of the contract.

(b) A contracts with B to execute certain builder's work for a fixed price, B supplying the scaffolding and timber necessary for the work. B refuses to furnish any scaffolding or timber, and the work cannot be executed. A need not execute the work, and B is bound to make compensation to A for any loss caused to him by the non-performance of the contract.

(c) A contracts with B to deliver to him, at a specified price, certain merchandise on board a ship which cannot arrive for a month, and B engages to pay for the merchandise within a week from the date of the contract. B does not pay within the week. A's promise to deliver need not be performed, and B must make compensation.

(d) A promises B to sell him one hundred bales of merchandise, to be delivered next day, and B promises A to pay for them within a month. A does not deliver according to his promise. B's promise to pay need not be performed, and A must make compensation.

11.19 Effect of failure to perform at fixed time, in contract in which time is essential (Sec. 55)

When a party to a contract promises to do a certain thing at or before a specified time, or certain things at or before a specified time, and fails to do any such thing at or before the specified time, the contract, or so much of it as has not been performed, becomes voidable at the option of the promisee, if the intention of the parties was that time should be of the essence of the contract.

Effect of such failure when time is not *essential*

If it was not the intention of the parties that time should be of the essence of the contract, the contract does not become voidable by the failure to do such thing at or before the

specified time; but the promisee is entitled to compensation from the promisor for any loss occasioned to him by such failure.

Effect of acceptance of performance at time other than that agreed *upon*

If, in case of a contract voidable on account of the promisor's failure to perform his promise at the time agreed, the promisee accepts performance of such promise at any time other than that agreed, the promisee cannot claim compensation for any loss occasioned by the non-performance of the promise at the time agreed, unless, at the time of such acceptance he gives notice to the promisor of his intention to do so.

12 Termination of contracts

When the obligation to a contract come to an end, the contract is said to be terminated/ discharged

12.1 Methods of termination

i. By performance
ii. By mutual consent canceling the agreement or novation
iii. By Supervening impossibility
iv. By operation of law-Death, insolvency, merger
v. By lapse of time- limitation
vi. By material alteration without consent of other parties
vii. By Breach of contract

12.2 Subsequent or supervening impossibility: (Sec-56)

i. Destruction of an object
ii. Change of law
iii. Failure of Pre-condition
iv. Death or incapacity for personal service
v. Outbreak of war

12.3 Exception: These are not supervening impossibility

i. Difficulty of performance
ii. Commercial impossibility
iii. Strikes, lock out, riots etc
iv. Failure of one of the object

12.4 Effect of supervening impossibility

i. The Contract becomes Void
ii. Payback the benefit received

12.5 Doctrine of frustration

When the common object of a contract can no longer be carried out, the court may declare the contract to be at an end. This is known as doctrine of frustration.

12.6 Agreement to do impossible act (Sec. 56)

An agreement to do an act impossible in itself is void.

Contract to do act afterwards becoming impossible or *unlawful*

A contract to do an act which, after the contract is made, becomes impossible, or, by reason of some event which the promissor could not prevent, unlawful, becomes void when the act becomes impossible or unlawful.

Compensation for loss through non-performance of act known to be impossible or *unlawful*

Where one person has promised to do something which he knew, or, with reasonable diligence, might have known, and which the promisee did not know to be impossible or unlawful, such promisor must make compensation to such promisee for any loss which such promisee sustains through the non-performance of the promise.

Illustrations:

(a) A agrees with B to discover treasure by magic. The agreement is void.

(b) A and B contract to marry each other. Before the time fixed for the marriage, A goes mad. The contract becomes void.

(d) A contracts to take in cargo for B at a foreign port. A's Government afterwards declares war against the country in which the port is situated. The contract becomes void when war is declared.

(e) A contracts to act at a theatre for six months in consideration of a sum, paid in advance by B. On several occasions A is too ill to act. The contract to act on those occasions becomes void.

12.7 Reciprocal promise to do things legal, and also other things illegal (Sec. 57)

Where persons reciprocally promise, firstly, to do certain things which are legal, and, secondly, under specified circumstances, to do certain other things which are illegal, the first set of promises is a contract, but the second is a void agreement.

Illustration:

A and B agree that A shall sell B a house for 10,000 Taka but that, if B uses it as a gambling house, he shall pay A 50,000 Taka for it.

The first set of reciprocal promises, namely, to sell the house and to pay 10,000 Taka for it, is a contract.

The second set is for an unlawful object, namely, that B may use the house as a gambling house, and is a void agreement.

12.8 Alternative promise, one branch being illegal (Sec. 58)

In the case of an alternative promise, one branch of which is legal and the other illegal, the legal branch alone can be enforced.

Illustration:

A and B agree that A shall pay B 1,000 Taka for which B shall afterwards deliver to A either rice or smuggled opium.

This is a valid contract to deliver rice, and a void agreement as to the opium.

12.9 Application of payment, where debt to be discharged is indicated (Sec. 59)

Where a debtor, owing several distinct debts to one person, makes a payment to him, either with express intimation, or under circumstances implying that the payment is to be applied to the discharge of some particular debt, the payment, if accepted, must be applied accordingly.

Illustrations:

(a) A owes B, among other debts, 1,000 Taka upon a promissory note which falls due on the first June. He owes B no other debt of that amount. On the first June A pays to B 1,000 Taka. The payment is to be applied to the discharge of the promissory note.

(b) A owes to B, among other debts the sum of 567 Taka. B writes to A and demands payment of this sum. A sends to B 567 Taka. This payment is to be applied to the discharge of the debt of which B had demanded payment.

12.10 Application of payment, where debt to be discharged is not indicated (Sec. 60)

Where the debtor has omitted to intimate and there are no other circumstances indicating to which debt the payment is to be applied, the creditor may apply it at his discretion to any lawful debt actually due and payable to him from the debtor, whether its recovery is or is not barred by the law in force for the time being as to the limitation of suits.

12.11 Application of payment where neither party appropriates (Sec. 61)

Where neither party makes any appropriation the payment shall be applied in discharge of the debts in order of time, whether they are or are not barred by the law in force for the time being as to the limitation of suits. If the debts are of equal standing, the payment shall be applied in discharge of each proportionally.

13 Contract need not to be performed

Effect of novation, rescission and alteration of contract (Sec. 62)

13.1 Novation: If the parties to a contract agree to substitute a new contract for it, or to rescind or alter it, the original contract need not be performed.

13.2 Recession: A contract can be rescinded by mutual agreement between the parties.

13.3 Alteration: Alteration occurs where the whole of the old contract is not substituted but particular terms of the contract are altered.

13.4 Remission: A contract may be discharged in law if one of the parties extends the time of performance or dispense wholly or in part with the performance of promise made to him.

Illustrations:

(a) A owes money to B under a contract. It is agreed between A, B and C that B shall thenceforth accept C as his debtor, instead of A. The old debt of A to B is at an end, and a new debt from C to B has been contracted.

(b) A owes B 10,000 Taka. A enters into an arrangement with B, and gives B a mortgage of his (A's) estate for 5,000 Taka, in place of the debt of 10,000 Taka. This is a new contract and extinguishes the old.

13.5 Promisee may dispense with or remit performance of promise (Sec. 63)

Every promisee may dispense with or remit, wholly or in part, the performance of the promise made to him or may extend the time for such performance, or may accept instead of it any satisfaction which he thinks fit.

Illustrations:

(a) A promises to paint a picture for B. B afterwards forbids him to do so. A is no longer bound to perform the promise.

(b) A owes B 5,000 Taka. A pays to B, and B accepts, in satisfaction of the whole debt, 2,000 Taka paid at the time and place at which the 5,000 Taka were payable. The whole debt is discharged.

(c) A owes B 5,000 Taka. C pays to B 1,000 Taka, and B accepts them, in satisfaction of his claim on A. This payment is a discharge of the whole claim.

(d) A owes B, under a contract, a sum of money, the amount of which has not been ascertained. A, without ascertaining the amount, gives to B, and B, in satisfaction thereof, accepts, the sum of 2,000 Taka. This is a discharge of the whole debt, whatever may be its amount.

(e) A owes B 2,000 Taka and is also indebted to other creditors. A makes an arrangement with his creditors, including B, to pay them a composition of eight annas in the Taka upon their respective demands. Payment to be of 1,000 Taka is a discharge of B's demand.

13.6 Consequences of rescission of voidable contract (Sec. 64)

When a person at whose option a contract is voidable rescinds it, the other party thereto need not perform any promise therein contained in which he is promisor. The party rescinding a voidable contract shall, if he have received any benefit thereunder from another party to such contract, restore such benefit, so far as may be, to the person from whom it was received.

13.7 Obligation of person who has received advantage under void agreement or contract that becomes void (Sec. 65)

When an agreement is discovered to be void, or when a contact becomes void, any person who has received any advantage under such agreement or contract is bound to restore it, or to make compensation for it to the person from whom he received it.

Illustrations:

(a) A pays B 1,000 Taka in consideration of B's promising to marry C, A's daughter. C is dead at the time of promise. The agreement is void, but B must repay A the 1,000 Taka.

(b) A contracts with B to deliver to him 250 maunds of rice before the first of May. A delivers 130 maunds only before that day, and none after. B retains the 130 maunds after the first of May. He is bound to pay A for them.

13.8 Mode of communicating or revoking rescission of voidable contract (Sec. 66)

The rescission of a voidable contract may be communicated or revoked in the same manner, and subject to the same rules, as apply to the communication or revocation of a proposal.

13.9 Effect of neglect of promisee to afford promisor reasonable facilities for performance (Sec. 67)

If any promisee neglects or refuses to afford the promisor reasonable facilities for the performance of his promise, the promisor is excused by such neglect or refusal as to any non-performance caused thereby.

Illustration:

A contracts with B to repair B's house.B neglects or refuses to point out to A the places in which his house requires repair. A is excused for the non-performance of the contract if it is caused by such neglect or refusal.

13.10 Claim for necessaries supplied to person incapable of contracting or on his account (Sec. 68)

If a person, incapable of entering into a contract, or any one whom he is legally bound to support, is supplied by another person with necessaries suited to his condition in life, the person who has furnished such supplies is entitled to be reimbursed from the property of such incapable person.

Illustrations:

(a) A supplies B, a lunatic, with necessaries suitable to his condition in life. A is entitled to be reimbursed from B's property.

(b) A supplies the wife and children of B, a lunatic, with necessaries suitable to their condition in life. A is entitled to be reimbursed from B's property.

13.11 Reimbursement of person paying money due by another in payment of which he is interested (Sec. 69)

A person who is interested in the payment of money which another is bound by law to pay, and who therefore pays it, is entitled to be reimbursed by the other.

13.12 Obligation of person enjoying benefit of non- gratuitous act (Sec. 70)

Where a person lawfully does anything for another person, or delivers anything to him, not intending to do so gratuitously, and such other person enjoys the benefit thereof, the latter is bound to make compensation to the former in respect of, or to restore, the thing so done or delivered.

Illustrations:

(a) A, a tradesman, leaves goods at B's house by mistake. B treats the goods as his own. He is bound to pay A for them.

(b) A saves B's property from fire. A is not entitled to compensation from B, if the circumstances show that he intended to act gratuitously.

14 Responsibility of finder of goods (Sec. 71)

A person who finds goods belonging to another and takes them into his custody, is subject to the same responsibility as a bailee. Detailed discussed in the bailment chapter.

14.1 Liability of person to whom money is paid or thing delivered by mistake or under coercion (Sec. 72)

A person to whom money has been paid or anything delivered by mistake or under coercion, must repay or return it.

Illustrations:

(a) A and B jointly owe 100 Taka to C. A alone pays the amount to C, and B, not knowing this fact, pays 100 Taka over again to C. C is bound to repay the amount to B.

(b) A railway company refuses to deliver up certain goods to the consignee, except upon the payment of an illegal charge for carriage. The consignee pays the sum charged in order to obtain the goods. He is entitled to recover so much of the charge as was illegally excessive.

15 Termination by Breach of Contracts

When a contract is broken by one party, another party or parties are freed from the obligation of performing the contract. They can also take remedial measures to which they are entitled.

15.1 Remedies of breach of a contract

The aggrieved person has the following remedies:

i. Rescission of the contract

ii. Suit for damages

iii. Suit upon quantum merit- Order for Payment proportionately up the work done or performed.

iv. Specific performance-is the performance of contract which the court has power to decree

v. Injunction- Is an order of court restraining a person from doing something which would constitute breach of contract

15.2 Compensation for loss or damage caused by breach of contract (Sec. 73)

When a contract has been broken, the party who suffers by such breach is entitled to receive, from the party who has broken the contract, compensation for any loss or damage caused to him thereby, which naturally arose in the usual course of things from such breach, or which the parties knew, when they made the contract, to be likely to result from the breach of it.

Such compensation is not to be given for any remote and indirect loss or damage sustained by reason of the breach.

15.3 Compensation for failure to discharge obligation resembling those created by contract

When an obligation resembling those created by contract has been incurred and has not been discharged, any person injured by the failure to discharge it is entitled to receive the same compensation from the party in default, as if such person had contracted to discharge it and had broken his contract.

Explanation – In estimating the loss or damage arising from a breach of contract, the means which existed of remedying the inconvenience caused by the non-performance of the contract must be taken into account.

15.4 Compensation for breach of contract where penalty stipulated for (Sec. 74)

When a contract has been broken, if a sum is named in the contract as the amount to be paid in case of such breach, or if the contract contains any other stipulation by way of penalty, the party complaining of the breach is entitled, whether or not actual damage or loss is proved to have been caused thereby, to receive from the party who has broken the contract reasonable compensation not exceeding the amount so named or, as the case may be, the penalty stipulated for.

Explanation - A stipulation for increased interest from the date of default may be stipulation by way of penalty.

15.5 Party rightfully rescinding contract entitled to compensation (Sec. 75)

A person who rightly rescinds a contract is entitled to compensation for any damage which he has sustained through the non-fulfillment of the contract.

16 Types of Damages

i. Nominal/contemptuous damages- Where there is no appreciable loss due to breach of contract

ii. Compensatory damages-Compensate or make up the loss suffered by the party.

iii. Special damages-The court may allow remote damages.

iv. Exemplary/Punitive damages-The court may allow damages exceeding the actual loss suffered by way of punishment.

v. Liquidated damage- The payment of damages as mentioned in the contract.

17 Agency

17.1 Definition "Agent" and "principal" defined (Sec. 182)

An "agent" is a person employed to do any act for another or to represent another in dealings with third persons. The person for whom such act is done, or who is so represented, is called the "principal".

Illustration:

X appoints Y to buy rice on his behalf. X is the principal and Y is the agent. Agreement between the two is called agency.

A dealer, who purchased petrol from a company and sold the petrol on commission, is not an agent.

17.2 Who may employ agent (Sec. 183)

Any person who is of the age of majority according to the law to which he is subject, and who is of sound mind, may employ an agent.

17.3 Who may be an agent (Sec. 184)

As between the principal and third persons any person may become an agent, but no person who is not of the age of majority and of sound mind can become an agent, so as to be responsible to his principal according to the provisions in that behalf herein contained.

17.4 Methods of Creating Agency:

i. Agency by expressed Agreement
ii. Agency by implied agreement
    (a) Agency by estopel or by holding out
        1. more authority applied that the actual authority given
        2. after the agency is ceased
    (b) Agency of necessity
        1. Impossible to get principal's instruction
        2. There must be an actual necessity for acting on his behalf
        3. Honesty in the interest of parties concerned
iii. Agency by ratification

17.5 Consideration not necessary (Sec. 185-187)

No consideration is necessary to create an agency. Agent's authority may be expressed or implied

The authority of an agent may be expressed or implied. Definitions of express and implied authority

An authority is said to be express when it is given by words spoken or written. An authority is said to be implied when it is to be inferred from the circumstances of the case; and things spoken or written, or the ordinary course of dealing, may be accounted circumstances of the case.

Illustration:

A owns a shop in Mymensingh, living himself in Dhaka, and visiting the shop occasionally. The shop is managed by B, and he is in the habit of ordering goods from C in the name of A for the purposes of the shop, and of paying for them out of A's funds with A's knowledge. B has an implied authority from A to order goods from C In the name of A for the purposes of the shop.

18 Extent of agent's authority (Sec.188)

An agent having an authority to do an act has authority to do every lawful thing which is necessary in order to do such act.

An agent having an authority to carry on a business has authority to do every lawful thing necessary for the purpose, or usually done in the course of conducting such business.

Illustrations:

(a) A constitutes B his agent to carry on his business of a ship-builder. B may purchase timber and other materials, and hire workmen, for the purposes of carrying on the business.

18.1 Agent's authority in an emergency (Sec. 189)

An agent has authority, in an emergency; to do all such acts for the purpose of protecting his principal from loss as would be done by a person of ordinary prudence, in his own case, under similar circumstances.

Illustrations:

(a) An agent for sale may have goods repaired if it be necessary.

(b) A consigns provisions to B at Chittagong, with directions to send them immediately to C at Dhaka. B may sell the provisions at Chittagong, if they will not bear the journey to Dhaka without spoiling.

18.2 When agent cannot delegate (Sec. 190)

An agent cannot lawfully employ another to perform acts which he has expressly or impliedly undertaken to perform personally, unless by the ordinary custom of trade a sub-agent may, or, from the nature of the agency, a sub-agent must, be employed.

18.3 "Sub-agent" defined (Sec.191)

A "sub-agent" is a person employed by, and acting under the control of, the original agent in the business of the agency.

18.4 Representation of principal by sub-agent properly appointed (Sec.192)

Where a sub-agent is properly appointed, the principal is, so far as regards third persons, represented by the sub-agent, and is bound by and responsible for his acts, as if he were an agent originally appointed by the principal.

18.5 The sub-agent is responsible for his acts to the agent, but not to the principal, except in case of fraud or willful wrong. (Sec.193)

Where an agent, without having authority to do so, has appointed a person to act as a sub-agent, the agent stands towards such person in the relation of a principal to an agent, and

is responsible for his acts both to the principal and to third persons; the principal is not represented by or responsible for the acts of the person so employed, nor is that person responsible to the principal.

18.6 Relation between principal and person duly appointed by agent to act in business of agency (Sec.194)

Where an agent, holding an express or implied authority to name another person to act for the principal in the business of the agency, has named another person accordingly, such person is not a sub-agent, but an agent of the principal for such part of the business of the agency as is entrusted to him.

Illustrations:

(a) A directs B, his solicitor, to sell his estate by auction, and to employ an auctioneer for the purpose. B names C, an auctioneer, to conduct the sale. C is not a sub- agent, but is A's agent for the conduct of the sale.

(b) A authorizes B, a merchant in Chittagong, to recover the moneys due to A from C & Co. B instructs D, a solicitor, to take legal proceedings against C & Co. for the recovery of the money. D is not a sub-agent, but is solicitor for A.

18.7 Right of person as to acts done for him without his authority. Effect of ratification. (Sec.196)

Where acts are done by one person on behalf of another, but without his knowledge or authority, he may elect to ratify or to disown such acts. If he ratify them, the same effects will follow as if they had been performed by his authority.

18.8 Ratification may be expressed or implied (Sec.197)

Ratification may be expressed or may be implied in the conduct of the person on whose behalf the acts are done.

Illustrations:

(a) A, without authority, buys goods for B. Afterwards B sells them to C on his own account; B's conduct implies a ratification of the purchase made for him by A.

(b) A, without B's authority, lends B's money to C. Afterwards B accepts interest on the money from C. B's conduct implies a ratification of the loan.

18.9 Knowledge requisite for valid ratification, Effect of ratifying unauthorized act forming part of a transaction, etc. (198-200)

No valid ratification can be made by a person whose knowledge of the facts of the case is materially defective.

A person ratifying any unauthorized act done on his behalf ratifies the whole of the transaction of which such act formed a part.

An act done by one person on behalf of another, without such other person's authority, which, if done with authority, would have the effect of subjecting a third person to damages, or of terminating any right or interest of a third person, cannot, by ratification, be made to have such effect.

Illustrations:

(a) A, not being authorized thereto by B, demands, on behalf of B, the delivery of a chattle, the property of B, from C, who is in possession of it. This demand cannot be ratified by B, so as to make C liable for damages for his refusal to deliver.

(b) A holds a lease from B, terminable on three months' notice. C, an unauthorized person, gives notice of termination to A. The notice cannot be ratified by B, so as to be binding on A.

19 Termination of agency (Sec. 201)

An agency is terminated by the principal revoking his authority; or by the agent renouncing the business of the agency; or by the business of the agency being completed; or by either the principal or agent dying or becoming of unsound mind; or by the principal being adjudicated an insolvent under the provisions of any Act for the time being in force for the relief of insolvent debtors.

19.1 So, agency may be terminated as under:

i. Revocation of authority by principal

ii. Business of the company being completed

iii. By agent renouncing the agency

iv. By death or insanity of the Agent or principal

v. Bankruptcy of the principal

19.2 Termination of agency where agent has an interest in subject-matter (Sec. 202)

Where the agent has himself an interest in the property which forms the subject-matter of the agency, the agency cannot, in the absence of an express contract, be terminated to the prejudice of such interest.

Illustrations:

(a) A gives authority to B to sell A's land, and to pay himself, out of the proceeds, the debts due to him from A. A cannot revoke this authority nor can it be terminated by his insanity or death.

(b) A consigns 1,000 bales of cotton to B, who has made advances to him on such cotton, and desires B to sell the cotton, and to repay himself, out of the price, the amount of his own advances. A cannot revoke this authority, nor is it terminated by his insanity or death.

19.3 When principal may revoke agent's authority (Sec. 203)

The principal may, save as is otherwise provided by the last preceding section, revoke the authority given to his agent at any time before the authority has been exercised so as to bind the principal.

19.4 Revocation where authority has been partly exercised (Sec. 204)

The principal cannot revoke the authority given to his agent after the authority has been partly exercised so far as regards such acts and obligations as arise from acts already done in the agency.

Illustrations:

(a) A authorizes B to buy 1,000 bales of cotton on account of A, and to pay for it out of

A's money remaining in B's hands. B buys 1,000 bales of cotton in his own name, so as to make himself personally liable for the price. A cannot revoke B's authority so far as regards payment for the cotton.

(b) A authorizes B to buy 1,000 bales of cotton on account of A, and to pay for it out of A's money remaining in B's hands. B buys 1,000 bales of cotton in A's name and so as not to render himself personally liable for the price. A can revoke B's authority to pay for the cotton.

19.5 Compensation for revocation by principal or renunciation by agent (Sec. 205-207)

Where there is an express or implied contract that the agency should be continued for any period of time, the principal must make compensation to the agent, or the agent to the principal, as the case may be, for any previous revocation or renunciation of the agency without sufficient cause.

19.6 Notice of revocation or renunciation

Reasonable notice must be given of such revocation or renunciation; otherwise the damage thereby resulting to the principal or the agent, as the case may be, must be made good to the one by the other.

19.7 Revocation and renunciation may be expressed or implied

Revocation and renunciation may be expressed or may be implied in the conduct of the principal or agent respectively.

Illustration:

A empowers B to let A's house. Afterwards A lets it himself. This is an implied revocation of B's authority.

19.8 When termination of agent's authority takes effect as to agent, and as to third persons (Sec. 208)

The termination of the authority of an agent does not, so far as regards the agent, take effect before it becomes known to him, or, so far as regards third persons, before it becomes known to them.

19.9 Agent's duty on termination of agency by principal's death or insanity (Sec. 209)

When an agency is terminated by the principal dying or becoming of unsound mind, the agent is bound to take, on behalf of the representatives of his late principal, all reasonable steps for the protection and preservation of the interests entrusted to him.

19.10 Termination of sub-agent's authority (Sec. 210)

The termination of the authority of an agent causes the termination (subject to the rules herein contained regarding the termination of an agent's authority) of the authority of all sub-agents appointed by him.

20 Agent's duty to principal

i. Agent's duty in conducting principal's business
ii. Skill and diligence required from agent
iii. Agent's duty to render accounts
iv. Agent's duty to communicate to principal
v. Agent not to deal on his own account
vi. Principal to get benefit of agent's dealings
vii. Agent's duty to pay sums received for principal
viii. Principal's death or insanity

20.1 Agent's duty in conducting principal's business (Sec. 211)

An agent is bound to conduct the business of his principal according to the directions given by the principal, or, in the absence of any such directions, according to the custom which prevails in doing business of the same kind at the place where the agent conducts such business. When the agent acts otherwise, if any loss be sustained, he must make it good to his principal, and, if any profit accrues, he must account for it.

Illustrations:

(a) A, an agent engaged in carrying on for B a business, in which it is the custom to invest from time to time, at interest, the moneys which may be in hand, omits to make such investment. A must make good to B the interest usually obtained by such investments.

(b) B, a broker, in whose business it is not the custom to sell on credit, sells goods of A on credit to C, whose credit at the time was very high. C, before payment, becomes insolvent. B must make good the loss to A.

20.2 Skill and diligence required from agent (Sec. 212)

An agent is bound to conduct the business of the agency with as much skill as is generally possessed by persons engaged in similar business, unless the principal has notice of his want of skill. The agent is always bound to act with reasonable diligence, and to use such skill as he possesses; and to make compensation to his principal in respect of the direct consequences of his own neglect, want of skill or misconduct, but not in respect of loss or damage which are indirectly or remotely caused by such neglect, want of skill or misconduct.

20.3 Agent's accounts, Agent's duty to communicate with principal (Sec. 213-214)

An agent is bound to render proper accounts to his principal on demand.

It is the duty of an agent, in cases of difficulty, to use all reasonable diligence in communicating with his principal, and in seeking to obtain his instructions.

21 Right of principal when agent deals, on his own account, in business of agency without principal's consent (Sec. 215)

If an agent deals on his own account in the business of the agency, without first obtaining the consent of his principal and acquainting him with all material circumstances which have come to his own knowledge on the subject, the principal may repudiate the transaction, if

the case shows either that any material fact has been dishonestly concealed from him by the agent, or that the dealings of the agent have been disadvantageous to him.

Illustrations:

(a) A directs B to sell A's estate. B buys the estate for himself in the name of C. A, on discovering that B has bought the estate for himself, may repudiate the sale, if he can show that B has dishonestly concealed any material fact, or that the sale has been disadvantageous to him.

(b) A directs B to sell A's estate. B, on looking over the estate before selling it, finds a mine on the estate which is unknown to A. B informs A that he wishes to buy the estate for himself, but conceals the discovery of the mine. A allows B to buy in ignorance of the existence of the mine. A, on discovering that B knew of the mine at the time he bought the estate, may either repudiate or adopt the sale at his option.

21.1 Principal's right to benefit gained by agent dealing on his own account in business of agency (Sec. 216)

If an agent, without the knowledge of his principal, deals in the business of the agency on his own account instead of on account of his principal, the principal is entitled to claim from the agent any benefit which may have resulted to him from the transaction.

21.2 Agent's right of retainer out of sums received on principal's account (Sec. 217)

An agent may retain, out of any sums received on account of the principal in the business of the agency, all moneys due to himself in respect of advances made or expenses properly incurred by him in conducting such business, and also such remuneration as may be payable to him for acting as agent.

21.3 Agent not entitled to remuneration for business mis-conducted (Sec. 220)

An agent who is guilty of misconduct in the business of the agency is not entitled to any remuneration in respect of that part of the business which he has misconducted.

Illustrations:

(a) A employs B to recover 100,000 Taka from C, and to lay it out on good security. B recovers the 100,000 Taka and lays out 90,000 Taka on good security, but lays out 10,000 Taka on security which he ought to have known to be bad, whereby A loses 2,000 Taka. B is entitled to remuneration for recovering the 100,000 Taka and for investing the 90,000 Taka. He is not entitled to any remuneration for investing the 10,000 Taka, and he must make good the 2,000 Taka to B.

(b) A employs B to recover 1,000 Taka from C. Through B's misconduct the money is not recovered. B is entitled to no remuneration for his services, and must make good the loss.

21.4 Agent's lien on principal's property (Section 221)

In the absence of any contract to the contrary, an agent is entitled to retain goods, papers and other property, whether moveable or immoveable, of the principal received by him, until the amount due to himself for commission, disbursements and services in respect of the same has been paid or accounted for to him.

22 Principal's Duty to Agent (Sec. 222-225)

The employer of an agent is bound to indemnify him against the consequences of all lawful acts done by such agent in exercise of the authority conferred upon him.

Principal's duty to an agent:

i. Remuneration
ii. Lien
iii. Indemnification
iv. Compensation

Illustrations:

(a) B, at Singapur, under instructions from A of Chittagong, contracts with C to deliver certain goods to him. A does not send the goods to B, and C sues B for breach of contract. B informs A of the suit, and A authorizes him to defend the suit. B defends the suit, and is compelled to pay damages and costs, and incurs expenses. A is liable to B for such damages, costs and expenses.

(b) B, a broker at Chittagong, by the orders of A, a merchant there contracts with C for the purchases of 10 casks of oil for A. Afterwards A refuses to receive the oil, and C sues B. B informs A, who repudiates the contract altogether. B defends, but unsuccessfully, and has to pay damages and costs and incurs expenses. A is liable to B for such damages, costs and expenses.

22.1 Agent to be indemnified against consequences of acts done in good faith

Where one person employs another to do an act, and the agent does the act in good faith, the employer is liable to indemnify the agent against the consequences of that act, though it cause an injury to the rights of third persons.

Illustrations:

(a) A, a decree-holder and entitled to execution of B's goods, requires the officer of the Court to seize certain goods, representing them to be the goods of B. The officer seizes the goods, and is sued by C, the true owner of the goods. A is liable to indemnify the officer for the sum which he is compelled to pay to C, in consequence of obeying A's directions.

(b) B, at the request of A, sells goods in the possession of A, but which A had no right to dispose of. B does not know this, and hands over the proceeds of the sale to A. Afterwards C, the true owner of the goods, sues B and recovers the value of the goods and costs. A is liable to indemnify B for what he has been compelled to pay to C and for B's own expenses.

22.2 Compensation to agent for injury caused by principal's neglect

The principal must make compensation to his agent in respect of injury caused to such agent by the principal's neglect or want of skill.

22.3 Principal how far bound, when agent exceeds authority (Sec. 227)

When an agent does more than he is authorized to do, and when the part of what he does, which is within his authority, can be separated from the part which is beyond his authority, so much only of what he does as is within his authority is binding as between him and his principal.

22.4 Principal not bound when excess of agent's authority is not separable

Where an agent does more than he is authorized to do, and what does beyond the scope of his authority cannot be separated from what is within it, the principal is not bound to recognize the transaction.

22.5 Rights of parties to a contract made by agent not disclosed (Sec. 231)

If an agent makes a contract with a person who neither knows, nor has reason to suspect, that he is an agent, his principal may require the performance of the contract; but the other contracting party has, as against the principal, the same rights as he would have had as against the agent if the agent had been principal.If the principal discloses himself before the contract is completed, the other contracting party may refuse to fulfil the contract, if he can show that, if he had known who was the principal in the contract, or if he had known that the agent was not a principal, he would not have entered into the contract.

Effect, on agreement, of misrepresentation or fraud by agent (Sec. 238)

Misrepresentations made, or frauds committed, by agents acting in the course of their business for their principals, have the same effect on agreements made by such agents as if such misrepresentations or frauds had been made or committed by the principals; but misrepresentations made, or frauds committed, by agents, in matters which do not fall within their authority, do not affect their principals.

Illustrations:

(a) A, being B's agent for the sale of goods, induces C to buy them by a misrepresentation, which he was not authorized by B to make. The contract is voidable, as between B and C, at the option of C.

(b) A, the captain of B's ship, signs bills of lading without having received on board the goods mentioned therein. The bills of lading are void as between B and the pretended consignor.

Part B : The Sale of Goods Act, 1930

23 DEFINITIONS

(1) **"buyer"** means a person who buys or agrees to buy goods.

(2) **"delivery"** means voluntary transfer of possession from one person to another.

(3) goods are said to be in a **"deliverable state"** when they are in such state that the buyer would under the contract be bound to take delivery of them.

(4) **"document of title to goods"** includes a bill of lading dock-warrant, warehouse keeper's certificate, wharfingers' certificate, railway receipt. warrant or order for the delivery of goods and any other document used in the ordinary course of business as proof of the possession or control of goods, or authorizing or purporting to authorize, either by endorsement or by delivery, the possessor of the document to transfer or receive goods thereby represented.

(5) **"fault"** means wrongful act or default.

(6) **"future goods"** means goods to be manufactured or produced or acquired by the seller after the making of the contract of sale.

(7) **"goods"** means every kind of moveable property other than actionable claims and money; and includes electricity, water, gas, stock and shares, growing crops, grass, and things attached to or forming part of the land which are agreed to be severed before sale or under the contract of sale.

(8) a person is said to be **"insolvent"** who has ceased to pay his debts in the ordinary course of business, or cannot pay his debts as they become due, whether he has committed an act of insolvency or not.

(9) **"mercantile agent"** means a mercantile agent having in the customary course of business as such agent authority either to sell goods, or to consign goods for the purposes of sale, or to buy goods, or to raise money on the security of goods.

(10) **"price"** means the money consideration for a sale of goods.

(11) **"Property"** means the general property in goods, and not merely a special property.

(12) **"quality of goods"** includes their state or condition.

(13) **"seller"** means a person who sells or agrees to sell goods.

(14) **"specific goods"** means goods identified and agreed upon at the time a contract of sale is made.

24 FORMATION OF THE CONTRACT

24.1 Contract of Sale: Sale and agreement to sell

(1) A contract of sale of goods is a contract whereby the seller transfers or agrees to transfer the property in goods to the buyer for a price. There may be a contract of sale between one part-owner and another.

(2) A contract of sale may be absolute or conditional.

(3) Where under a contract of sale the property in the goods is transferred from the seller to the buyer, the contract is called a sale, but where the transfer of the property in the goods is to take place at a future time or subject to some condition thereafter to be fulfilled, the contract is called an agreement to sell.

(4) An agreement to sell becomes a sale when the time elapses or the conditions are fulfilled subject to which the property in the goods is to be transferred.

24.2 Formalities of the contract : Contract of sale how made

(1) A contract of sale is made by an offer to buy or sell goods for a price and the acceptance of such offer. The contract may provide for the immediate delivery of the goods or immediate payment of the price or both, or for the delivery or payment by instalments, or that the delivery or payment or both shall be postponed.

(2) Subject to the provisions of any law for the time being in force, a contract of sale may be made in writing or by word of mouth, or partly in writing and partly by word of mouth or may be implied from the conduct of the parties.

24.3 Subject-matter of Contract.

24.3.1 Existing of future goods

The goods which form the subject of a contract of sale may be either existing goods, owned or possessed by the seller, or future goods.

There may be a contract for the sale of goods the acquisition of which by the seller depends upon a contingency which may or may not happen.

Where by a contract of sale the seller purports to effect a present sale of future goods, the contract operates as an agreement to sell the goods.

24.3.2 Goods perishing before making of contract

Where there is a contract for the sale of specific goods, the contract is void if the goods without the knowledge of the seller have, at the time when the contract was made, perished or become so damaged as no longer to answer to their description in the contract.

24.3.3 Goods perishing before sale but after agreement to sell

Where there is an agreement to sell specific goods, and subsequently the goods without any fault on the part of the seller or buyer perish or become so damaged as no longer to answer to their description in the agreement before the risk passes to the buyer, the agreement is thereby avoided.

24.4 The Price

24.4.1 Ascertainment of price

The price in a contract of sale may be fixed by the contract or may be left to be fixed in manner thereby agreed or may be determined by the course of dealing between the parties.

Where the price is not determined in accordance with the foregoing provisions, the buyer shall pay the seller a reasonable price. What is a reasonable price is a question of fact dependent on the circumstances of each particular case.

24.4.2 Agreement to sell at valuation

Where there is an agreement to sell goods on the terms that the price is to be fixed by the valuation of a third party and such third party cannot or does not make such valuation, the agreement is thereby avoided:

Provided that, if the goods or any part thereof have been delivered to, and appropriated by, the buyer, he shall pay a reasonable price therefor.

Where such third party is prevented from making the valuation by the fault of the seller or buyer, the party not in fault may maintain a suit for damages against the party in fault.

24.5 Conditions and Warranties

24.5.1 Stipulations as to time

Unless a different intention appears from the terms of the contract, stipulations as to time of payment are not deemed to be of the essence of a contract of sale. Whether any other stipulation as to time is of the essence of the contract or not depends on the terms of the contract.

24.5.2 Condition and warranty

i) A stipulation in a contract of sale with reference to goods which are the subject thereof may be a condition or a warranty.

ii) A condition is a stipulation essential to the main purpose of the contract, the breach of which gives rise to right to treat the contract as repudiated.

iii) A warranty is a stipulation collateral to the main purpose of the contract, the breach of which gives rise to a claim for damages but not to a right to reject the goods and treat the contract as repudiated.

iv) Whether a stipulation in a contract of sale is a condition or a warranty depends in each case on the construction of the contract. A stipulation may be a condition, though called a warranty in the contract.

24.5.3 When condition to be treated as warranty

i) Where a contract of sale is subject to any condition to be fulfilled by the seller, the buyer may waive the condition or elect to treat the breach of the condition as a breach of warranty and not as a ground for treating the contract as repudiated.

ii) Where a contract of sale is not severable and the buyer has accepted the goods or part thereof, the breach of any condition to be fulfilled by the seller can only be treated as a breach of warranty and not as a ground for rejecting the goods and treating the contract as repudiated, unless there is a term of the contract, express or implied, to that effect.

iii) Nothing in this section shall affect the case of any condition or warranty fulfilment of which is excused by law by reason of impossibility or otherwise.

24.5.4 Implied undertaking as to title, etc.

In a contract of sale, unless the circumstances of the contract are such as to show a different intention there is·

(a) an implied condition on the part of the seller that, in the case of a sale, he has a right to sell the goods and that, in the case of an agreement to sell, he will have a right to sell the goods at the time when the property is to pass;

(b) an implied warranty that the buyer shall have and enjoy quiet possession of the goods;

(c) an implied warranty that the goods shall be free from any charge or encumbrance in favour of any third party not declared or known to the buyer before or at the time when the contract is made.

24.5.5 Sale by description

Where there is a contract for the sale of goods by description, there is an implied condition that the goods shall correspond with the description; and, if the sale is by sample as well as by description, it is not sufficient that the bulk of the goods corresponds with the sample if the goods do not also correspond with the description.

24.5.6 Implied conditions as to quality or fitness

Subject to the provisions of this Act and of any other law for the time being in force, there is no implied warranty or condition as to the quality or fitness for any particular purpose of goods supplied under a contract of sale, except as follows:-

(a) Where the buyer, expressly or by implication, makes known to the seller the particular purpose for which the goods are required, so as to show that the buyer relies on the seller's skill or judgment, and the goods are of a description which it is in the course of the seller's business to supply (whether he is the manufacturer or producer or not), there is an implied condition that the goods shall be reasonably fit for such purpose:

Provided that, in the case of a contract for the sale of a specified article under its patent or other trade name, there is no implied condition as to its fitness for any particular purpose.

(b) Where goods are bought by description from a seller who deals in goods of that description (whether he is the manufacturer or producer or not), there is an implied condition that the goods shall be of merchantable quality:

Provided that, if the buyer has examined the goods, there shall be no implied condition as regards defects which such examination ought to have revealed.

(c) An implied warranty or condition as to quality or fitness for a particular purpose may be annexed by the usage of trade.

(d) An express warranty or condition does not negative a warranty or condition implied by this Act unless inconsistent therewith.

24.5.7 Sale by sample

A contract of sale is a contract for sale by sample where there is a term in the contract, express or implied, to that effect.

In the case of a contract for sale by sample there is an implied condition-

(a) that the bulk shall correspond with the sample in quality;

(b) that the buyer shall have a reasonable opportunity of comparing the bulk with the sample;

(c) that the goods shall be free from any defect, rendering them unmerchantable, which would not be apparent on reasonable examination of the sample.

25 EFFECTS OF THE CONTRACT

25.1 Transfer of Property as between Seller and Buyer

25.1.1 Goods must be ascertained

Where there is a contract for the sale of unascertained goods, no property in the goods is transferred to the buyer unless and until goods are ascertained.

25.1.2 Property passes when intended to pass

Where there is a contract for the sale of specific or ascertained goods the property in them is transferred to the buyer at such time as the parties to the contract intend it to be transferred.

For the purpose of ascertaining the intention of the parties regard shall be had to the terms of the contract, the conduct of the parties and the circumstances of the case.

Unless a different intention appears, the rules contained in section 20 to 24 are rules for ascertaining the intention of the parties as to the time at which the property in the goods is to pass to the buyer.

25.1.3 Specific goods in a deliverable state

Where there is an unconditional contract for the sale of specific goods in a deliverable state, the property in the goods passes to the buyer when the contract is made, and it is immaterial whether the time of payment to the price or the time of delivery of the goods, or both, is postponed.

Where there is a contract for the sale of specific goods and the seller is bound to do something to the goods for the purpose of putting them into a deliverable state, the property does not pass until such thing is done and the buyer has notice thereof.

25.1.4 Specific goods in a deliverable state, when the seller has to do anything thereto in order to ascertain price

Where there is a contract for the sale of specific goods in a deliverable state, but the seller is bound to weigh measure, test or do some other act or thing with reference to the goods for the purpose of ascertaining the price, the property does not pass until such act or thing is done and the buyer has notice thereof.

25.1.5 Sale of unascertained goods and appropriation

Where there is a contract for the sale of unascertained or future goods by description and goods of that description and in a deliverable state are unconditionally appropriated to the contract, either by the seller with the assent of the buyer or by the buyer with the assent of the seller, the property in the goods thereupon passes to the buyer. Such assent may be express or implied, and may be given either before or after the appropriation is made.

25.2 Delivery to carrier

Where, in pursuance of the contract, the seller delivers the goods to the buyer or to a carrier or other bailee (whether named by the buyer or not, for the purpose of transmission to the buyer, and does not reserve the right of deposal, he is deemed to have unconditionally appropriated the goods to the contract.

25.2.1 Goods sent on approval or on sale or return or other similar terms

When goods are delivered to the buyer on approval or "on sale or return" or other similar terms, the property therein passes to the buyer-

(a) when he signifies his approval or acceptance to the seller or does any other act adopting the transaction;

(b) if he does not signify his approval or acceptance to the seller but retains the goods without giving notice of rejection, then, if a time has been fixed for the return of the goods, on the expiration of such time, and, if no time has been fixed, on the expiration of a reasonable time.

25.2.2 Reservation of right of disposal

(a) Where there is a contract for the sale of specific goods or where goods are subsequently appropriated to the contract, the seller may, by the terms of the contract or appropriation, reserve the right of disposal of the goods until certain conditions are fulfilled. In such case, notwithstanding the delivery of the goods to a buyer, or to a carrier or other bailee for the purpose of transmission to the buyer, the property in the goods does not pass to the buyer until the conditions imposed by the seller are fulfilled.

(b) Where goods are shipped or are dispatched by railway and are by the bill of lading or by railway receipt deliverable to the order of the seller or his agent the seller is prima facie deemed to reserve the right of disposal.

(c) Where the seller of goods draws on the buyer for the price and transmits the bill of exchange and bill of lading or railway receipt to the buyer together, to secure acceptance or payment of the bill of exchange, the buyer is bound to return the bill of lading or railway receipt if he does not honour the bill of exchange and if he wrongfully retains the bill of lading or railway receipt the property in the goods does not pass to him.

25.2.3 Risk prima facie passes with property

Unless otherwise agreed, the goods remain at the seller's risk until the property therein is transferred to the buyer, but when the property therein is transferred to the buyer, the goods are at the buyer's risk whether delivery has been made or not:

Provided that, where delivery has been delayed through the fault of either buyer or seller, the goods are at the risk of the party in fault as regards any loss which might not have occurred but for such fault:

Provided also that nothing in this section shall affect the duties or liabilities of either seller or buyer as a bailee of the goods of the other party.

25.3 Transfer of Title

25.3.1 Sale by person not the owner

Subject to the provisions of this Act and of any other law for the time being in force, where goods are sold by a person who is not the owner thereof and who does not sell them under the authority or with the consent of the owner, the buyer acquires no better title of the goods than the seller had, unless the owner of the goods is by his conduct precluded from denying the seller's authority to sell:

Provided that where the mercantile agent is, with the consent of the owner, in possession of the goods or of a document of title to the goods, any sale made by him, when acting in the ordinary course of business of a mercantile agent, shall be as valid as if he were expressly authorized by the owner of the goods to make the same; provided that the buyer acts

in good faith and has not at the time of the contract of sale notice that the seller has not authority to sell.

25.3.2 Sale by one of joint owners

If one of several joint owners of goods has the sole possession of them by permission of the co-owners, the property in the goods is transferred to any person who buys them of such joint owner in good faith and has not at the time of the contract of sale notice that the seller has not authority to sell.

25.3.3 Sale by person in possession under voidable contract

When the seller of goods has obtained possession thereof under a contract voidable under section 19 or section 19A of the Contract Act, 1872, but the contract has not been rescinded at the time of the sale, the buyer acquires a good title to the goods, provided he buys them in good faith and without notice of the seller's defect of title.

25.3.4 Seller or buyer in possession after sale

Where a person, having sold goods, continues or is in possession of the goods or of the documents of title to the goods, the delivery or transfer by that person or by a mercantile agent acting for him, of the goods or documents of title under any sale, pledge or other disposition thereof to any person receiving the same in good faith and without notice of the previous sale shall have the same effect as if the person making the delivery or transfer were expressly authorized by the owner of the goods to make the same.

26 PERFORMANCE OF THE CONTRACT

26.1 Duties of seller and buyer

It is the duty of the seller to deliver the goods and of the buyer to accept and pay for them, in accordance with the terms of the contract of sale.

26.2 Payment and delivery are concurrent conditions

Unless otherwise agreed, delivery of the goods and payment of the price are concurrent conditions, that is to say, the seller shall be ready and willing to give possession of the goods to the buyer in exchange for the price, and the buyer shall be ready and willing to pay the price in exchange for possession of the goods.

26.3 Delivery

Delivery of goods sold may be made by doing anything which the parties agree shall be treated as delivery or which has the effect of putting the goods in the possession of the buyer or of any person authorized to hold them on his behalf.

26.4 Effect of part delivery

A delivery of part of goods, in progress of the delivery of the whole, has the same effect, for the purpose of passing the property in such goods, as a delivery of the whole; but a delivery of part of the goods, with an intention of severing it from the whole, does not operate as a delivery of the remainder.

26.5 Buyer to apply for delivery

Apart from any express contract, the seller of goods is not bound to deliver them until the buyer applies for delivery.

26.6 Rule as to delivery

(a) Whether it is for the buyer to take possession of the goods or for the seller to send them to the buyer is a question depending in each case on the contract, express or implied, between the parties. Apart from any such contract, goods sold are to be delivered at the place at which they are at the time of the sale, and goods agreed to be sold are to be delivered at the place at which they are at the time of the agreement to sell, or if not then in existence, at the place at which they are manufactured or produced.

(b) Where under the contract of the sale the seller is bound to send the goods to the buyer, but no time for sending them is fixed, the seller is bound to send them within a reasonable time.

(c) Where the goods at the time of sale are in the possession of a third person, there is no delivery by seller to buyer unless and until such third person acknowledges to the buyer that he holds the goods on his behalf:

Provided that nothing in this section shall affect the operation of the issue or transfer of any document of title to goods.

(d) Demand or tender of delivery may be treated as ineffectual unless made at a reasonable hour. What is a reasonable hour is a question of fact.

(e) Unless otherwise agreed, the expenses of and incidental to putting the goods into a deliverable state shall be borne by the seller.

26.7 Delivery of wrong quantity

(a) Where the seller delivers to the buyer a quantity of goods less than he contracted to sell, the buyer may reject them, but if the buyer accepts the goods so delivered he shall pay for them at the contract rate.

(b) Where the seller delivers to the buyer a quantity of goods larger than he contracted to sell, the buyer may accept the goods included in the contract and reject the rest, or he may reject the whole. If the buyer accepts the whole of the goods so delivered, he shall pay for the at them contract rate.

(c) Where the seller delivers to the buyer the goods, he contracted to sell mixed with goods of different description not included in the contract, the buyer may accept the goods which are in accordance with the contract and reject the rest, or may reject the whole.

(d) The provisions of this section are subject to any usage of trade, special agreement or course of dealing between the parties.

26.8 Instalment deliveries

Unless otherwise agreed, the buyer of goods is not bound to accept delivery thereof by instalments.

Where there is a contract for the sale of goods to be delivered by stated instalments which are to be separately paid for, and the seller makes no delivery or defective delivery in respect of one or more instalments, or the buyer neglects or refuses to take delivery of or pay for one or more instalments, it is a question in each case depending on the terms of the contract and the circumstances of the case, whether the breach of contract is a repudiation of the

whole contract, or whether it is a severable breach giving rise to a claim for compensation, but not to a right to treat the whole contract as repudiated.

26.9 Delivery to carrier or wharfinger

(a) Where, in pursuance of a contract of sale, the seller is authorized or required to send the goods to the buyer, delivery of the goods to a carrier, whether named by the buyer or not, for the purpose of transmission to the buyer, or delivery of the goods to a wharfinger for safe custody, is prima facie deemed to be a delivery of the goods to the buyer.

(c) Unless otherwise authorized by the buyer, the seller shall make such contract with the carrier or wharfinger on behalf of the buyer as may be reasonable having regard to the nature of the goods and the other circumstances of the case. If the seller omits, so to do, and the goods are lost or damaged in course of transit or whilst in the custody of the wharfinger, the buyer may decline to treat the delivery to the carrier of wharfinger as a delivery to himself, or may hold the seller responsible in damages.

(c) Unless otherwise agreed, where goods are sent by the seller to the buyer by a route involving sea transit, in circumstances in which it is usual to insure, the seller shall give such notice to the buyer as may enable him to insure them during their sea transit, and if the seller fails so to do, the goods shall be deemed to be at his risk during such sea transit.

26.10 Risk where goods are delivered at distant place

Where the seller of goods agrees to deliver them at his own risk at a place other than that where they are when sold, the buyer shall, nevertheless, unless otherwise agreed, take any risk of deterioration in the goods necessarily incident to the course of transit.

26.11 Buyer's right of examining the goods

(a) Where goods are delivered to the buyer which he has not previously examined, he is not deemed to have accepted them unless and until he has had a reasonable opportunity of examining them for the purpose of ascertaining whether they are in conformity with the contract.

(b) Unless otherwise agreed, when the seller tenders delivery of goods to the buyer, he is bound, on request, to afford the buyer a reasonable opportunity of examining the goods for the purpose of ascertaining whether they are in conformity with the contract.

26.12 Acceptance

The buyer is deemed to have accepted the goods when he intimates to the seller, that he has accepted them, or when the goods have been delivered to him and he does any act in relation to them which is inconsistent with the ownership of the seller, or when, after the lapse of a reasonable time, he retains the goods without intimating to the seller that he has rejected them.

26.13 Buyer not bound to return rejected goods

Unless otherwise agreed, where goods are delivered to the buyer and he refuses to accept them, having the right so to do, he is not bound to return them to the seller, but it is sufficient if he intimates to the seller that he refuses to accept them.

26.14 Liability of buyer for neglecting or refusing delivery of goods

When the seller is ready and willing to deliver the goods and requests the buyer to take delivery, and the buyer does not within a reasonable time after such request take delivery of the goods, he is liable to the seller for any loss occasioned by his neglect or refusal to take delivery, and also for a reasonable charge for the care and custody of the goods:

Provided that nothing in this section shall affect the rights of the seller where the neglect or refusal of the buyer to take delivery amounts to a repudiation of the contract.

27 RIGHTS OF UNPAID SELLER AGAINST THE GOODS

27.1 Unpaid seller

(1) The seller of goods is deemed to be an "unpaid seller" within the meaning of this Act :

(a) when the whole of the price has not been paid or tendered;

(b) when a bill of exchange or other negotiable instrument has been received as conditional payment, and the condition on which it was received has not been fulfilled by reason of the dishonour of the instrument or otherwise.

(2) In this Chapter, the term "seller" includes any person who is in the position of a seller, as, for instance, an agent of the seller to whom the bill of lading has been endorsed, or a consignor or agent who has himself paid, or is directly responsible for, the price.

27.2 Unpaid seller's rights

(1) Subject to the provisions of this Act and of any law for the time being in force, notwithstanding that the property in the goods may have passed to the buyer, the unpaid seller of goods, as such, has by implication of law-

(a) a lien on the goods for the price while he is in possession of them;

(b) in case of the insolvency of the buyer a right of stopping the goods in transit after he has parted with the possession of them;

(c) a right of re-sale as limited by this Act.

(2) Where the property in goods has not passed to the buyer, the unpaid seller has, in addition to his other remedies, a right of withholding delivery similar to and co-extensive with his rights of lien and stoppage in transit where the property has passed to the buyer.

27.3 Unpaid Seller's Lien

27.3.1 Seller's lien

(1) Subject to the provisions of this Act, the unpaid seller of goods who is in possession of them is entitled to retain possession of them until payment or tender of the price in the following cases, namely:-

(a) Where the goods have been sold without any stipulation as to credit;

(b) Where the goods have been sold on credit, but the term of credit has expired;

(c) Where the buyer becomes insolvent.

(2) The seller may exercise his right of lien notwithstanding that he is in possession of the goods as agent or bailee for the buyer.

27.3.2 Part delivery

Where an unpaid seller has made part delivery of the goods, he may exercise his right of lien on the remainder, unless such part delivery has been made under such circumstances as to show an agreement to waive the lien.

27.3.3 Termination of lien

(1) The unpaid seller of goods loses his lien thereon;

(a) when he delivers the goods to a carrier or other bailee for the purpose of transmission to the buyer without reserving the right of disposal of the goods;

(b) when the buyer or his agent lawfully obtains possession of the goods;

(c) by waiver thereof.

(2) The unpaid seller of goods, having a lien thereon, does not lose his lien by reason only that he has obtained a decree for the price of the goods.

27.4 Stoppage in Transit

27.4.1 Right of stoppage in transit

Subject to the provisions of this Act, when the buyer of goods becomes insolvent, the unpaid seller who has parted with the possession of the goods has the right of stopping them in transit, that is to say, he may resume possession of the goods as long as they are in the course of transit, and may retain them until payment or tender of the price.

27.4.2 Duration of transit

(a) Goods are deemed to be in course of transit from the time when they are delivered to a carrier or other bailee for the purpose of transmission to the buyer, until the buyer or his agent in that behalf takes delivery of them from such carrier or other bailee.

(b) If the buyer or his agent in that behalf obtains delivery of the goods before their arrival at the appointed destination, the transit is at an end.

(c) If, after the arrival of the goods at the appointed destination, the carrier or other bailee acknowledges to the buyer or his agent that he holds the goods on his behalf and continues in possession of them as bailee for the buyer or his agent, the transit is at an end and it is immaterial that a further destination for the goods may have been indicated by the buyer.

(d) If the goods are rejected by the buyer and the carrier or other bailee continues in possession of them, the transit is not deemed to be at end, even if the seller has refused to receive them back.

(e) When goods are delivered to a ship chartered by the buyer, it is a question depending on the circumstances of the particular case, whether they are in the possession of the master as a carrier or as agent of the buyer.

(f) Where the carrier or other bailee wrongfully refuses to deliver the goods to the buyer or his agent in that behalf, the transit is deemed to be at an end.

(g) Where part delivery of the goods has been made to the buyer or his agent in that behalf, the remainder of the goods may be stopped in transit, unless such part delivery has been given in such circumstances as to show an agreement to give up possession of the whole of the goods.

27.4.3 How stoppage in transit is effected

The unpaid seller may exercise his right of stoppage in transit either by taking actual possession of the goods, or by giving notice of his claim to the carrier or other bailee in whose possession the goods are. Such notice may be given either to the person in actual possession of the goods or to his principal. In the latter case the notice, to be effectual, shall be given at such time and in such circumstances that the principal, by the exercise of reasonable diligence, may communicate it to his servant or agent in time to prevent a delivery to the buyer.

27.5 Transfer by Buyer and Seller

27.5.1 Effect of sub-sale or pledge by buyer

(a) Subject to the provisions of this Act, the unpaid seller's right of lien or stoppage in transit is not affected by any sale or other disposition of the goods which the buyer may have made, unless the seller has assented thereto:

Provided that where a document of title to goods has been issued or lawfully transferred to any person as buyer or owner of the goods, and that person transfers the document to a person who takes the document in good faith and for consideration, then, if such last mentioned transfer was by way of sale, the unpaid seller's right of lien or stoppage in transit is defeated, and, if such last mentioned transfer was by way of pledge or other disposition for value, the unpaid seller's right of lien or stoppage in transit can only be exercised subject to the rights of the transferee.

(b) Where the transfer is by way of pledge, the unpaid seller may require the pledgee to have the amount secured by the pledge satisfied in the first instance, as far as possible, out of any other goods or securities of the buyer in the hands of the pledgee and available against the buyer.

27.5.2 Sale not generally rescinded by lien or stoppage in transit

(a) Subject to the provisions of this section, a contract of sale is not rescinded by the mere exercise by an unpaid seller of his right of lien or stoppage in transit.

(b) Where the goods are of a perishable nature, or where the unpaid seller who has exercised his right of lien or stoppage in transit gives notice to the buyer of his intention to re-sell, the unpaid seller may, if the buyer does not within a reasonable time pay or tender the price, re-sell the goods within a reasonable time and recover from the original buyer damages for any loss occasioned by his breach of contract, but the buyer shall not be entitled to any profit which may occur on the re-sale. If such notice is not given, the unpaid seller shall not be entitled to recover such damages and the buyer shall be entitled to the profit, if any, on the re-sale.

(c) Where an unpaid seller who has exercised his right of lien or stoppage in transit re-sells the goods, the buyer acquires a good title thereto as against the original buyer, notwithstanding that no notice of the re-sale has been given to the original buyer.

(d) Where the seller expressly reserves a right of re-sale in case the buyer should make default, and, on the buyer making default, re-sells the goods, the original contract of sale is thereby rescinded, but without prejudice to any claim which the seller may have for damages.

28 SUITS FOR BREACH OF THE CONTRACT

28.1 Suit for price

(a) Where under a contract of sale the property in the goods has passed to the buyer wrongfully neglects or refuses to pay for the goods according to the terms of the contract, the seller may sue him for the price of the goods.

(b) Where under a contract of sale the price is payable on a day certain irrespective of delivery and the buyer wrongfully neglects or refuses to pay such price, the seller may sue him for the price although the property in the goods has not passed and the goods have not been appropriated to the contract.

28.2 Damages for non-acceptance

Where the buyer wrongfully neglects or refuses to accept and pay for the goods, the seller may sue him for damages for non-acceptance.

28.3 Damages for non-delivery

Where the seller wrongfully neglects or refuses to deliver the goods to the buyer, the buyer may sue the seller for damages for non-delivery.

28.4 Specific performance

Subject to the provisions of Chapter II of the Specific Relief Act, 1877, in any suit for breach of contract to deliver specific or ascertained goods, the Court may, if it thinks fit, on the application of plaintiff, by its decree direct that the contract shall be performed specifically, without giving the defendant the option of retaining the goods on payment of damages. The decree may be unconditional, or upon such terms and conditions as to damages, payment of the price or otherwise, as the Court may deem just, and the application of the plaintiff may be made at any time before the decree.

28.5 Remedy for breach of warranty

(1) Where there is a breach of warranty by the seller, or where the buyer elects or is compelled to treat any breach of a condition on the part of the seller as a breach of warranty, the buyer is not by reason only of such breach of warranty entitled to reject other goods; but he may:

(a) set up against the seller the breach of warranty in diminution or extinction of the price; or

(b) sue the seller for damages for breach of warranty.

(2) The fact that a buyer has set up a breach of warranty in diminution or extinction of the price does not prevent him from suing for the same breach of warranty if he has suffered further damage.

28.6 Repudiation of contract before due date

Where either party to a contract of sale repudiates the contract before the date of delivery, the other may either treat the contract as subsisting and wait till the date of delivery, or he may treat the contract as rescinded and use for damages for the breach.

28.7 Interest by way of damages and special damages

(1) Nothing in this Act shall affect the right of the seller or the buyer to recover interest or special damages in any case where by law interest or special damages may be recoverable, or to recover the money paid where the consideration for the payment of it has failed.

(2) In the absence of a contract to the contrary, the Court may award interest at such rate as it thinks fit on the amount of the price-

(a) to the seller in a suit by him for the amount of the price-from the date of the tender of the goods or from the date on which the price was payable;

(b) to the buyer in a suit by him for the refund of the price in a case of a breach of the contract on the part of the seller- from the date on which the payment was made.

29 MISCELLANEOUS

29.1 Exclusion of implied terms and conditions

Where any right, duty or liability would arise under a contract of sale by implication of law, it may be negatived or varied by express agreement or by the course of dealing between the parties, or by usage, if the usage is such as to bind both parties to the contract.

29.2 Reasonable time a question of fact

Where in this Act any reference is made to a reasonable time, the question what is a reasonable time is a question of fact

29.3 Auction sale

In the case of a sale by auction-

(1) where goods are put up for sale in lots, each lot is prima facie deemed to be the subject of a separate contract of sale;

(2) the sale is complete when the auctioneer announces its completion by the fall of the hammer or in other customary manner; and, until such announcement is made, any bidder may retract his bid;

(3) a right to bid may be reserved expressly by or on behalf of the seller and, where such right is expressly so reserved, but not otherwise, the seller or any one person on his behalf may, subject to the provisions hereinafter contained, bid at the auction;

(4) where the sale is not notified to be subject to a right to bid on behalf of the seller, it shall not be lawful for the seller to bid himself or to employ any person to bid at such sale, or for the auctioneer knowingly to take any bid from the seller or any such person; and any sale contravening this rule may be treated as fraudulent by the buyer;

(5) the sale may be notified to be subject to a reserved or upset price;

(6) if the seller makes use of pretended bidding to raise the price, the sale is voidable at the option of the buyer.

In contracts of sale amount of increased or decreased duty or tax to be added, or deducted in the event of any duty of customs or excise or tax on any goods being imposed, increased, decreased or remitted after the making of any contract for the sale of such goods without stipulation as to the payment of duty or tax where duty or tax was not chargeable at the time

of the making of the contract, or for the sale of such goods duty-paid or tax-paid where duty or tax was chargeable at the time-

(a) if such imposition or increase so takes effect that the duty or tax or increased duty or tax, as the case may be, or any part thereof, is paid, the seller may add so much to the contract price as will be equivalent to the amount paid in respect of such duty or tax or increase of duty or tax, and he shall be entitled to be paid and to sue for and recover such addition, and

(b) if such decrease or remission so takes effect that the decreased duty or tax only or no duty or tax, as the case may be, is paid, the buyer may deduct so much from the contract price as will be equivalent to the decrease of duty or tax or remitted duty or tax, and he shall not be liable to pay, or be sued for or in respect of, such deduction.

29.4 Savings

(1) Nothing in this Act or in any repeal effected thereby shall affect or be deemed to affect-

(a) any right, title, interest, obligation or liability already acquired, accrued or incurred before the commencement of this Act, or

(b) any legal proceedings or remedy in respect of any such right, title, interest, obligation or liability, or

(c) anything done or suffered before the commencement of this Act, or

(d) any enactment relating to the sale of goods which is not expressly repealed by this Act, or

(e) any rule of law not inconsistent with this Act.

(2) The rules of insolvency relating to contracts for the sale of goods shall continue to apply thereto, notwithstanding anything contained in this Act.

(3) The provisions of this Act relating to contracts of sale do not apply to any transaction in the form of a contract of sale which is intended to operate by way of mortgage, pledge, charge or other security.

Sample Questions and Answer

Questions

Chapter 1 : The Companies Act, 1994

Chapter 2 : The Negotiable Instruments Act, 1881

Chapter 3 : Partnership Act, 1932

Chapter 4 : The Contract Act, 1872 and The Sale of Goods Act, 1930

Answers

Chapter 1: The Companies Act, 1994

Chapter 2: The Negotiable Instruments Act, 1881

Chapter 3: Partnership Act, 1932

Chapter 4: Overview on The Contract Act, 1872 and The Sale of Goods Act, 1930

Sample Questions

Chapter 1: The Companies Act, 1994

1 What is the purpose of a prospectus?

A To advertise the company's products and services.
B To outline the company's corporate social responsibility initiatives.
C To provide information to potential investors about the company's shares or debentures.
D To provide information about the company s board of directors.

2 What is the significance of the articles of association in recovering th formation expenses? They authorize the directors to repay the expenses

A They only apply as a contract between the company and the shareholder
B They can be used to enforce a contract between the promoter and the company
C They have no significance in the recovery of expenses
D They authorize the directors to repay the expenses

3 Is clear evidence of intention required for a company to be held liable for a contract made after its formation?

A Sometimes
B Yes
C No
D It depends

4 Can the Registrar impose a penalty on a company and its officers for failing to comply with Section 81(1) of the Company Act, 1994 of Bangladesh?

A Yes, by issuing a warning letter
B Yes, by imposing a fine
C No, only the Court can impose a penalty
D No, the company must be dissolved in such cases

5 What is the minimum number of Directors required for a public company?

A 2
B 3
C 50
D 7

6 Which type of company is defined as a public company in the Companies Act?

A A company that limits the number of its members to 50
B A company that prohibits public subscriptions for its shares
C A company incorporated before the Companies Act, 1994

7 What is required to be included in the memorandum of a company limited by shares regarding the liability of members according to the Companies Act?

A The liability of members is partially limited
B The liability of members is not specified
C The liability of members is unlimited
D The liability of members is limited

8 Can stock be issued directly to the public?

A Depends on the type of shares
B No
C Depends on the company's articles of association
D Yes

9 Is written consent required from secured creditors of a public company prior to converting it into a private company?

A Only if the creditors agree
B Yes
C Only if the majority of creditors agree
D No

10 What is the maximum term of imprisonment that can be imposed for authorizing an issue of a prospectus that includes an untrue statement?

A Two years
B Three years
C Four years
D One year

11 What is the main purpose of a prospectus according to the Companies Act?

A To provide detailed information about the company's products and services.
B To outline the company's social and environmental initiatives.
C To provide information to the public about the company's financial position and the risks associated with investing in the company.
D To outline the company s organizational structure.

12 What must a bearer of a share-warrant do to have their name entered in the register of members?

A Apply in writing to the directors with evidence of identity and pay the prescribed fee
B Surrender the share-warrant for cancellation and pay the prescribed fee
C Surrender the share-warrant for cancellation and pay the prescribed fee and stamp duty
D Submit a transfer request to the company in accordance with the regulations

13 How can the Memorandum of Association in a company be altered?

A By the company's creditors
B By a majority vote of the members
C Through informal discussions
D By following certain formalities

14 What is the main difference between a company and a partnership in terms of statutory obligations?

A Both have the same statutory obligations
B Partnerships have more statutory obligations
C Companies have more statutory obligations
D Companies have no statutory obligations

15 If a public company, having a share capital but not issuing a prospectus, wants to obtain the commencement certificate, what statement needs to be filed with the Registrar?

A Statement of Accounts
B Declaration of Solvency
C Declaration of Compliance
D Statement in lieu of prospectus

16 How are directors appointed in a public limited company, according to Section 91(1) of the Company Act, 1994?

A By the company's auditors.
B By the members in general meeting.
C By the government of Bangladesh.
D By the Registrar of Joint Stock Companies and Firms.

17 Who can call an extraordinary general meeting of a company if the directors fail to call a meeting within 21 days from the date of deposit of the requisition, according to Section 84 of the Company Act, 1994 of Bangladesh?

A The auditors of the company
B The shareholders holding at least 50% of the voting power
C The requisitionists or a majority of them in value
D The registrar of companies

18 How can a holding company hold shares in another company according to the Companies Act?

A Directly
B Through a nominee
C Directly or through a nominee
D By appointing the majority of the directors in that other company

19 What is a private company according to section 2 (q) of the Companies Act, 1994?

A A company with no restrictions on share transfer and public invitation to subscribe for shares
B A company with restrictions on share transfer, public invitation to subscribe for shares and limited number of members to 50
C A company with more than 50 members
D A company with unlimited liability

20 A forfeited share may be sold or otherwise disposed of:

A Only after the company has obtained permission from the Securities and Exchange Commission
B At any time before a sale or disposition
C Only after the expiration of fourteen days from the date of the notice
D After the payment required by the notice has been made

21 What is the main characteristic of early companies as described in the origin of the term "company"?

A Attaining some common objectives with profit
B Joint stock companies designed for profit
C Undertaking works of public utility
D Discussing business matters during festive gatherings

22 Under what circumstances can a director's office be vacated according to the Companies Act of Bangladesh?

A If the director is related to any shareholder of the company
B If the director is a minor
C If the director is a foreign citizen
D If the director accepts a loan or guarantee from the company in contravention of section 103

23 Which type of entity is regulated by the Companies Act, 1994 and its subsequent amendments?

A Company
B Sole Proprietorship
C Partnership

24 According to the Company Act, 1994 of Bangladesh, who is responsible for managing the business of the company?

A The shareholders
B The directors
C The auditors
D The company secretary

25 Can the directors pay all the expenses incurred in getting up and registering the company, as per the Company Act, 1994 of Bangladesh?

A No, they cannot pay any expenses
B Yes, they can pay all expenses
C They can pay only a part of the expenses
D They can pay the expenses Only after approval from shareholders

26 In an unlimited company, are past members liable for the debts incurred before they ceased to be members?

A Depends on the company's articles of association
B Yes
C Only if the company is wound up
D No

27 Do holders of stock have the same rights, privileges, and advantages as shareholders?

A No, they do not have the same rights, privileges, and advantages as shareholders
B Yes, but only if approved by the Central Bank of Bangladesh
C Yes. but only if approved by the Securities and Exchange Commission
D Yes, they have the same rights, privileges, and advantages as shareholders

28 What is the consequence if a company fails to file the notice of consolidation, conversion, or reconversion within 15 days of passing a resolution for the same?

A The shareholders will lose their rights
B The company will be dissolved
C The company will be barred from issuing new shares
D The company and its officers will be liable to a fine

29 What is the maximum term of imprisonment that can disqualify a person from serving as a director, according to the Company Act, 1994 of Bangladesh?

A 2 months
B 4 months
C 6 months
D 8 months

30 Can a member hold half of a share?

A Yes
B No
C Depends on the company's articles of association
D Depends on the type of shares

31 Mustafiz has purchased 100 shares in a company. What is the name for the total face value of these shares that the company is authorized to issue?

A Registered capital
B Issued capital
C Debenture capital
D Nominal or authorized share capital

32 What is the consequence of issuing a prospectus without delivering a copy to the Registrar?

A The prospectus will be deemed invalid and cannot be used for subscription.
B The company will be sued by the Registrar for not following the regulation.
C The company and everyone involved will be punished with a fine.
D The company will need to submit the prospectus again for registration.

33 What is the purpose of having directors in a public company?

A To control the ownership of the company.
B To manage the business of the company.
C To increase the number of shareholders in the company.
D To reduce the liability of the company.

34 Who is responsible for paying calls on jointly-held shares?

A The company
B The directors
C The joint-holders jointly and severally
D Only one of the joint-holders

35 Can stock be issued directly to the public?

A Depends on the type of shares
B No
C Depends on the company's articles of association
D Yes

36 Are the retirement provisions applicable for a private limited company according to the Companies Act, 1994?

A Yes
B No

37 What is the effect of the death or insolvency of a member on the existence of a company?

A Depends on the length of existence of the company
B Depends on the size of the company
C Does not affect its existence
D Comes to an end

38 What is the maximum number of members a public company can have at the time of conversion to a private company?

A 75
B 50
C 400
D No Limit

39 Which form should be submitted to the Registrar along with the Memorandum of Association and the Articles of Association of a private company for the consent of directors to act?

A Form IX
B Form VI
C Form X
D From IX

40 Are regulations 79 to 87 of Schedule - I on retirement and rotation of directors' compulsory for inclusion in the articles of association of a private limited company according to the Companies Act 1994?

A Yes
B No

41 Can the holders of stock transfer their stock in the same manner as shares?

A Yes, subject to the same regulations as shares
B Yes, but only if approved by the Central Bank of Bangladesh
C No, stock cannot be transferred
D Yes. but only if approved by the Securities and Exchange Commission

42 According to the Companies Act, 1994, which of the following companies is not considered a public company?

A A company with unlimited liability
B A company incorporated under the Companies Act
C A company that restricts the transfer of shares
D A company that invites the public to subscribe for its shares

43 What happens if there is a rule in the articles that contradicts the memorandum?

A The rule in the articles is ignored
B The rule in the articles is considered void
C The rule in the articles is considered valid
D The rule in the articles is considered invalid

44 Can a business engaged in production and processing of goods be considered an industrial undertaking?

A It depends on the goods being produced
B No
C Yes
D It depends on the services being provided

45 What are the municipalities in metropolitan city areas called in Bangladesh?

A Private corporations
B Sector corporations
C City corporations
D Trading corporations

46 What must a director do before being appointed as a director of a company, according to Section 93 of the Company Act, 1994?

A File a consent in writing with the Registrar of Joint Stock Companies and Firms.
B Take qualification shares.
C File a written proposal for directorship to the company.
D Appoint an alternate director.

47 Can a company provide additional grounds for disqualification of a director, as per the Company Act, 1994 of Bangladesh?

A A company can provide additional grounds only with the approval of the Registrar of Joint Stock Companies and Firms
B No, a company cannot provide additional grounds
C Yes, a company can provide additional grounds
D A company can provide additional grounds only with the approval of the Securities and Exchange Commission

48 Can a private company invite the public to purchase its shares or debentures?

A No
B Yes
C Depends on the company
D None of these

49 Can a public company have any number of members?

A Yes
B No
C Depends on the company
D None of these

50 According to Para 83 of Schedule 1 of the Companies Act of Bangladesh, what happens if the places of the vacating directors are not filled up at the adjourned meeting?

A The vacating directors are removed from the board
B The remaining directors appoint new directors
C The vacating directors are deemed to have been re-elected
D The meeting is adjourned to a later date

Sample Questions

Chapter 2 : The Negotiable Instruments Act, 1881

1. The Negotiable Instruments Act, 1881 is an Act to define and amend the law relating to:
   a. cheques
   b. bills of exchange
   c. promissory notes,
   d. All of the above

2. "banker" includes:
   a. Any person acting as an employee of any bank and any post office saving bank.
   b. Any person acting as a banker and any post office saving bank
   c. Any person acting as an agent of any bank and any post office saving bank.
   d. Any person acting as a Managing Director of any bank and any post office saving bank

3. Which is NOT an example of "Promissory Note":
   a. "I acknowledge myself to be indebted to B in tk. 1, 000, to be paid on demand, for value received."
   b. Mr B, I.O.U tk. 1,000."
   c. "I promise to pay B or order tk. 500".
   d. None of the above.

4. In a Promissory Note, how many parties are involved:
   a. One
   b. Two
   c. Three
   d. Four

5. Which is NOT correct about the "Promissory Note":
   a. It contains a conditional undertaking.
   b. It contains the amount mentioned on it.
   c. It is an instrument in writing.
   d. It is signed by the maker

6. The Negotiable Instruments Act, 1881 extends to:
   a. Only to Capital cities of the States.
   b. The whole of India.
   c. The whole of India except the State of Jammu and Kashmir.
   d. The whole of India except the Union Territories.

7. Which is a "Promissory Note"
   a. I promise to pay B tk. 500 and to deliver to him my black horse on 1st January next.
   b. I promise to pay B tk. 500 seven days /after my marriage with C .
   c. "I acknowledge myself to be indebted to B in tk. 1, 000, to be paid on demand, for value received."
   d. I promise to pay B tk. 500 on D's death, provided D leaves me enough to pay that sum.

8. Section 5 of the NI Act deals with:
   a. Bills of Exchange
   b. Holder in due course
   c. Cheque
   d. Promissory Note

9. A 'Cheque' is a Bills of exchange and has been defined under:
   a. The Negotiable Instruments Act, 1881
   b. The General Clauses Act, 1897
   c. The Reserve Bank of India Act, 1934
   d. The Banking Regulation Act, 1949

10. In an appeal by the drawer against conviction under section 138, the Appellate Court may order the appellant to deposit such sum which shall be a minimum of or compensation awarded by the trial Court:
   a. Ten per cent of the fine
   b. Fifteen per cent of the fine
   c. Twenty per cent of the fine
   d. Twenty five per cent of the fine

11. The interim compensation payable under section 143 A may be recovered as if it were a fine;
   a. As if it is a decree of a court
   b. As per the provisions of Income Tax act, 1961
   c. As per the provisions of the Code of Criminal Procedurc^l973.
   d. None of the above

12. All offences under Chapter XVII shall be tried by:
   a. A Metropolitan Magistrate
   b. A Judicial Magistrate of the first class
   c. Either A or B
   d. None of the above

13. Which court can entertain any offence punishable under section 138:
   a. Court not inferior to that of a Judicial Magistrate of the first class.
   b. Any court having jurisdiction may entertain such case.
   c. Court not inferior to that of a Metropolitan Magistrate.
   d. D. Options A and C are correct.

14. The liability of the drawer of a foreign bills of exchange is regulated in all essential matters by the law of the place where:
   a. the instrument has been negotiated
   b. The instrument has been endorsed
   c. The instrument is payable
   d. The instrument is made.

15. When a bill is said to be dishonoured:
   a. where presentment is excused and the bill is not accepted
   b. one of several drawees makes default in acceptance upon being duly required to accept the bill.
   c. by non-acceptance by the drawee
   d. All of the above.

16. What are the liabilities of a collecting banker:
   a. To serve notice of dishonour on the customer so that customer can claim the amount form his debtors.
   b. To present cheque within a reasonable time else liable for damages.
   c. To handover the proceeds after the realisation without delay.
   d. All of the above.

17. Where the holder of an instrument endorses it in a manner that does not incur any liability as an endorser, such endorsement is called as:
    a. Sans recourse Endorsement
    b. Conditional endorsement
    c. Facultative endorsement
    d. Restrictive Endorsement

18. A promissory note, bill of exchange or cheque payable to order, is negotiable:
    a. By endorsement and delivery thereof
    b. By the holder by endorsement
    c. By delivery thereof
    d. None of the above

19. When the day on which a promissory note or bill of exchange is at maturity is a public holiday, the instrument shall be deemed to be due:
    a. On the same day
    b. On the next preceding business day
    c. On the next business day
    d. On the next succeeding business day

20. A negotiable instrument, dated 30th August, 2017, is made payable three months after date. What will be the maturity date:
    a. The instrument is at maturity on the 1 December, 2017
    b. The instrument is at maturity on the 2nd December, 2017
    c. The instrument is at maturity on the 3rd December, 2017
    d. The instrument is at maturity on the 4 December, 2017

21. Instrument entitled to 'period of grace' is:
    a. a bill or note payable on demand
    b. a cheque
    c. a bill or note in which no time is mentioned
    d. a bill or note payable 'after sight'

22. When a promissory note or bill of exchange are payable, in which no time for payment is specified:
    a. They are payable within 3 months
    b. They are payable within 6 months
    c. They are payable on demand
    d. They are payable within a reasonable time

23. Where an instrument may be construed either as a promissory note or bill of exchange:
    a. A void instrument
    b. A valid negotiable instrument
    c. It is called as ambiguous instrument
    d. It is called as unambiguous instrument

24. When a promissory note, bill of exchange or cheque is transferred to any person, so as to constitute the person the holder thereof, the instrument is said to be:
    a. Mortgaged
    b. Assigned
    c. Negotiated
    d. Pledged

25. Which section of the NI Act defines the words, 'Negotiable Instrument?
    a. Section 15
    b. Section 14
    c. Section 13A
    d. Section 13

26. A promissory note, bill of exchange or cheque is payable _____ which is expressed t o be so payable or on which the only or last endorsement is an endorsement in blank.
    a. to order
    b. to bearer
    c. holder in due course
    d. holder

27. A promissory note, bill of exchange or cheque drawn or made out of India and made payable in, or drawn upon any person resident in India shall be deemed to be:
    a. Incomplete instrument
    b. Inchoate instrument
    c. Foreign instrument
    d. Inland instrument

28. A 'Holder in due course' of a Negotiable Instrument:
    a. Can sue on the instrument in his own name
    b. Can sue only if permitted by the competent court of law
    c. Can sue on the instrument if permitted by the payee
    d. Cannot sue on the instrument in his own name

29. Who is entitled at the time of loss or destruction of a note, bill or cheque:
    a. Drawee
    b. Drawer
    c. Holder
    d. Payee

30. The "holder" of a promissory note, bill of exchange or cheque means:
    a. Any person entitled in his own name to the gos session thereof and to receive or recover the amount due thereon from the parties Thereto
    b. Any person entitled in his own name or his agent to the possession thereof and to receive or recover the amount due thereon from the parties thereto
    c. Any person having the possession of such instrument and to receive or recover the amount due thereon from the parties thereto
    d. Any person holding the physical custody of such instruments

31. The maker of a bill of exchange or cheque is called:
    a. The drawee
    b. The payee
    c. The drawer
    d. The banker

32. A cheque is a .....drawn upon a specified banker and payable on demand:
    a. Bill of exchange
    b. Hundi
    c. Promissory note
    d. None of the above

33. What is NOT true about the "bills of exchange?
    a. it is an instrument in writing
    b. It is signed by the maker
    c. Certain sum of money is mentioned on the instrument
    d. It contains a conditional order

34. The definition of 'Promissory Note' has been defined in the NI Act in:
    a. Section 7
    b. Section 6
    c. Section 5
    d. Section 4

35. The NI Act, 1881 came into force with effect from:
    a. First day of April, 1882
    b. First day of April, 1881
    c. First day of March, 1882
    d. First day of March, 1881

36. A "promissory note" is an instrument to pay a certain sum of money:
    a. to the order of, a certain person, or to the bearer of the instrument
    b. To the bearer of the instrument
    c. To the order of, a certain person
    d. None of the above

37. The nature of "promissory note" is:
    a. It contains an unconditional order to the drawee to pay the payee
    b. It contains an unconditional promise by maker to pay the payee
    c. It is drawn on specified banker to pay on demand
    d. None of the above

38. In case of "bills of exchange"
    a. the acceptance is:
    b. It depends on the case to case basis Necessary if the bill is payable after sight.
    c. Not necessary
    d. None of the above

39. How many parties are there in the Bills of Exchange:
    a. Four
    b. Three
    c. Two
    d. One

40. What is NOT true about a cheque:
    a. It may contain a conditional order
    b. Cheque must be signed by the maker
    c. The cheque must contain the date
    d. The amount must be specifically mentioned in figures and words

41. The person who is directed by the maker of a bill of exchange or cheque to pay is called the:
    a. Payee
    b. Drawee
    c. Endorsee
    d. Drawer

42. The person named in the instrument, to whom or to whose order the money is by the instrument directed to be paid, is called the:
    a. Banker
    b. Drawee
    c. Drawer
    d. Payee

43. A Holder in due course is a person who becomes the possessor of the instrument.
    a. before maturity
    b. for consideration
    c. without any notice as to the defect in title of the Transferor
    d. all of the above

44. Inland instrument means:
    a. A promissory note, bill of exchange or cheque drawn or made in India and made payable in or drawn upon any person resident in, India shall be deemed to be an inland instrument.
    b. A promissory note, bill of exchange or cheque drawn or made in India and madepayable in or drawn upon any person resident outside India shall be deemed to be an inland instrument.
    c. A promissory note, bill of exchange or cheque drawn or made outside India and made payable in, or drawn upon any person resident in, India shall be deemedto be an inland instrument.
    d. None of the above.

45. A "negotiable instrument" means:
    a. cheque payable either to order or to bearer.
    b. bill of exchange
    c. a promissory note
    d. all the options are correct

46. Whether a negotiable instrument may be made payable:
    a. In the alternative to one of two
    b. To one or some of several payees
    c. To two or more payees jointly
    d. All the options are correct

47. Which among the following is a negotiable instrument:
    a. Banker's Demand Draft
    b. Currency note
    c. Letter of Credit
    d. Letter of guarantee

48. Where the endorser signs his name on the back of the instrument only, the endorsement is said to be:
    a. In full
    b. In blank
    c. Facultative endorsement
    d. Conditional endorsement

49. Not with standing anything contained in the Code of Criminal Procedure, 1973 (2 of 1974), every offence punishable under the NI Act shall be:
    a. Non-compoundable
    b. "Compoundable"
    c. Non-bailable
    d. Bailable

50. The interim- compensation shall be paid within ..... from the date of the order or within such further period not exceeding thirty days as may be directed by the Court on sufficient cause being shown by the drawer of the cheque:
    a. Sixty days
    b. Fifty days
    c. Forty days
    d. Thirty days

Sample Questions

Chapter 3: Partnership Act, 1932

1. To start a partnership business, what should be the minimum number of partners?
   A. 2
   B. 10
   C. 4
   D. 20
2. What type of agreement is used to form a partnership business?
   A. Written agreement
   B. Oral agreement
   C. Written or oral agreement
   D. None of them
3. In partnership, partners liabilities are
   A. Unlimited
   B. Limited to the capital of the business
   C. Limited
   D. Both A and C
4. Is a partnership firm examined as an individual a legal entity?
   A. No
   B. Yes
   C. Partially Yes
5. What is interest on drawings?
   A. Credited to partner's current a/c
   B. Not shown in current account
   C. Debited to partner's current a/c
   D. None of the above
6. What is the partnership written agreement known as?:
   A. Partnership contract
   B. Agreement
   C. Partnership deed
   D. Partnership Act
7. No partnership agreement, what will be the percentage of profit sharing ratio between them?
   A. Unequal
   B. Equal
   C. It will depend on the experience of a partner
   D. It will depend on a partner's capital
8. Which is not a feature of a partnership business?
   A. Ease of formation
   B. Limited liability
   C. Limited life
   D. Mutual agency

9. Which kind of partnership one partner has unlimited liability and other partner have limited liability?
   A. Partnership-at-will
   B. Limited partnership
   C. General partnership
   D. Particular partnership

10. Which types of partnership have no agreement in terms of the duration of partnership?
   A. Partnership-at-will
   B. imited partnership
   C. General partnership
   D. Particular partnership

11. Partnership – is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all.
   A. True
   B. False

12. Firm and partners – Persons who have entered into partnership with one another are called individually "partners" and collectively "a firm" and the name under which their business is carried on is called the "firm name".
   A. The above definition is correct
   B. The above definition is incorrect

13. Act of firm – An act of firm means any act or omission by all the partners, or by any partner or agent of the firm which gives rise to a right enforceable by or against the firm.
   A. The above definition is incorrect
   B. The above definition is correct

14. Essential elements of a partnership include:
   I. Association of two or more persons
   II. Agreement
   III. Sharing of profit
   IV. Business
   V. Mutual agency
   A. All of the above
   B. (I) and (III) only
   C. (I) (IV) and (V) only
   D. None

15. All of the following are correct EXCEPT:
   A. The partnership is an association between two or more persons and all persons must be competent to contract.
   B. There can be no partnership consisting of a single individual.
   C. The partnership Act 1932 limits the number of partners to 50.
   D. If the number gets reduced to one, for any reason, it ceases to be a partnership.

16. The written agreement is known as:
   A. Memorandum of Association
   B. Articles of Association
   C. Partnership deed
   D. None

17. Partnership arises from:
   A. Joint Family Business
   B. Operation of law inheritance
   C. Succession
   D. None

Contents

18. Identify from the following what a partnership deed usually sets out:
    A. Firm name, Place or principal place of business of the firm, Number of partners
    B. The date when each partner joined the firm, Purpose of the partnership
    C. Rights and duties of the partners, Duration of partnership
    D. All of the above

19. If the partnership agreement does not specify what the rights or duties of the partners should be in particular circumstances, the rules set out in the Partnership Act 1932 are assumed to apply.
    A. True
    B. False

20. All of the following are correct EXCEPT:
    A. To constitute a partnership, the parties must have agreed to carry on a business.
    B. An agreement to carry on business at a future time does not result in partnership unless that time arrives and the business is commenced.
    C. If the purpose is to carry on some charitable work it will not be a partnership.
    D. None

21. A partner may not share in the losses of the business, yet his liability towards outsiders shall be unlimited.
    A. False
    B. True

22. Identify from the following the circumstances where a person receiving profits is not necessarily a partner:
    A. Lender of money to persons engaged or about to engage in any business
    B. Servant or agent as remuneration
    C. Widow or child of a deceased partner as annuity
    D. A minor who is admitted to the benefits of an existing partnership
    E. All of the above

23. All of the following are correct EXCEPT:
    A. A partnership does not have a legal personality. It is not a legal person.
    B. A third party entering into business transaction with a partnership do have a contractual agreement with the "partnership".
    C. Partners in a partnership do not have limited liability, and are personally liable for any liabilities of the partnership business that the partnership cannot pay.
    D. None

24. What things to consider in determining whether a group of persons is or is not a firm
    A. Association of two or more persons
    B. Agreement and Carrying on business
    C. Sharing of profits
    D. Mutual agency
    E. All of the above

25. Which of the following is Type of partnership?
    A. Partnership-at-will
    B. Particular partnership
    C. Both A&B
    D. None

26. Which of the following is true for "Partnership-at-will"?
    A. No provision is made between the partners for the duration of their partnership, or for the determination of their partnership.
    B. Any partner is free to dissolve the partnership by giving a notice in writing to all other partners of his intention to dissolve the firm.
    C. If freedom to dissolve the firm at will is curtailed by agreement, only then will it not constitute a partnership at will.
    D. All of the above

27. Which of the following is true for "Particular partnership"?
    A. A partnership created for any particular adventure or undertaking or for a specific time period
    B. If the partners decide to continue partnership even after the expiry of the specific period or completion of specific venture then it becomes partnership at will.
    C. Both A&B
    D. None

28. Types of partners are:
    I. Actual or ostensible partner
    II. Sleeping or dormant partner
    III. Nominal partner
    IV. Partner in profits only
    V. Sub-partner
    VI. Silent partner
    VII. Partner by estoppel or holding out
    A. All of the above
    B. (I) (IV) and (VII) only
    C. (III) (V) and (VII) only
    D. None

29. Sleeping or dormant partner -
    A. A sleeping partner is not known as such as a partner to third parties dealing with the firm.
    B. He may or may not take active part in the conduct of the business of the firm.
    C. He is equally liable along with other partners for all the debts of the firm, even though his existence is kept a secret from the outsiders dealing with the firm.
    D. All of the above

30. Nominal partner - A partner who does not contribute any capital or share in profits, but lends his name to the firm is called a nominal partner. He along with other partners is liable to the outsiders for all the debts of the firm.
    A. True
    B. False

31. Which of the following is correct for a Partnership firm?
    A. It is created by an agreement alone and registration is optional.
    B. A partner cannot transfer his interest without getting consent from other partners.
    C. Minimum two competent to contract persons are required and a maximum of 20 persons can carry partnership other than banking business.
    D. All of the above

32. General (mandatory) duties of partner include:
    A. To be just and faithful
    B. Carry on business to the greatest common advantage
    C. Render true accounts
    D. Indemnify for loss caused by fraud
    E. All of the above

33. What the "Duty to be liable jointly and severally" implies?
    A. The third party may take legal action for non-payment of a debt or losses incurred as a result of a breach of contract against all the partners jointly.
    B. The third party may take legal action for non-payment of a debt or losses incurred as a result of a breach of contract against any individual partner.
    C. Option A or B
    D. None

34. Every partner is bound to act within the scope of his actual or apparent authority. Where he exceeds the authority conferred on him and the firm suffers a loss _____ shall have to compensate the firm for any such loss.
    A. The firm
    B. All partners jointly and severally
    C. The defaulting partner
    D. None

35. In case of emergency a partner can even exceed his authority in order to save the firm from any loss
    A. True
    B. False

36. Qualified duties of partner include:
    I. Duty to attend diligently to his duties
    II. Duty to contribute to the losses
    III. Duty to indemnify for willful neglect
    IV. Duty to use firm's property exclusively for the firm
    V. Duty to account for personal profits derived
    VI. Duty not to compete with the business of the firm
    VII. Duty not to assign his interest
    A. (I) (III) and (V) only
    B. (III) (IV) and (VII) only
    C. All of the above
    D. None

37. A partner is not entitled to receive remuneration for taking part in the conduct of the business.
    A. True
    B. False

38. Where a partner competes in business with the partnership, without the consent of the other partners:
    A. He can retain all the profits derived
    B. He is liable to account to the partnership for all the profits
    C. He disqualifies as a partner
    D. None

39. Rights of partner include:
    I. Right to take part in the conduct of the business
    II. Right to be consulted
    III. Right to have access to the books
    IV. Right to share the profits
    V. Right to interest on capital
    VI. Right to indemnity
    A. All of the above
    B. (I) (III) and (VI) only
    C. (I) (IV) and (V) only
    D. None

40. In the absence of a contract to the contrary every partner has a right to share profits _____ earned by the firm.

A. In proportion to their capital
B. Equally
C. Both A&B
D. None

41. No partner is allowed to receive any interest on capital as a general rule because a partner is not a creditor of the firm. Interest on capital is allowed only when agreed among the partners.

A. The above statement is incorrect
B. The above statement is correct

42. Where a partner makes for the purpose of the business, any payment or advance beyond the amount of capital he has agreed to subscribe, he is entitled to interest on it at the rate of _____ or as agreed upon.

A. 6% semi-annually
B. 6% per annum
C. 6% quarterly
D. None

43. Every partner has a right to claim indemnity from the firm in respect of payments made or liabilities incurred by him:

A. In the ordinary and proper conduct of the business.
B. In doing such act, in an emergency, for the purpose of protecting the firm from loss
C. Both A&B
D. None

44. A partner has a right to retire:

A. With the consent of all the partners
B. In accordance with an express agreement between the parties
C. Where the partnership is at will, by giving notice in writing to all the other partners of his intention to retire.
D. All of the above

45. The legal representative of the deceased partner or the outgoing partner, is entitled at his option to:

A. Such share of the profits as in proportionate to his share in the property of the firm
B. Interest at the rate of 6% on the amount of his share in the property of the firm.
C. Both A&B
D. None

46. Mutual Rights and Liabilities of partners include:

I. Duty to work without remuneration
II. Rights to share profits and losses equally
III. Right to interest on capital
IV. Rights to interest on subsequent advance
V. Right to indemnity
VI. Duty to indemnify for willful neglect

A. All of the above
B. (II) (III) and (V) only
C. (I) (II) and (VI) only
D. None

47. The property of the firm includes:
    A. All property originally brought into the common stock of the firm
    B. All rights or interest in the property originally so brought
    C. All property acquired, by purchase or otherwise, by or for the firm and all rights and interest in any property so acquired
    D. Goodwill of the business of the firm
    E. All of the above

48. Any property purchased with partnership money without other partners consent will be deemed to be partnership property.
    A. True
    B. False

49. A partner is the agent of the firm for the purpose of the business of the firm. He has the capacity to bind the firm by his act. The authority of a partner may be:
    A. Actual
    B. Implied
    C. Both A or B
    D. None

50. Implied authority - The act of a partner done by him:
    A. As an agent of the firm
    B. In the course of business of the firm
    C. In the name of the firm, or in any other manner expressing an intention to bind the firm.
    D. All of the above

Sample Questions

Chapter 4: The Contract Act, 1872 and The Sale of Goods Act, 1930

1. The person making the proposal is called the and the person accepting the proposal is called:
   a. Proposor/ Proposee
   b. Promisee/ Promisor
   c. Promisor/Promisee
   d. Proposee/ Proposor
2. Every promise and every set of promises, forming the consideration for each other, is called as:
   a. A voidable contract
   b. A contract
   c. A void contract
   d. An agreement
3. An agreement enforceable by law is:
   a. A voidable contract
   b. Void
   c. A contract
   d. A void contract
4. An agreement which is enforceable by law at the option of other or others is:
   a. A contract
   b. A voidable contract
   c. Void
   d. A void contract
5. The Contract Act, 1872 extends to:
   a. The Dhaka and Chittagong.
   b. The Union Parisad/Puroshava
   c. The whole of Bangladesh.
   d. The Capital City of Bangladesh.
6. The Act which deals with the matters relating to the contract is titled as:
   a. The Contract Act, 1972
   b. The Contract Act, 1872
   c. The Contract Act, 1882
   d. The Contract Act, 2014
7. An agreement not enforceable by law is said to be:
   a. A contract
   b. Void
   c. A voidable contract
   d. A void contract
8. When the communication of a proposal is complete:
   a. When it do not comes to the knowledge of the person to whom it is made.
   b. When it comes to the knowledge of another person that some communication was made to the concerned person.
   c. When it comes to the knowledge of the person to whom it is not made.
   d. When it comes to the knowledge of the person to whom it is made.

9. When an acceptance may be revoked:
   a. An acceptance may be revoked at any time before the communication of the acceptance is complete as against the proposer, but not afterwards.
   b. An acceptance may be revoked at any time before the communication of the acceptance is complete as against the acceptor, but not afterwards.
   c. An acceptance may be revoked at any time before the communication of the acceptance is incomplete as against the acceptor, but not afterwards.
   d. An acceptance may be revoked at any time after the communication of the acceptance is complete as against the acceptor, but not afterwards.

10. In order to convert a proposal into a promise, the acceptance must:
   a. Be absolute and qualified.
   b. Be expressed in some usual and reasonable manner, unless the proposal prescribes the manner in which it is to be accepted.
   c. Be absolute and unqualified
   d. Both B and C only.

11. When a proposal may be revoked:
   a. A proposal may be revoked at any time when the communication of its acceptance is complete as against the proposer, but not afterwards.
   b. A proposal may be revoked at any time before the communication of its acceptance is incomplete as against the proposer, but not afterwards.
   c. A proposal may be revoked at any time before the communication of its acceptance is complete as against the proposer, but not afterwards.
   d. A proposal may be revoked at any time after the communication of its acceptance is complete as against the proposer, but not afterwards.

12. A contract which ceases to be enforceable by law becomes void when it ceases to be:
   a. Void
   b. Voidable
   c. Enforceable
   d. Unenforceable

13. The Indian Contract Act,1872 which was enacted on 25 April, 1872 came into force with effect from:
   a. 1st May, 1872
   b. 1st September, 1872
   c. 1st October, 1872
   d. 1st November, 1872

14. A 'proposal' is defined as:
   a. When one person signifies to another his willingness to do or to abstain from doing anything, with a view to obtaining the assent of that other to such act or abstinence, he is said to make a proposal.
   b. When one person signifies to another his willingness to do, with a view to obtaining the assent of that other to such act or abstinence, he is said to make a proposal.
   c. When one person signifies to another his willingness to do or to abstain from doing anything, he is said to make a proposal.
   d. When one person signifies to many persons his willingness to do or to abstain from doing anything, with a view to obtaining the assent of that other to such act or abstinence, he is said to make a proposal.

15. An agreement was entered into with the minor. This is agreement is:
   a. Void
   b. Voidable
   c. Bad
   d. Illegal

16. Where a minor has entered into a contract for purchase of necessary items. In such cases:
    a. The minor is not personally liable.
    b. Minor's estates are liable to make good.
    c. Minor's guardian is liable.
    d. The minor is personally liable

17. Consent is defined as:
    a. Two or more persons are said to consent when they agree.
    b. Two or more persons are said to consent when they agree upon the same thing in the same sense.
    c. Two or more persons are said to consent when they understand the same thing.
    d. Two or more persons are said to consent when they agree upon the same thing.

18. Consent is said to be free when it is not caused by:
    a. Very much influence
    b. Undue influence
    c. Slightly influence
    d. Influence

19. A, being in debt to B, the money lender of his village, contracts a fresh loan on terms which appear to be unconscionable. This will be termed as:
    a. Fraud
    b. Coercion
    c. Undue influence
    d. Misrepresentation

20. When consent to an agreement is caused by coercion, fraud or misrepresentation, the agreement is a contract :
    a. Voidable at the option of the party whose consent was so cause.
    b. Illegal
    c. Depends upon the circumstances of the case.
    d. Void

21. If the consent was caused by misrepresentation or by silence, fraudulent within the meaning of section 17, the contract, nevertheless, if the party whose consent was so caused had the means of discovering the truth with ordinary diligence:
    a. may be voidable
    b. may not be not voidable
    c. is voidable
    d. is not voidable

22. A fraud or misrepresentation which did not cause the consent to a contract of the party on whom such fraud was practised, or to whom such misrepresentation was made, does not render a contract:
    a. Void
    b. Voidable
    c. Bad
    d. Illegal

23. Where both the parties to any agreement are under a mistake as to a matter of fact essential to the agreement,
    a. The agreement is voidable.
    b. The agreement can't be enforceable at law.
    c. The agreement is void.
    d. The agreement is not void.

24. When consent to an agreement is caused by undue influence, the agreement is a contract
    a. Bad
    b. Void
    c. Illegal
    d. Voidable at the option of the party whose consent was so cause
25. What is a sound mind for the purposes of contracting:
    a. A person is said to be of sound mind for the purposes of making a contract, if, at the time when he makes it, he is capable of understanding it and of forming a rational judgement as to its effect upon his interest.
    b. A person is said to be of sound mind for the purposes of making a contract, if, at the time when he makes it, he is capable of understanding it.
    c. A person is said to be of sound mind for the purposes of making a contract, if, he is capable of understanding it and of forming a rational judgement as to its effect upon his interest.
    d. A person is said to be of sound mind for the purposes of making a contract, if, at any time when he makes it, he is capable of understanding it and of forming a rational judgement as to its effect upon his interest.
26. Who are competent to contract:
    a. Every person is competent to contract who is of the age of majority according to the law to which he is subject, and who is of sound mind and is not disqualified from contracting by any law to which he is subject.
    b. Every person is competent to contract who is of the any age and who is of sound mind and is not disqualified from contracting by any law to which he is subject.
    c. Every person is competent to contract who is of the age of majority according to the law to which he is subject.
    d. Every person is competent to contract who is of the age of majority according to the law to which he is subject, and who is of sound mind.
27. What agreements are contracts:
    a. All agreements are contracts if they are made by the free consent of parties competent to contract, for a lawful consideration and with a lawful object, and are not hereby expressly declared to be void.
    b. All agreements are contracts if they are made by the free consent of parties competent to contract, for a lawful consideration and with a lawful object, and may or may not be expressly declared to be void.
    c. All agreements are contracts if they are made by the consent of parties competent to contract, for a lawful consideration and with a lawful object, and are not hereby expressly declared to be void.
    d. All agreements are contracts if they are made by the free consent of parties competent to contract, for any object, and are not hereby expressly declared to be void.
28. Every agreement by which any party thereto is restricted absolutely from enforcing his rights under or in respect of any contract, by the usual legal proceedings in the ordinary tribunals, or which limits the time within which he may thus enforce his rights:
    a. Is valid.
    b. Is voidable
    c. Is void.
    d. Is illegal
29. The agreements which are in restraint of trade are;
    a. Valid
    b. Illegal
    c. Void
    d. Voidable

30. The consideration must be:
    a. Adequate
    b. Must be adequate
    c. Need not be adequate
    d. Substantially adequate

31. An agreement in restraint of the marriage of a major persons is:
    a. Legal
    b. Illegal
    c. Void
    d. Voidable

32. If any part of a single consideration for one or more objects, or any one or any part of any one of several considerations for a single object, is unlawful:
    a. The agreement is void
    b. The agreement is voidable
    c. The agreement is enforceable
    d. The agreement is unenforceable

33. A contract is not voidable because it was caused by a mistake as to any law in force in India; but mistake as to a law not in force in India has the same effect as:
    a. A mistake of case
    b. A mistake of fact
    c. A mistake of law
    d. A mistake of understanding

34. A contract is not voidable merely because it was caused by one of the parties to it being under a mistake as to:
    a. A mistake of fact
    b. A mistake of law
    c. A mistake of case
    d. A mistake of understanding

35. The consideration or object of an agreement is lawful, unless:
    a. The Court regards it as immoral, or opposed to public policy.
    b. It is forbidden by law or Is of such a nature that, if permitted, it would defeat the provisions of any law.
    c. Is fraudulent or involves or implies injury to the person or property of another.
    d. All of the above

36. An erroneous opinion as to the value of the things which forms the subject-matter of the agreement, is not to be deemed:
    a. A mistake as to a matter of law
    b. A mistake as to a matter of fact
    c. A mistake of circumstances
    d. A mistake of nature of transactions

37. A and B make a contract grounded on the erroneous belief that a particular debt is barred by the Indian Law of Limitation:
    a. The contract illegal
    b. The contract is not voidable
    c. The contract is voidable
    d. The contract is void

38. The consideration may be:
    a. Past
    b. Present
    c. Future
    d. All the options are correct.

39. A 'contingent contract' is a contract to do or not to do something, if some event collateral to such contract:
    a. Happened or will not happen
    b. Does or does not happen
    c. May or may not happen
    d. None of the above

40. If the event becomes impossible, such contracts becomes:
    a. Illegal
    b. Bad
    c. Void
    d. Voidable

41. Which one of the following statements is incorrect?
    a) An agency relationship may be created through necessity.
    b) An agency relationship may be created through estoppel.
    c) All agents are entitled to be paid for their services.
    d) An agent creates a legal relationship between a third party and a principal.

42. An agency relationship which is made retrospectively is know as an agency by:
    a) Estoppel
    b) Ratification
    c) Necessity
    d) Commerce

43. X Ltd has two directors, Joe and Harry. Neither of the directors have authority to individually enter contracts on behalf of the company. In practice, Joe (with Harry's acquiescence) enters into all the contracts on behalf of the company. What type of agency has been created when a third party acting in good faith enters into a contract with Joe who states he is acting on behalf of X Ltd?
    a) An express agency
    b) An agency by estoppel
    c) An agency by ratification
    d) An agency of necessity

44. Con appoints George, to act as his agent for two weeks. George agrees to act without payment. Con instructs George to collect rent each Friday morning from his tenants and pay the rent into the bank next door. In the second week, George collects the rent but fails to bank it. On the way home he leaves it on the bus and it is never recovered. Can Con take action against George for breach of his agency duties?
    a) No, Con has provided no consideration and therefore there is no agency agreement.
    b) No, George is a gratuitous agent and has no duty to follow instructions.
    c) Yes, even though George is a gratuitous agent if he does act he must do so in accordance with instructions set out by the principal.
    d) Yes, provided he pays George for being an agent.

45. Prab asked her agent, Hari to purchase her 500 shares in X Ltd. Hari owned 600 shares in X Ltd so without informing Prab where the shares come from he sells his shares to Prab at market value. Is Hari in breach of his agency duties?

a) Yes, because he has a duty to avoid a conflict of interest.
b) Yes, because he has a duty to account.
c) No, because he has sold Prab the shares at market value.
d) No, because he has acted according to Prab's instructions and she has the shares as she requested.

46. When does apparent (ostensible) authority of an agent arise?

a) When the agent acts with the usual authority of his job.
b) When the principal gives the agent implied authority to act.
c) When the agent has actual authority to act.
d) When the principal represents to a third party that an agent has authority to act when in fact he does not.

47. Which one of the following is not a duty of an agent?

a) Duty to exercise care and skill
b) Duty to take a commission
c) Duty to account
d) Duty to avoid a conflict of interest

48. Frank enters into a contract with Sally believing that Sally is acting on her own behalf when in fact she is acting as an agent for Derek on his express instructions. In the event of a breach of contract who can Frank take action against?

a) No-one, the contract is invalid
b) Sally
c) Derek
d) Derek or Sally

49. What is an undisclosed agency?

a) Where a third party is not informed of the existence of the principal and believes the agent is acting on his own behalf.
b) Where the agent indicates through conduct he is acting as an agent.
c) Where the principal is not in existence.
d) Where the third party knows there is a principal but does not know his name.

50. Which of the following statements is incorrect?

a) An agency may be terminated by death of either party.
b) An agency may be terminated by express agreement.
c) An agency agreement can always be terminated by a principal.
d) Mental incapacity of an agent will terminate the agency relationship.

Answers
Chapter 1: The Companies Act, 1994

Question No.	Answer	Question No.	Answer
1	C	26	C
2	C	27	D
3	B	28	D
4	B	29	C
5	B	30	B
6	C	31	D
7	D	32	C
8	B	33	B
9	B	34	C
10	A	35	B
11	C	36	B
12	B	37	C
13	D	38	B
14	C	39	A
15	D	40	B
16	B	41	A
17	C	42	C
18	C	43	D
19	B	44	C
20	B	45	C
21	D	46	C
22	D	47	C
23	A	48	A
24	B	49	A
25	B	50	C

Answers
Chapter 2: The Negotiable Instruments Act, 1881

Question No.	Answer	Question No.	Answer
1	D	26	B
2	B	27	C
3	B	28	A
4	B	29	C
5	A	30	A
6	B	31	C
7	C	32	A
8	A	33	D
9	A	34	D
10	C	35	C
11	C	36	A
12	C	37	B
13	D	38	B
14	D	39	B
15	D	40	A
16	D	41	B
17	A	42	D
18	A	43	D
19	B	44	A
20	C	45	D
21	D	46	D
22	C	47	A
23	C	48	B
24	C	49	B
25	D	50	A

Answers
Chapter 3: Partnership Act, 1932

Question No.	Answer	Question No.	Answer
1	A	26	D
2	C	27	C
3	A	28	A
4	A	29	D
5	C	30	A
6	C	31	D
7	B	32	E
8	B	33	C
9	B	34	C
10	A	35	A
11	A	36	C
12	A	37	A
13	B	38	B
14	A	39	A
15	C	40	B
16	C	41	B
17	D	42	B
18	D	43	C
19	A	44	D
20	D	45	C
21	B	46	A
22	E	47	E
23	B	48	A
24	E	49	C
25	C	50	D

Answers
Chapter 4: The Contract Act, 1872 and The Sale of Goods Act, 1930

Question No.	Answer	Question No.	Answer
1	C	26	A
2	D	27	A
3	C	28	A
4	B	29	C
5	C	30	C
6	B	31	C
7	B	32	A
8	D	33	B
9	B	34	A
10	D	35	D
11	C	36	B
12	A	37	B
13	B	38	D
14	A	39	B
15	A	40	C
16	A	41	D
17	B	42	D
18	B	43	D
19	C	44	A
20	A	45	C
21	D	46	A
22	B	47	D
23	C	48	B
24	D	49	D
25	A	50	A

CA BANGLADESH

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF BANGLADESH

CA Bhaban
100 Kazi Nazrul Islam Avenue
Dhaka 1215, Bangladesh

880 2 9115340, 9612612100
9117521, 9137847 (Off.)

880 2 9125266

ceo@icab.org.bd

facebook.com/ca.bangladesh

icab.org.bd